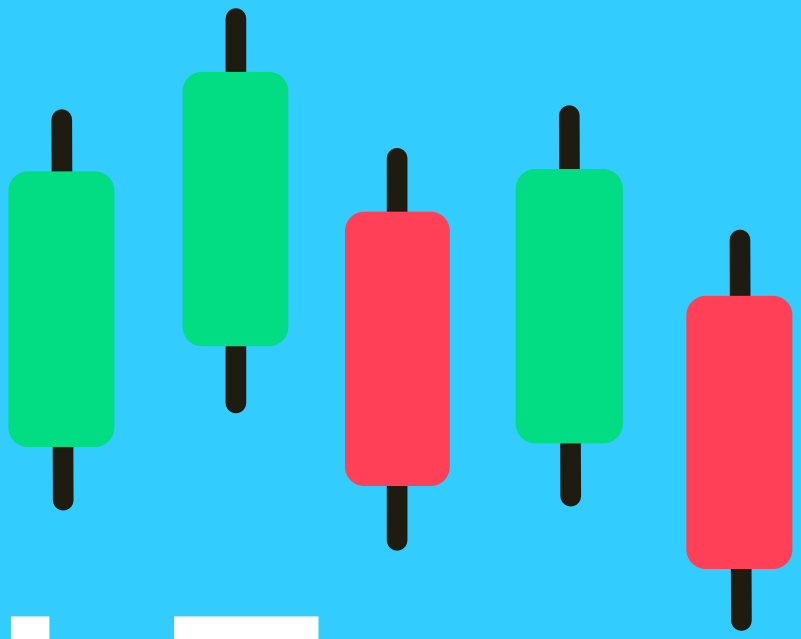
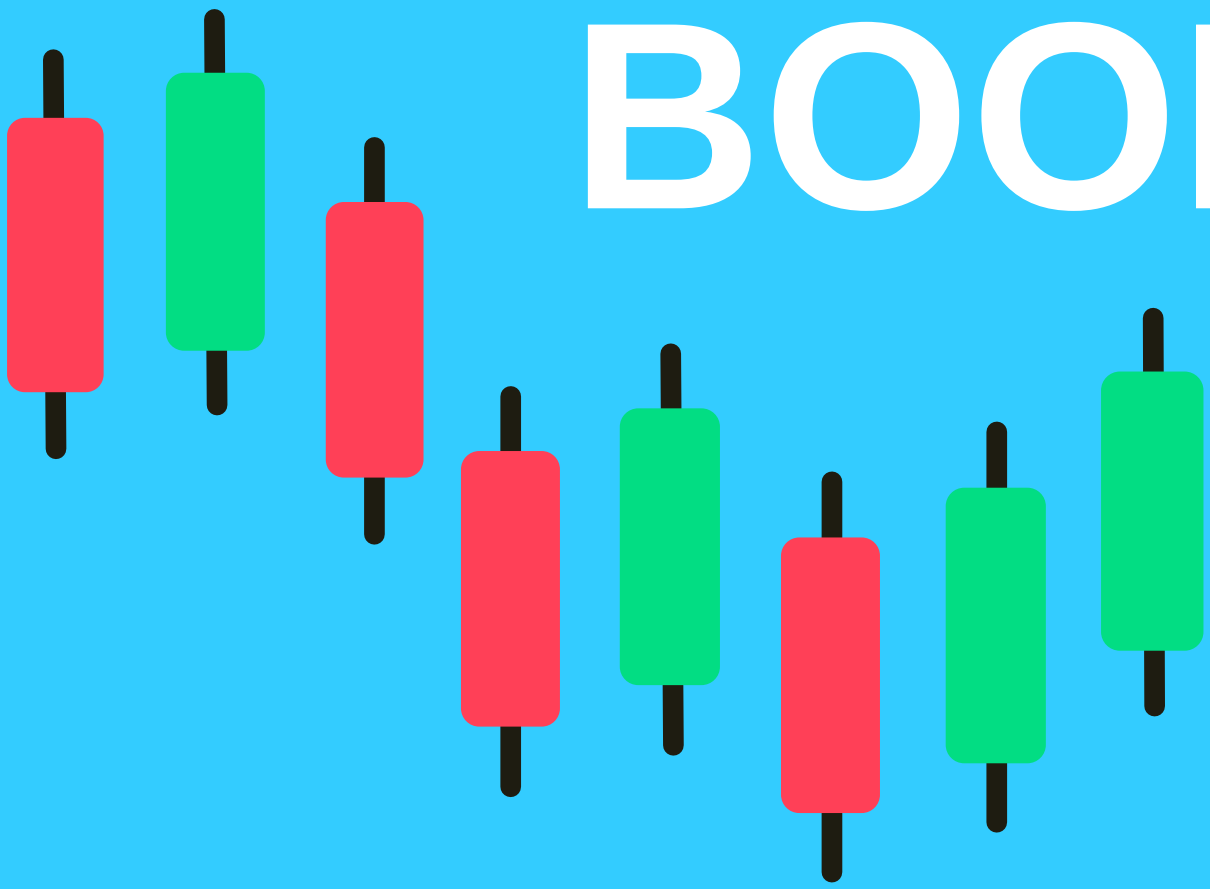


# SIMPLE TRADING BOOK



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The book was written by:

**Oliver Timak**

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# INTRODUCTION

- Trading can be highly profitable for those traders who understand how the markets move. If you read and absorb the technical knowledge available in this book, you can become a profitable trader.

- This book is written for beginners who want to learn how to trade stocks, cryptocurrencies, or forex.

# Why is technical analysis so important?

- Technical analysis allows investors to get ahead of the markets by reading and predicting future prices through market structure, candlesticks, and chart patterns.

- The application of technical analysis allows traders to understand when to enter or exit a trade.

# CHAPTERS:


1. Business psychology
2. Risk management
3. Market structure
4. Candlestick Patterns
5. Graphic indicators
6. Support and resistance
7. Supply and demand
8. Chart patterns
9. Patterns to print

# BUSINESS PSYCHOLOGY

• Psychology can have a surprisingly powerful effect on your success as a trader. Emotional reactions can even reverse all the good work you've put into studying the markets and planning your strategy - so it's important to know how to prevent this from happening.



# CONTROLLING THE EMOTIONS THAT

- **Anxiety and doubts**
  It's great to be cautious and considerate when trading, but if your fears paralyze you, it's counterproductive.
  Switching to a live trading account after using "play" money in a demo environment is one step that worries some traders. It's a bit like skydiving: you've learned the theory and done all the preparation, but it still takes courage to make that jump.
  As long as you trade smart, use the skills and knowledge you've already acquired, and keep your positions modest, there's reason to expect success.
  Of course, you will make mistakes - we all do - but by carefully managing your risk you will minimize your losses.

- **Fear of loss**
  Another time you might experience fear is when a position moves against you and you start to see a growing loss.
  You start to feel nervous: should you close the position now and cut your losses? Should you set the stop closer?

  Before taking any steps, ask yourself:
  - Was my original analysis wrong?
  - Have the circumstances affecting this market changed since the opening of the store?
  - Did I place my stop at the wrong level?

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# CONTROLLING EMOTIONS THAT ENTICE YOU TO TRADE

- **Impatience**
  Rather than being paralysed by nerves, some new traders have a quite different reaction and can't wait to jump into the markets. This can be even more damaging.

  As the saying goes, 'a little knowledge is a dangerous thing', and launching yourself into a trade before you're fully prepared is a sure route to disappointment.

- **Greed**
  When your trades are going well, it's only natural to be excited about the potential for even greater gains.

  But at these moments it's vital to stick to the rules of your trading plan. If the signs indicate it's time to close a trade and take your profit, it's probably not a good idea to keep holding on in the hope of making even more money.

- **Happiness and pride**
  When a trade goes well, you're likely to feel a surge of pleasure and satisfaction. Naturally you'll be proud of your achievement. And if a series of trades all turn a profit, you may even start to feel invincible.

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# CONTROLLING EMOTIONS THAT CLOUD YOUR JUDGMENT

- **Anger**
  A losing trade can make you furious - often simply with yourself, for making a bad decision.

  But we all make mistakes - it's an important way to learn. If it happens to you, as it inevitably will one day, put it down to experience and make a mental note about what to do differently next time.

  One common impulse in moments of anger is to try and 'get back at the market' by placing another trade. This sort of knee-jerk reaction - or 'hair-trigger trade' - is nearly always a bad idea. Alternatively, you might just start buying anything and everything indiscriminately. This is known as 'shotgun trading'.

- **Regret**
  Another common source of annoyance is missing an opportunity - something that's easy to do in the fast-moving world of financial markets.

  When this happens, it's easy to give yourself a hard time about it, repeating things like 'I should have bought there' or 'I knew that was going to happen'. But this sort of mentality can lure you into traps capable of undoing all your hard work at a stroke.

  You might, for example, be tempted to place a belated trade anyway, or to risk placing a number of trades in quick succession - known as overtrading - to set things right.
  You might even 'go on tilt', a particular state of mind

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which means you make irrational decisions, rather than those based on the merit of what's right in front of you.

- **Stress**
  There are times in all of our lives when events beyond our control affect our ability to think clearly.

  It could be divorce, family illness, bereavement, or just moving house or changing jobs. All of these things will distract you from trading and could cloud your judgment.

  The world of financial trading can be hectic, demanding your undivided attention. So when you're going through stressful periods, it's often safest to put your trading on hold until you can commit the necessary time and energy to it again.

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# RISK MANAGEMENT



# RISK MANAGEMENT

- The use of technical analysis provided in this book can help you make money in the markets, but you must also be aware that there is a risk of losing money.

- Therefore, it is important to manage risks so that losses do not become uncontrollable and endanger your trading account.

- Trading can be tempting and profitable, but only if emotions are properly controlled, appropriate measures are taken, and the trading plan is followed.

- This can help you minimize losses through the setting of stop-losses and the execution of profit orders.

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# STOP-LOSSES

- A stop-loss order is a point in the price set by the trader, where the trader will sell their trade and take a loss.

- It is best to cut your losses short. However, traders need to set accurate stop-losses using technical analysis and indicators.

- Supply and Demand Zones, Support and Resistance, and indicators like the Fibonacci will help traders to determine where to place their stop losses.

- For example, say a trader enters a short position at a Supply or Resistance Zone, many traders will place their stop-losses above the Supply or Resistance zone.

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# TAKE-PROFITS

- A take-profit order is a point in the price set by the trader, where the trader will sell their trade and make a profit.

- Remembering always to take profits is essential when trading. Traders need to set accurate take-profit orders at levels where price could reverse, e.g., Supply and Demand and Support and Resistance Zones.

- For example, say a trader enters a long position at a Demand or Support Zone, the take-profit target should ideally be at the next Supply or Resistance level, as traders know that is an area where price could reverse.

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# RISK-TO-REWARD

- Traders and investors use the risk/reward ratio to manage their capital and risk of loss.
- The ratio helps assess the expected return and risk of a given trade.
- An appropriate risk reward ratio tends to be anything greater than 1:3.
- For example, say a trader's stop-loss will result in a $100 loss; the expected reward should be three times the loss at $300.
- Implementing a Risk-to-reward ratio into your trading plan will help reduce the amount of money lost compared to the amount won, allowing traders to become profitable over time.

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# MARKET STRUCTURE



# WHAT IS MARKET STRUCTURE

- Market structure serves as a guide to understanding up, down, and sideways trends. The same principles can be applied to any type of market, from stocks, futures, forex, and commodities to digital assets such as cryptocurrencies or even physical assets such as real estate.

- It is the framework or structure with which any given market is currently traded. Market structure helps traders understand market behavior, trend, and direction.

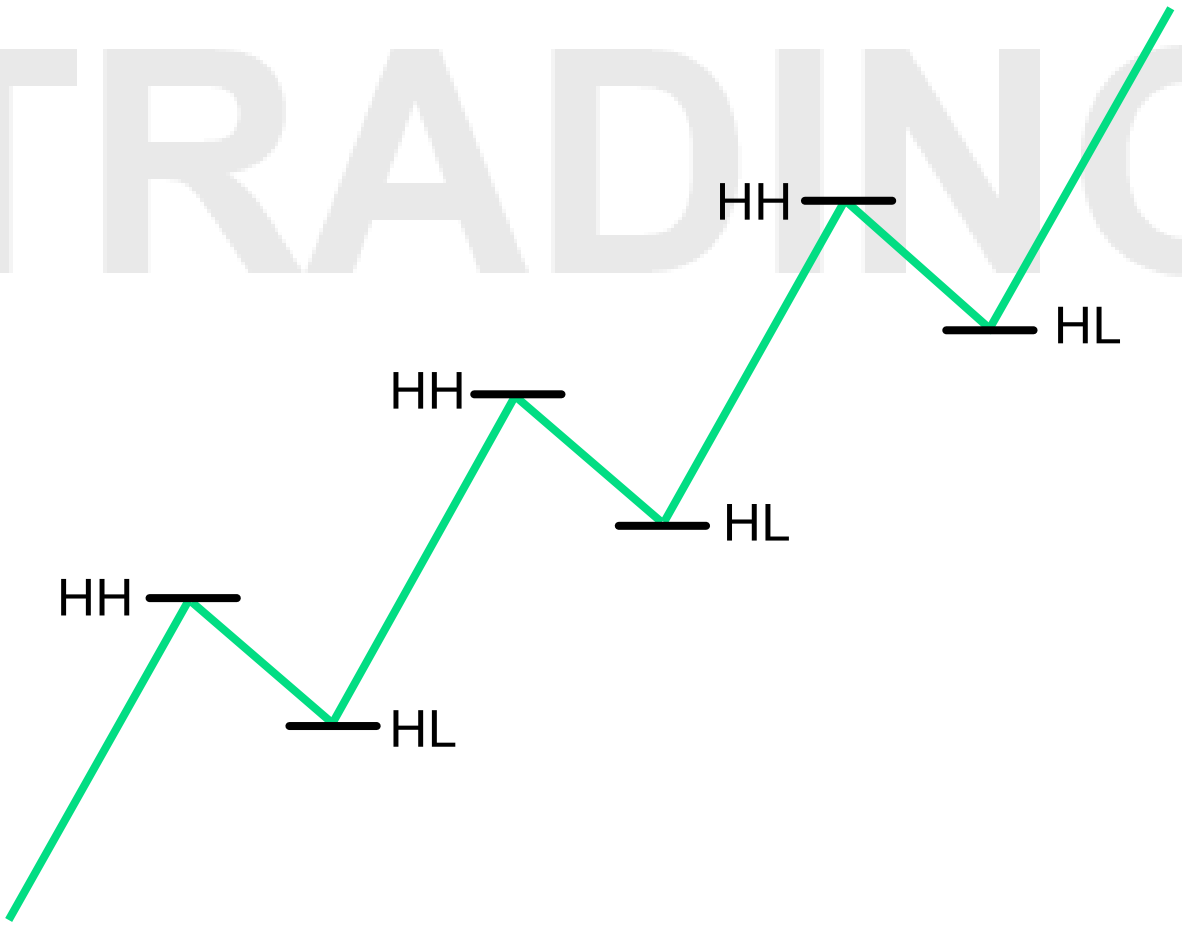
- There are three types of market structure:
  - Bullish structure
  - Bear structure
  - Two-sided structure

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# BULLISH MARKET STRUCTURE

- A bullish structure is defined by a series of higher highs (HH) and higher lows (HL).
- The trend continues in the same direction until the asset price records a lower low (LL).

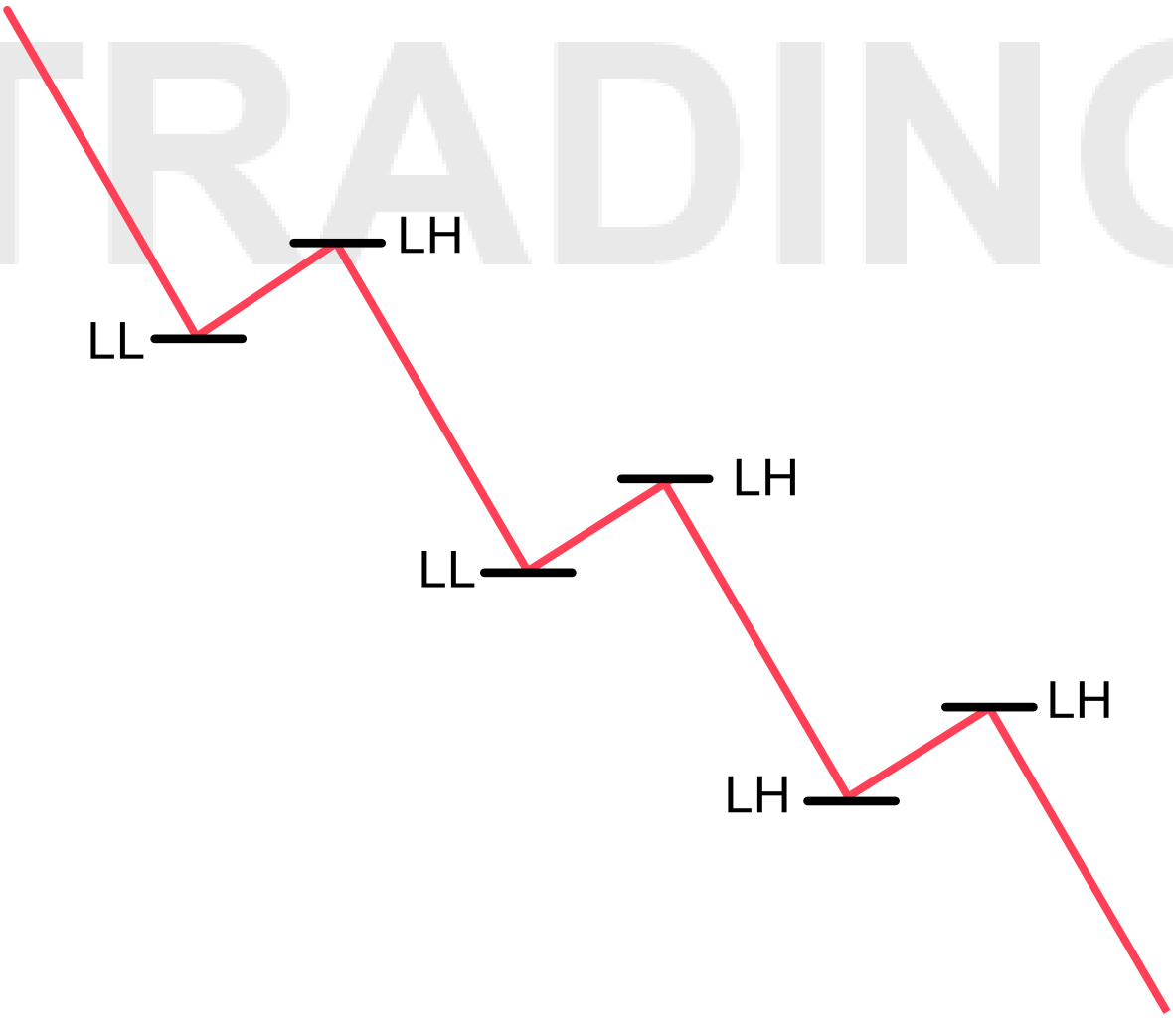
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# BEARISH MARKET STRUCTURE

- A bearish structure is defined by lower lows (LL) and lower highs (LH).
- The price trend continues as long as lower highs (LH) are being printed and until a higher high (HH) is created.

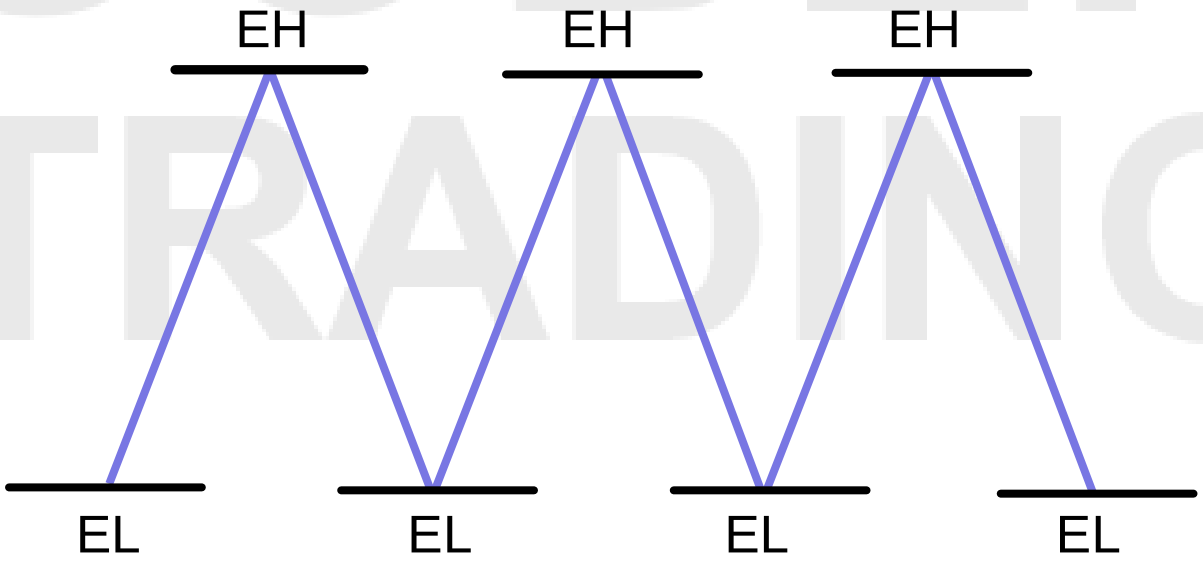
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# SIDEWAYS MARKET STRUCTURE

- The horizontal movement of price shown by equal highs (EH) and equal lows (EL) is called a sideways trend or sometimes referred to as chop.

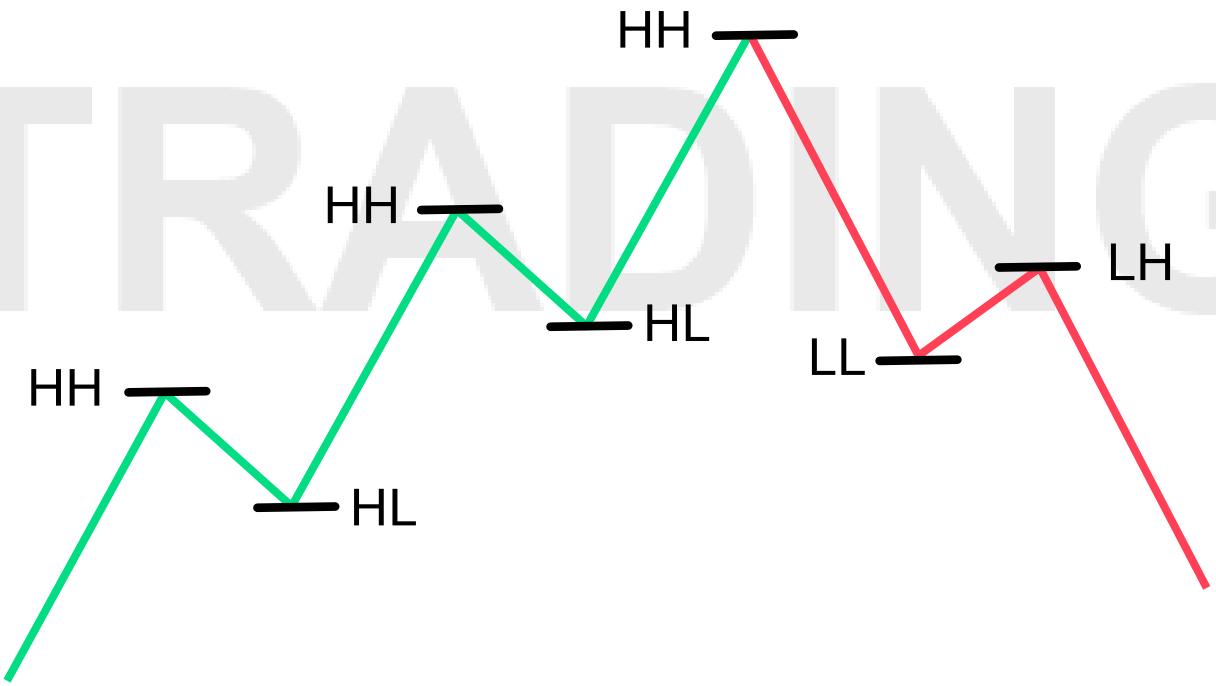
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# HOW TO USE MARKET

- If the price makes higher highs and higher lows (bullish trend), but then makes a lower low (compared to the prior low), traders should wait for a lower high to form before entering into a short bearish position.

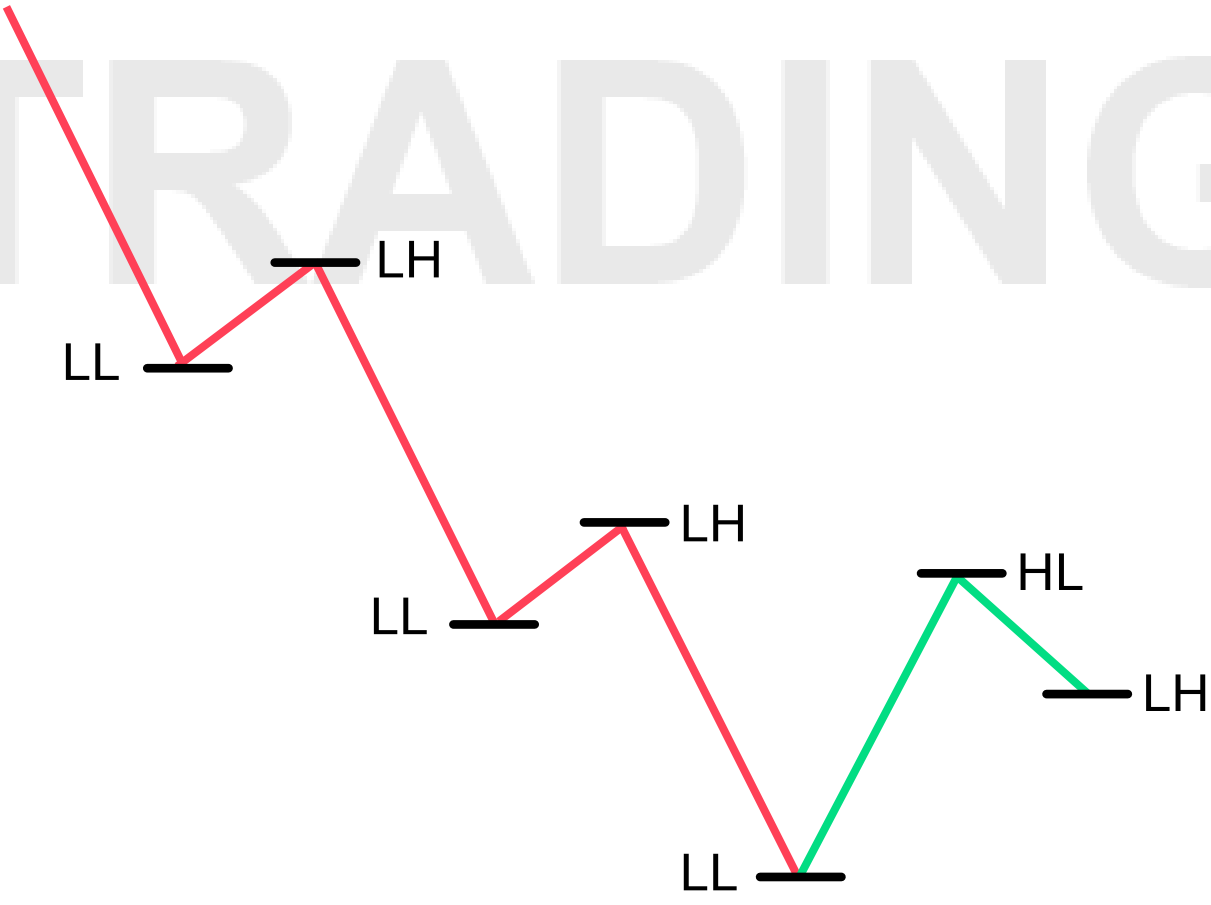
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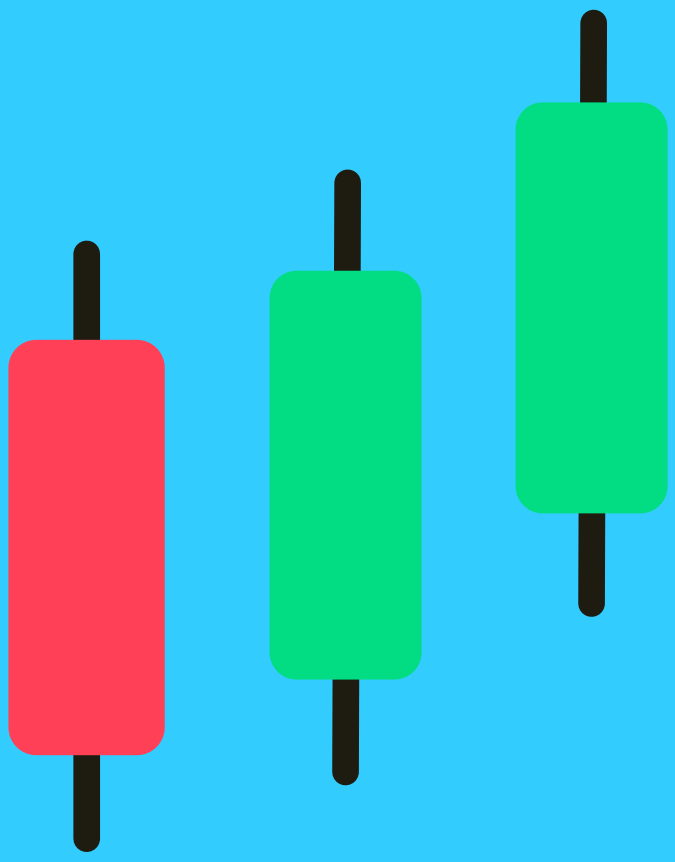
# HOW TO USE MARKET

- If the price making lower lows and lower highs (bearish trend), but then makes a higher high (compared to the prior high), traders should wait for a higher low to form before entering a long bullish position.

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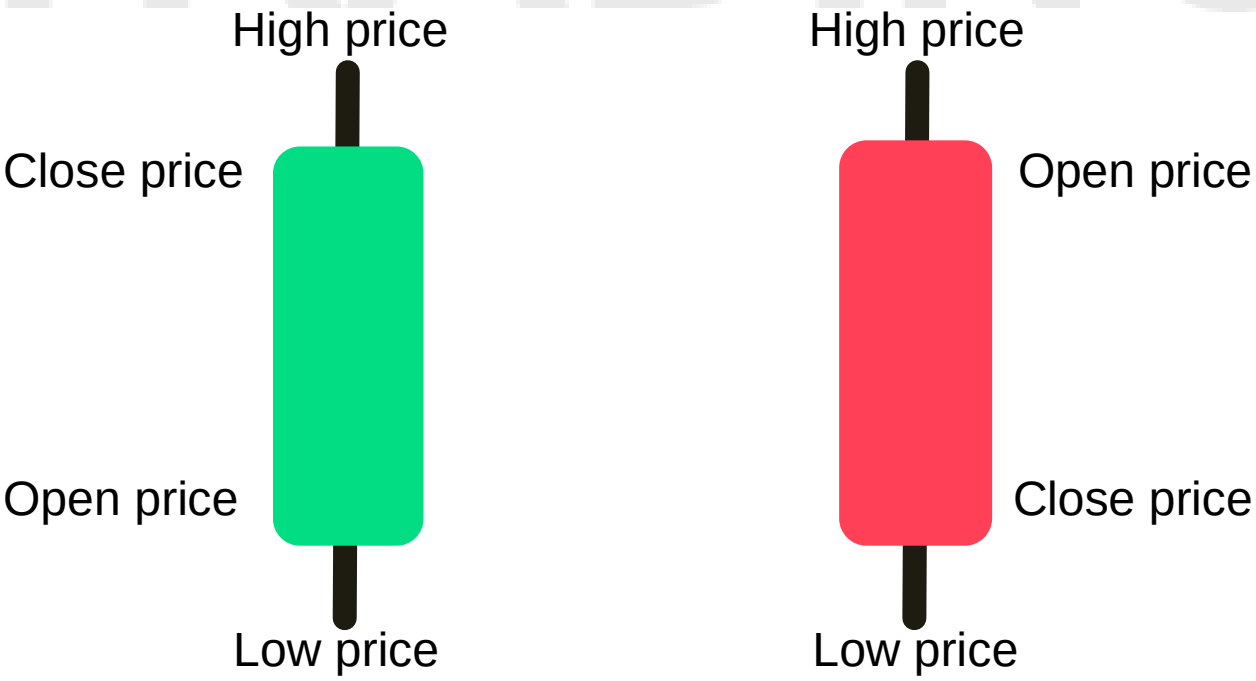
# CANDLESTICK PATTERNS



# WHAT IS A CANDLESTICK

- A candlestick is a single bar on a candlestick price chart, showing traders market movements at a glance. Each candlestick shows the open price, low price, high price, and close price of a market for a particular period of time.

- The body, which represents the range from the opening to the closing price.
- The wick or shadow, which indicates the daily high and low.
- The color, which reveals the direction of the market movement - a green (or white) body shows an increase in price, while a red (or black) body shows a decrease in price.




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# BULLISH CANDLESTICK PATTERNS

# HAMMER

- The Hammer candle pattern consists of a small body and a long wick extending from the bottom end.
- The body of the candle is small and placed on the top with a lower wick that should be more than twice the size of the actual body.
- This candlestick pattern has little or no upper shadow/wick.
- A hammer pattern can appear on a downtrend support line (see example below). Hammer candles usually appear after a price decline.
- Hammer candles indicate a potential upside price reversal. The price must start moving up after the hammer, which is called confirmation.



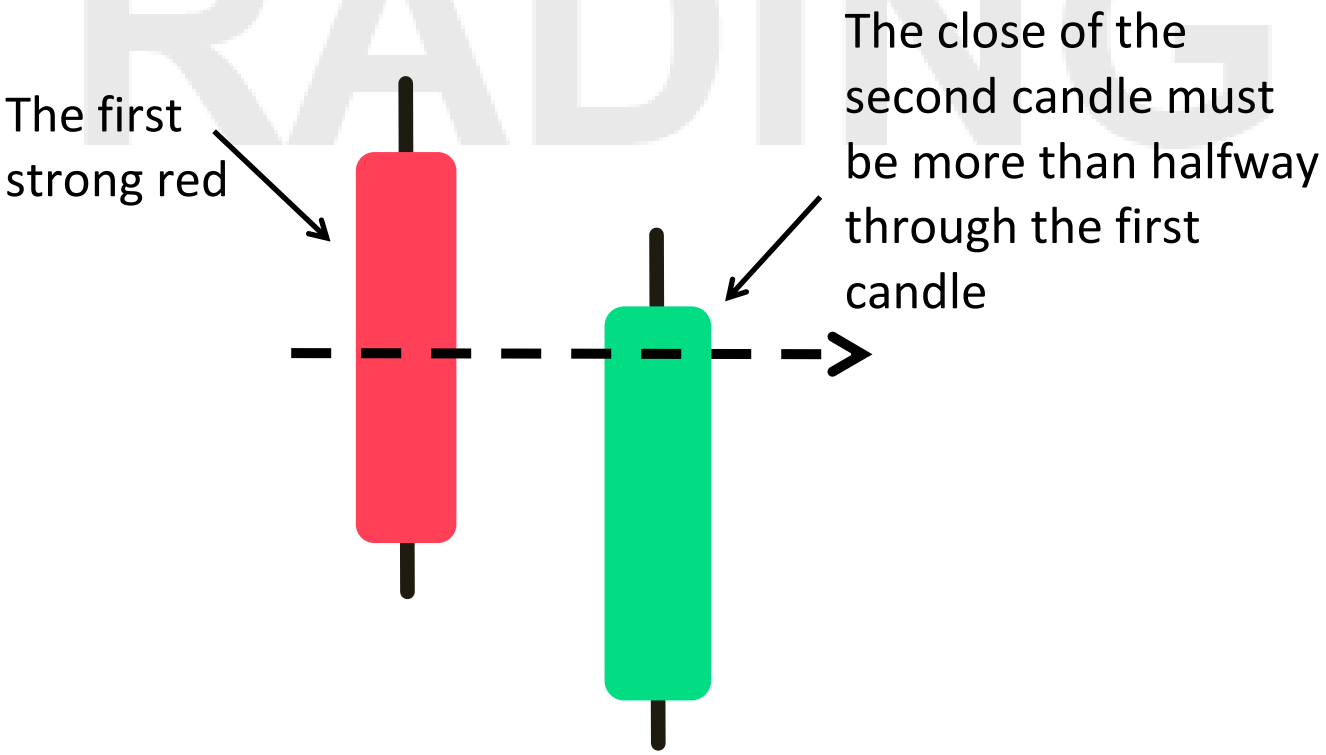

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# PIERCING LINE

- The piercing line pattern consists of two candles and is formed after a downtrend, indicating a bullish reversal.

- The first candle is a bearish candle, which confirms the continuation of the downward trend.
- The second candle is a bullish candle that opens a gap down but closes more than half the body of the previous bearish candle.

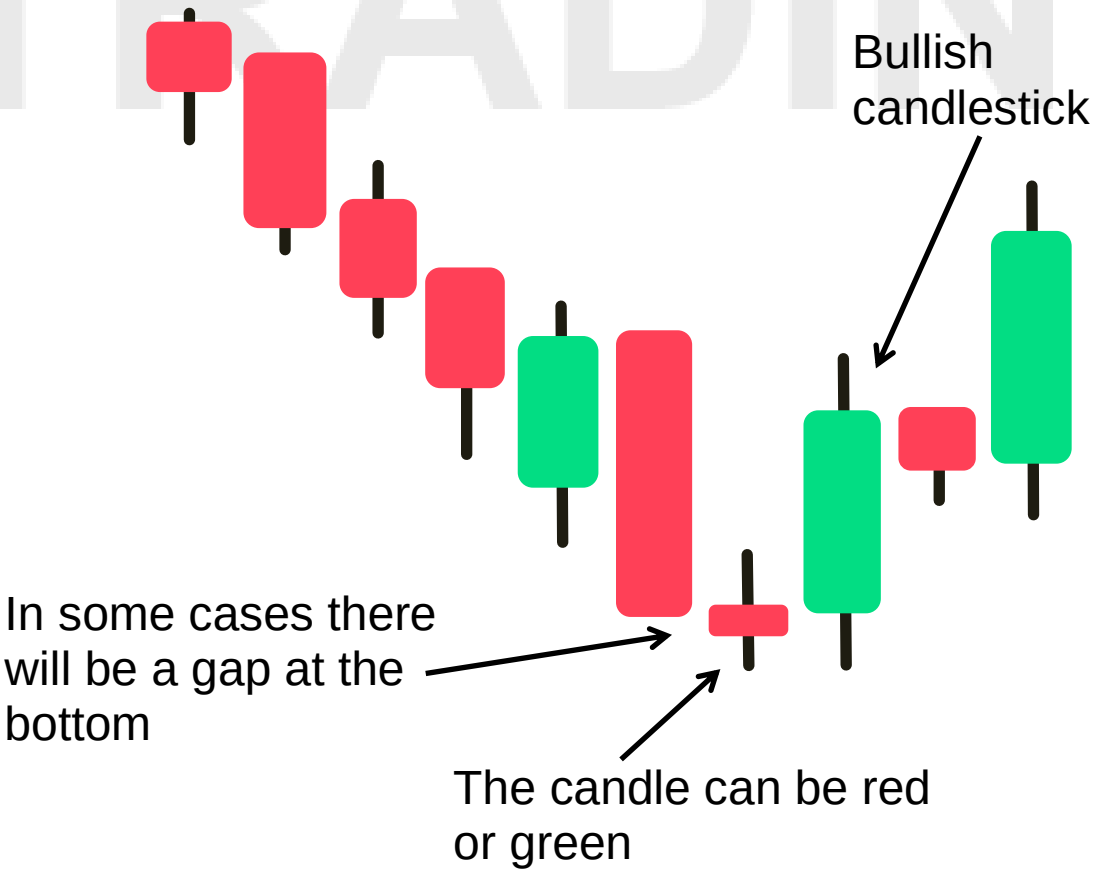
- This means that the bulls are returning to the market and a bullish reversal will occur.




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# MORNING STAR

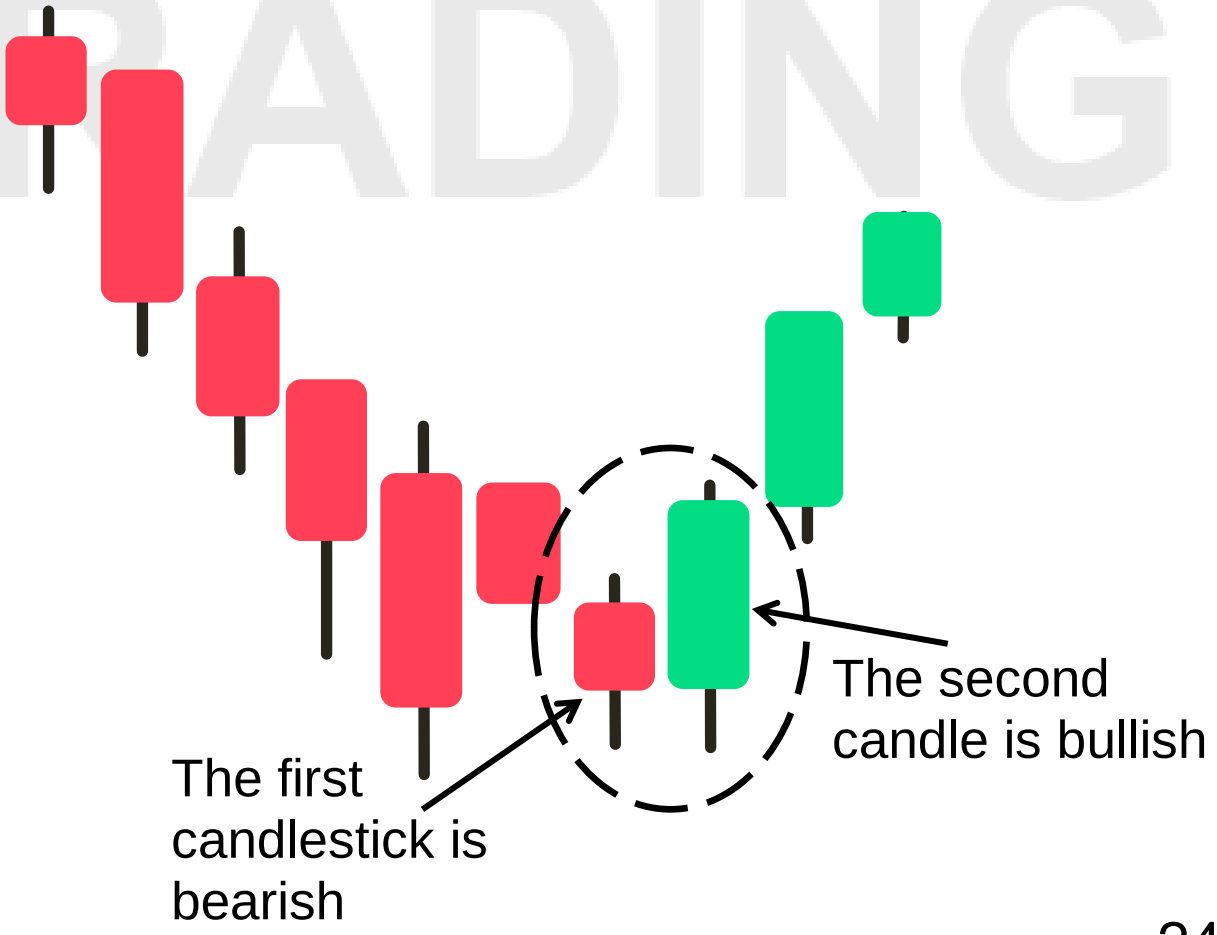
- The morning star is a multiple candlestick pattern that forms after a downtrend and indicates a bullish reversal.
- This pattern consists of three candles.
- A short candle with a small body between a long red and a long green candle creates the morning star formation.
- The middle candle of the formation captures the moment when the market remains uncertain, and the bears give way to the bulls.
- The third candle confirms the reversal and signals an uptrend, which presents a buying opportunity.




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# BULLISH ENGULFING

- Bullish Engulfing is a multiple candlestick chart pattern that is formed after a downtrend indicating a bullish reversal.
- The bullish engulfing pattern is formed of two candlesticks.
- The first candle is a short red body that is completely engulfed by a larger green candle.
- The buying pressure increases, leading to a reversal of the downtrend.
- The second Bullish candlestick is engulfing the body of the first bearish candle stick.




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# THREE WHITE SOLDIERS

- This pattern is made up of three long green candles in a row, this pattern also has to open and close higher than the previous period.

- Three White Soldiers is a strong bullish signal that shows up after a downtrend.

- This pattern is considered a reliable reversal pattern when confirmed by other technical indicators like the relative strength index (RSI).

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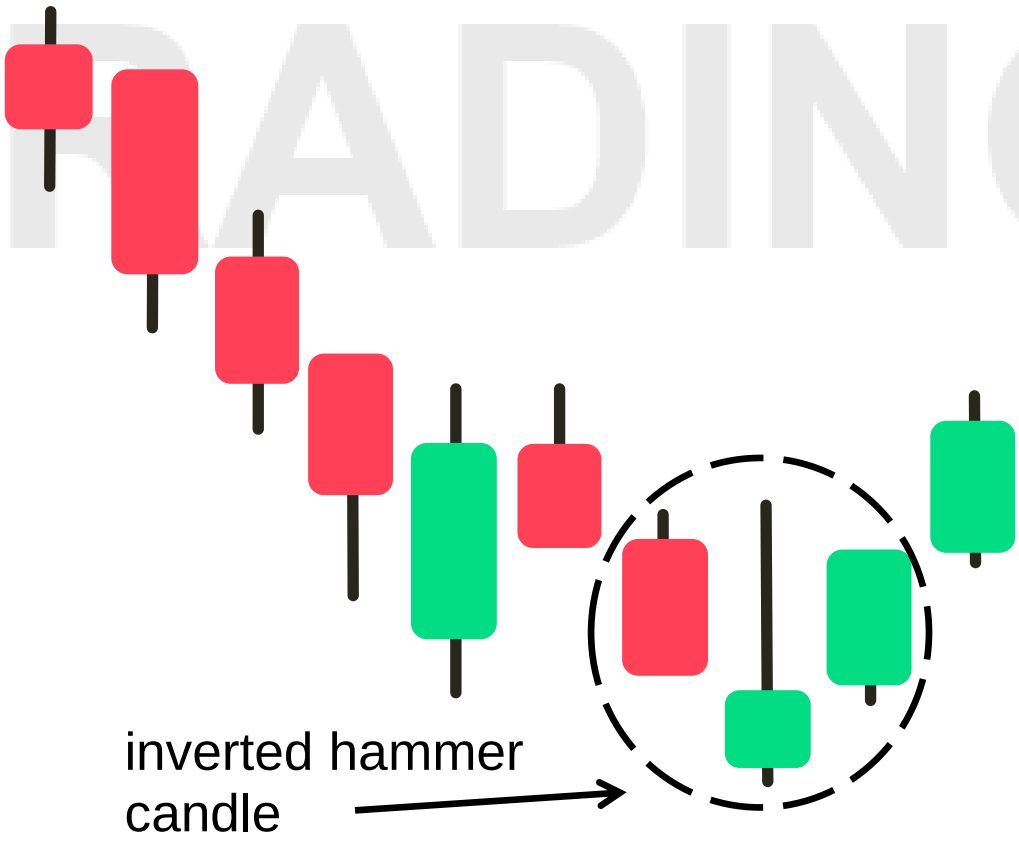
# INVERTED HAMMER

- It is similar to the hammer pattern, with the only difference being that the upper wick is long while the lower wick is short.

- t indicates buying pressure followed by selling pressure that was not strong enough to push the market price down.

- An inverted hammer indicates that buyers will soon be in control of the market.

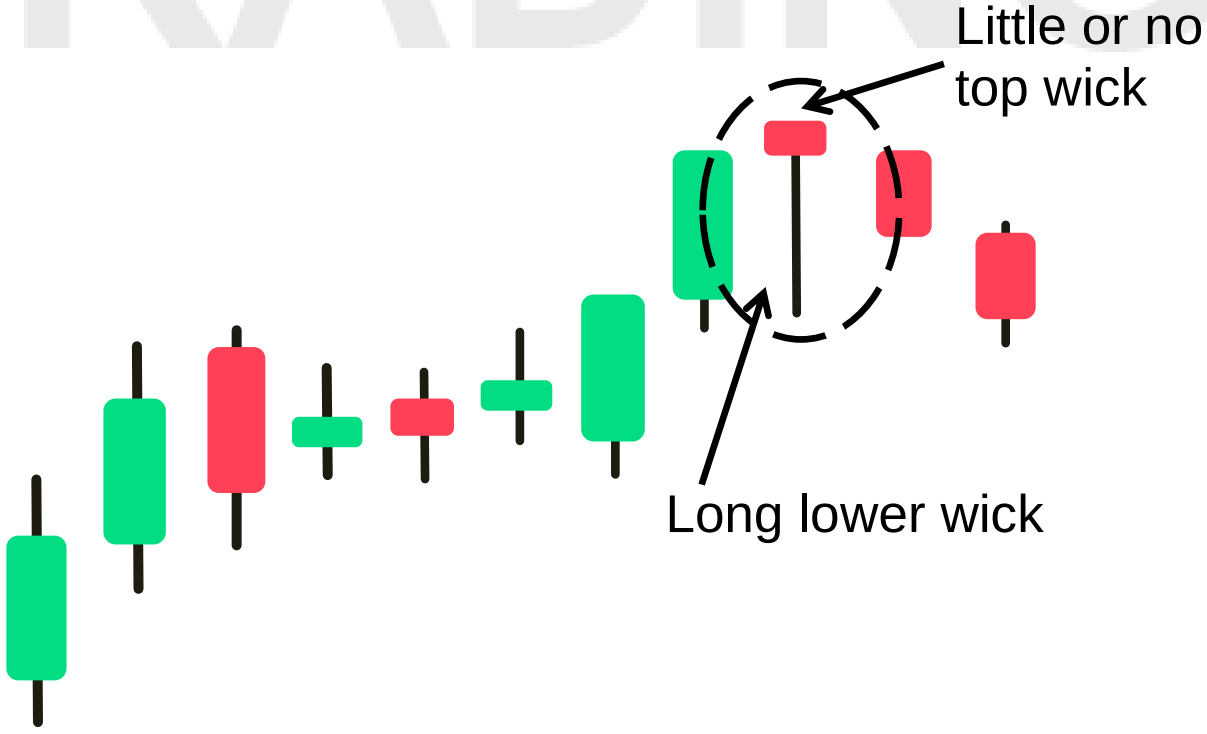
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# BEARISH CANDLESTICK PATTERNS

# HANGING MAN

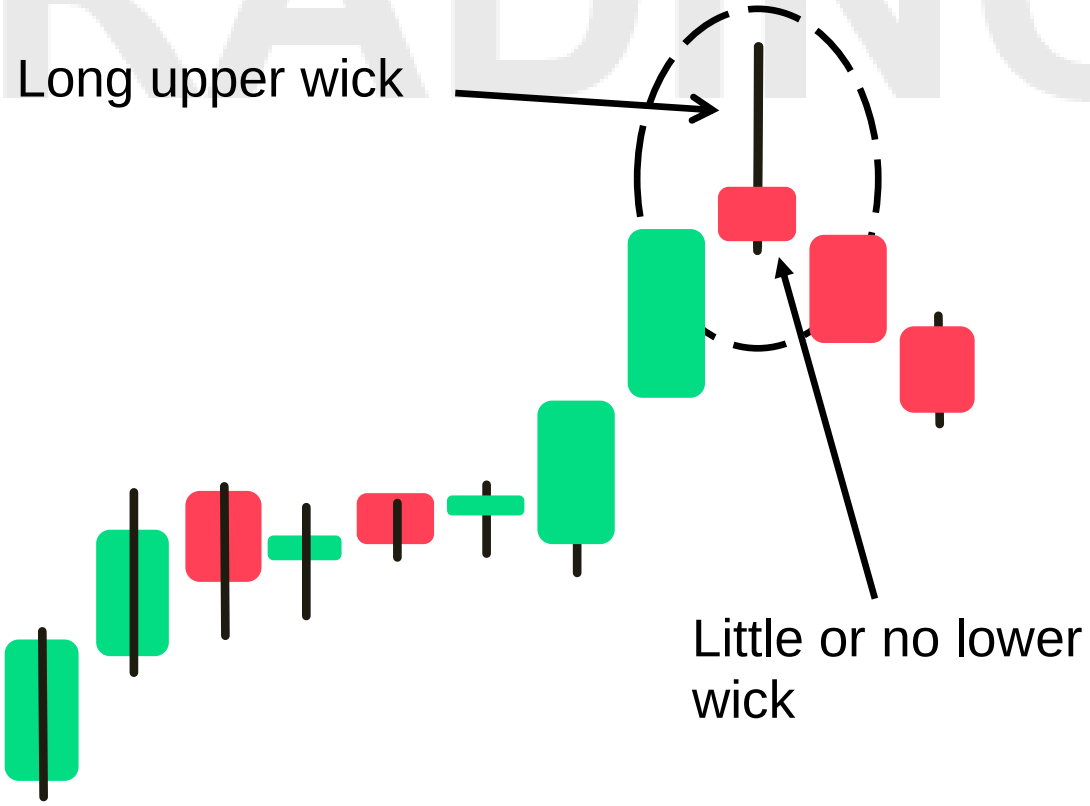
- The Hanging Man is a single candlestick pattern that forms at the end of an uptrend and signals a bearish reversal.
- The body of this candlestick is small and is located at the top, with a lower shadow that should be more than twice the size of the body. This candlestick pattern has little or no upper shadow.
- The psychology behind the formation of this candlestick is that prices open high, but sellers push the prices down.
- Suddenly, buyers enter the market and push the prices up, but are unsuccessful in maintaining the upward momentum, resulting in prices closing below the opening price.




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# SHOOTING STAR

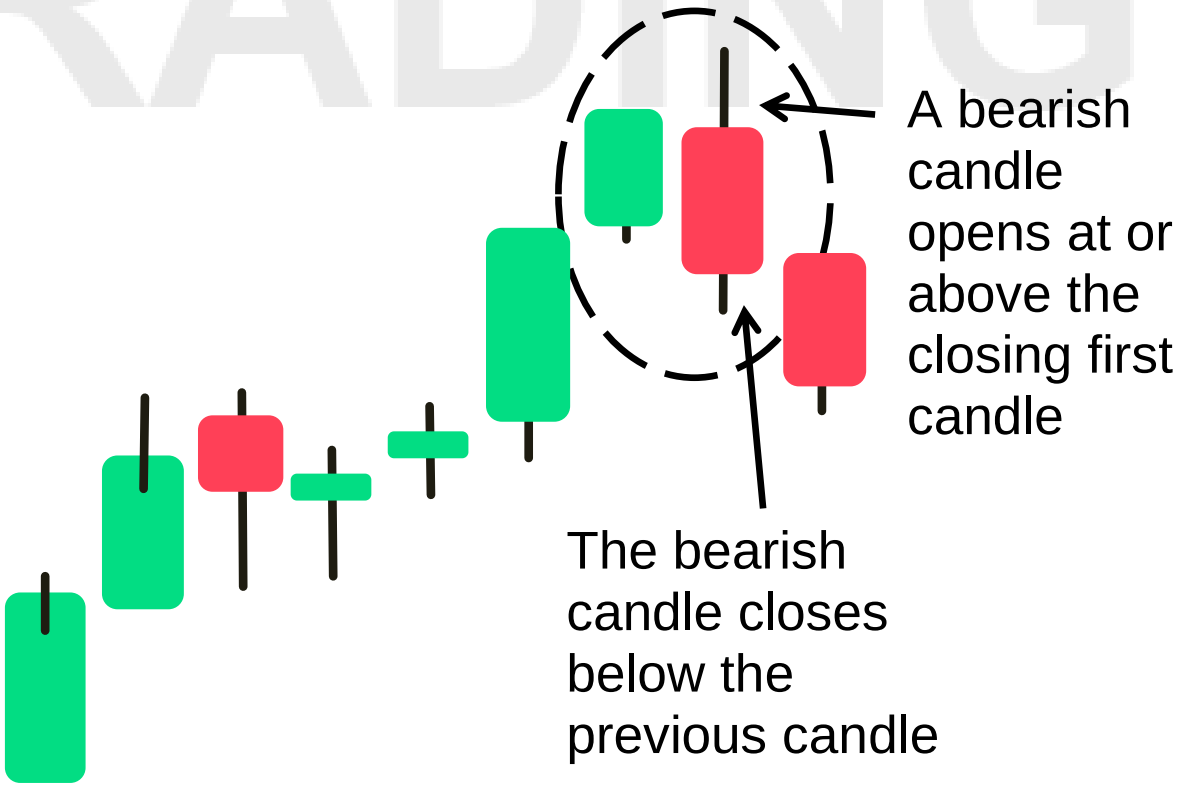
- Shooting Star is formed at the end of the uptrend and gives bearish reversal signal.
- In this candlestick chart the real body is located at the end and there is long upper shadow.
- It is the inverse of the Hanging Man Candlestick pattern.
- This pattern is formed when the opening and closing prices are near to each other and the upper wick should be more than the twice of the real body.




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# BEARISH ENGULFING

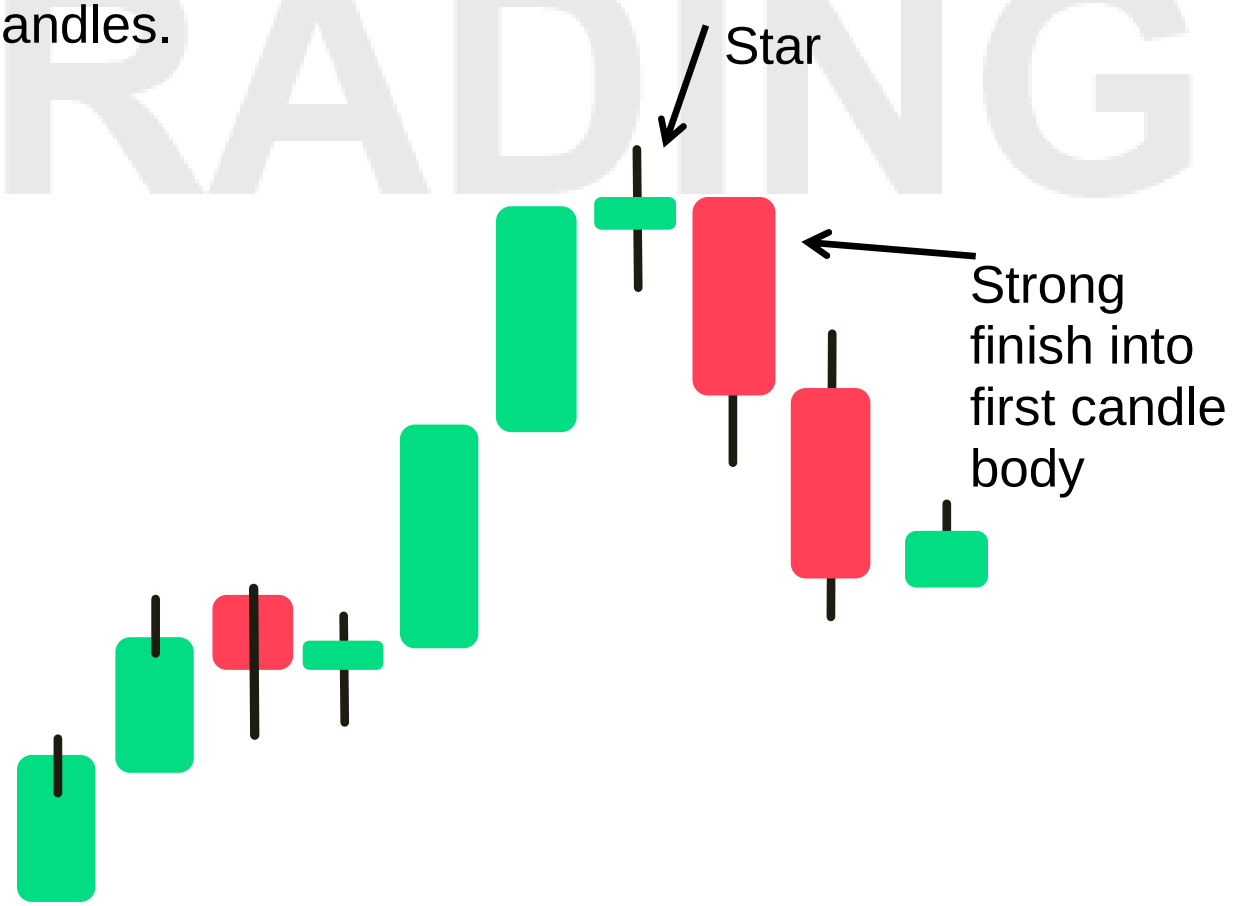
- Bearish Engulfing is a multiple candlestick pattern that is formed after an uptrend indicating a bearish reversal.
- It is formed by two candles, the second candlestick engulfing the first candlestick.
- The first candle being a bullish candle indicates the continuation of the uptrend.
- The second candlestick  is a long bearish candle that completely engulfs the first candle and shows that the bears are back in the market.
- Traders can enter a short position if next day a bearish candle is formed and can place a stop-loss at the high of the second candle




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# EVENING STAR

- The Evening Star is multiple candlestick pattern that are formed after the uptrend indicating a bearish reversal.
- It is made of three candlesticks, the first being a bullish candle, the second a doji, and the third being a bearish candle.
- The first candle shows the continuation of the uptrend, the second candle being a doji indicates indecision in the market, and the third bearish candle shows that the bears are back in the market and reversal is going to take place.
- The second candle should be completely out of the real bodies of the first and third candles.

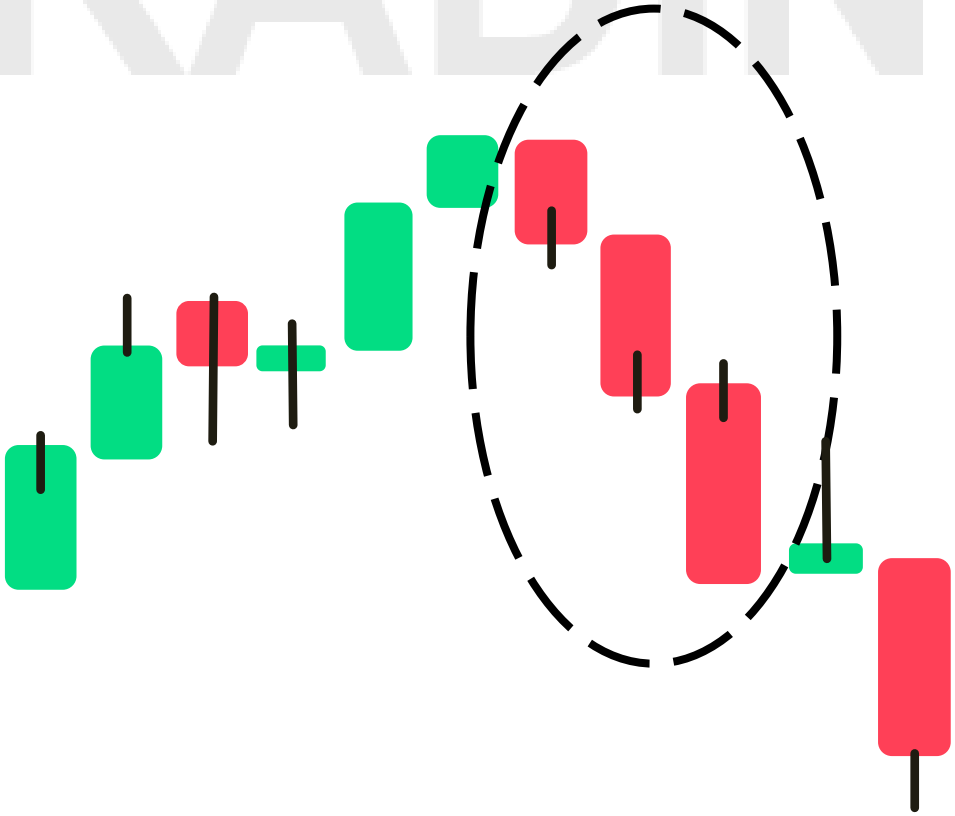



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# THREE BLACK CROWS

- The Three Black Crows is a multiple candlestick pattern that signals a bearish reversal after an upswing. It consists of three consecutive long red candles with short or nonexistent wicks.

- Each candle opens at a similar price to the previous candle, but selling pressure pushes the price lower and lower with each close.
- Traders often combine this pattern with other technical indicators, such as the RSI.
- The opposite pattern of three black crows is three white soldiers, which indicates a Bullish trend.

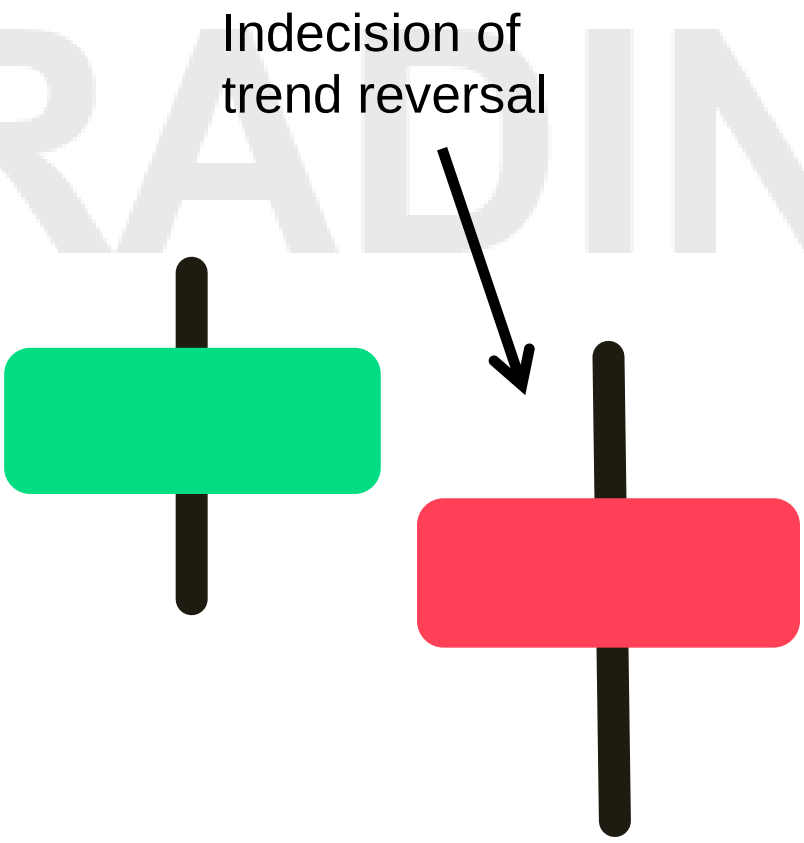


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# BILATERAL CANDLESTICK PATTERNS

# DOJI

- The Doji pattern is a candlestick pattern of indecision that is formed when the opening and closing prices are almost equal.
- It looks like a cross with a very small body and long wicks.
- The pattern occurs when both bulls and bears are fighting for price control, but neither can gain full control of the prices.
- Although the doji itself is a neutral signal, it can often be found in reversal patterns such as the bullish morning star and the bearish evening star.



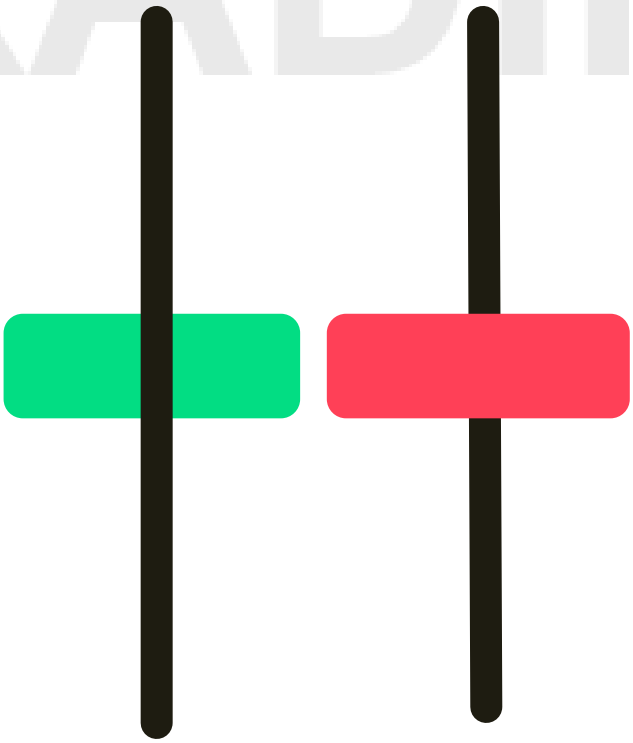

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# SPINNING TOP

- A spinning top is a candlestick pattern that has a short real body that is centered vertically between long upper and lower wicks.

- This pattern shows indecision in the market, as both buyers and sellers have pushed the price but failed to hold it, and further sideways movement could follow.

- The spinning top is much stronger in a trending market, whether it is an uptrend or a downtrend.



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# GRAPHIC INDICATORS



# WHAT ARE TECHNICAL INDICATORS

- A technical indicator is a mathematical calculation that can be applied to price and volume data. It can be even applied to another technical indicator.

- **There are two categories of technical indicators:**

  1. Leading indicators give trade signals where a trend is about to start
  2. Lagging indicators follow the price action.

- Leading indicators try to predict price by using a shorter period in their calculation, which leads the price movement. The most popular leading indicators are MACD, RSI, and Stochastic.

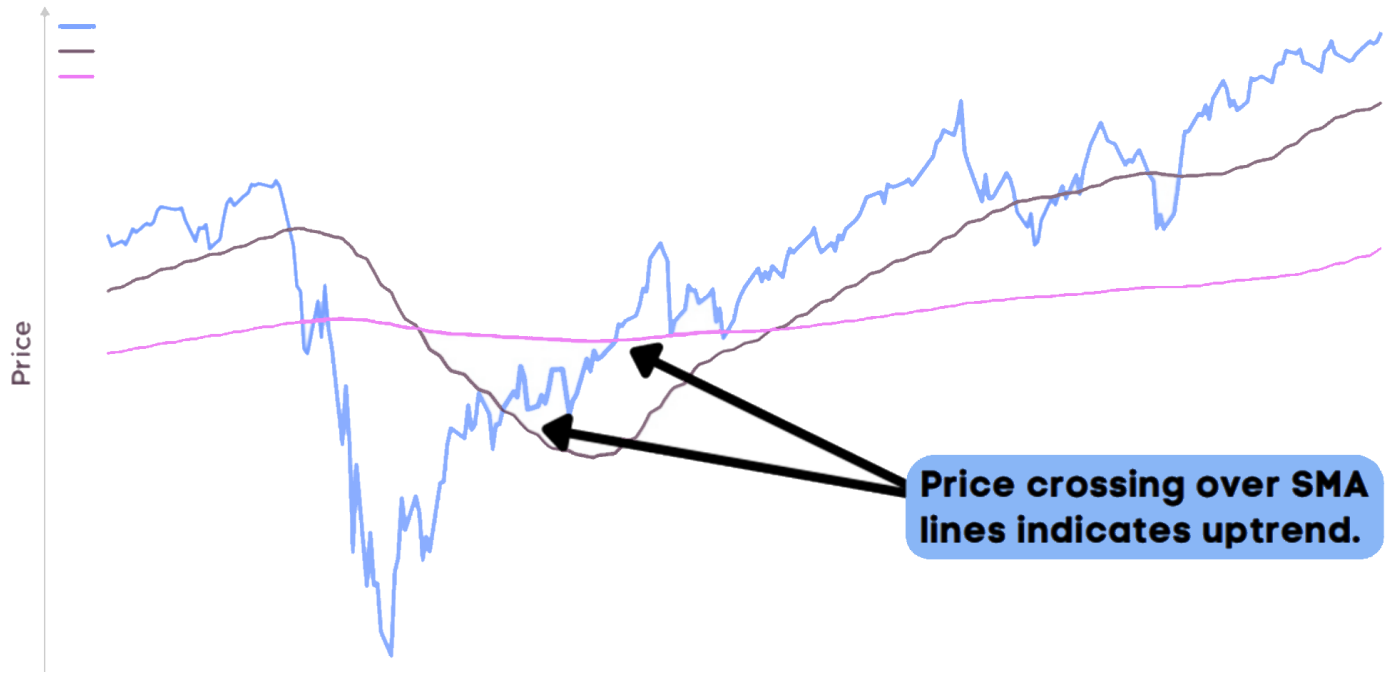
- Lagging indicators give a signal after the trend or reversal has started. The most common lagging indicator is the Moving Average.

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# SMA-SIMPLE MOVING AVERAGE

- A simple moving average is an arithmetic average of a set of data points where each data point is added together and then divided by the total number of data points.
- A simple moving average is a smoothing tool to display trends for a specific number of periods.

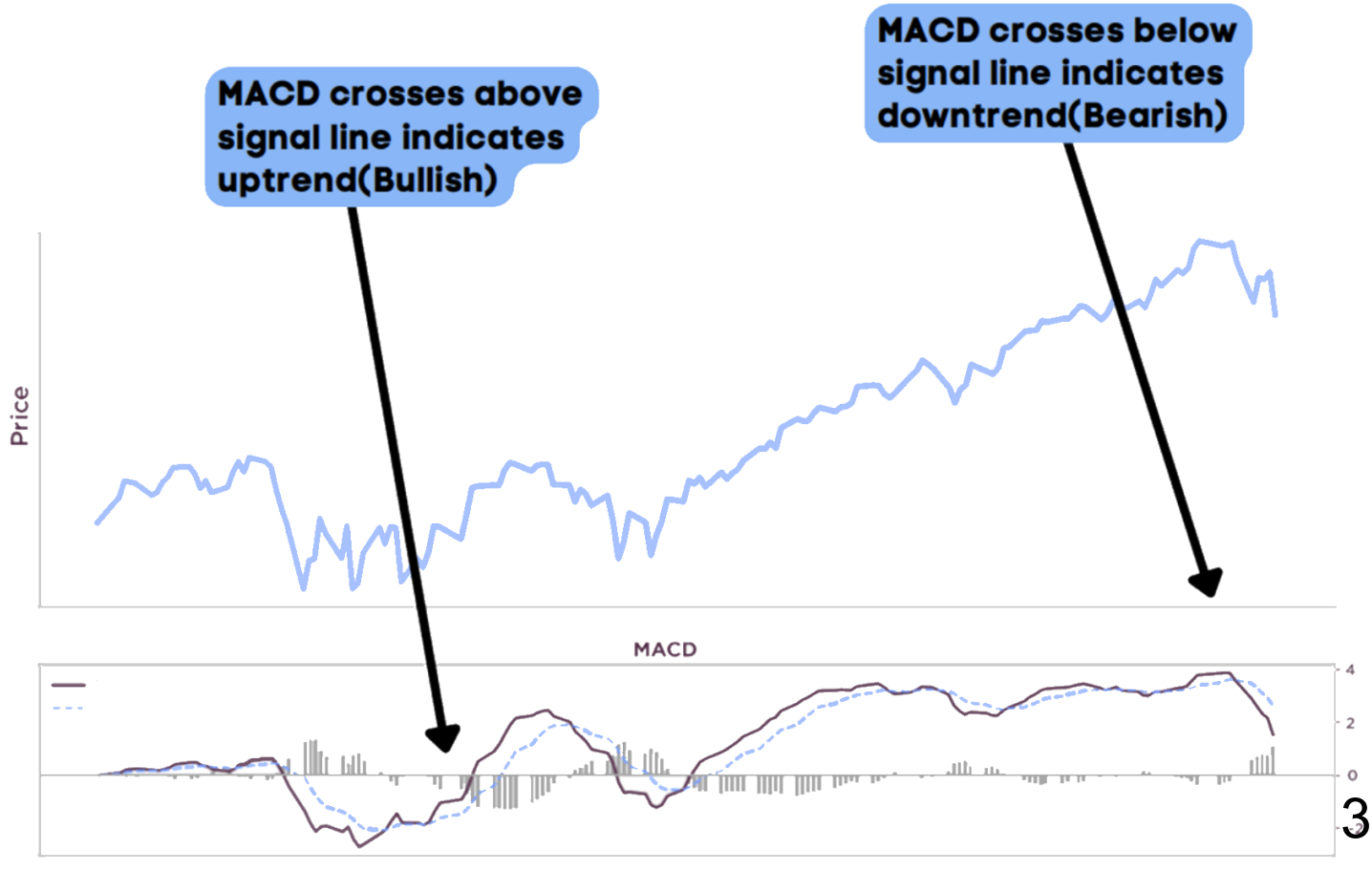
- For example, a 50-period simple moving average finds the closing price of the last 50-periods, sums the 50 closing prices, and
- divides by 50 to calculate the average closing price of the previous 50 periods. New periods are then added to the calculation, while the oldest period is deleted from the calculation.
- The simple moving average is typically plotted as a technical overlay.




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# MACD-MOVING AVERAGE CONVERGENCE DIVERGENCE

- The moving average convergence/divergence (MACD) is a technical indicator of momentum that uses moving averages to determine a trend's strength.
- The MACD uses three exponential moving averages (a short term, a long term, and the average difference between the short and long term) to show price momentum.
- The MACD indicates changes in trend direction, as well as overbought and oversold conditions, by showing the turning points where the signal line crosses over the other moving average lines.

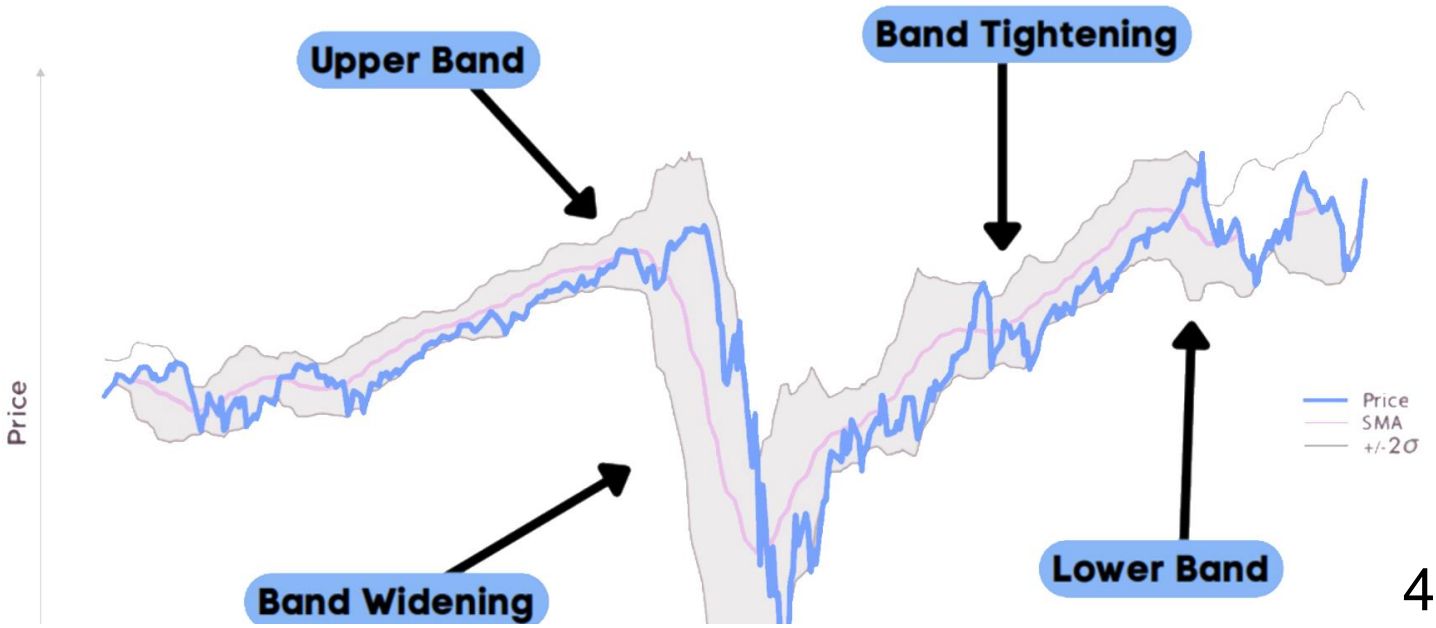


# BOLLINGER BANDS

- Bollinger bands are a chart overlay, volatility indicator that show the upper and lower range of normal price movement based on standard deviation. There are three lines that compose Bollinger Bands: A simple moving average (middle band) and an upper and lower band.

- The bands are dynamic/sensitive to changes in volatility. When the bands widen, price volatility is increasing. When the bands tighten, volatility is decreasing.

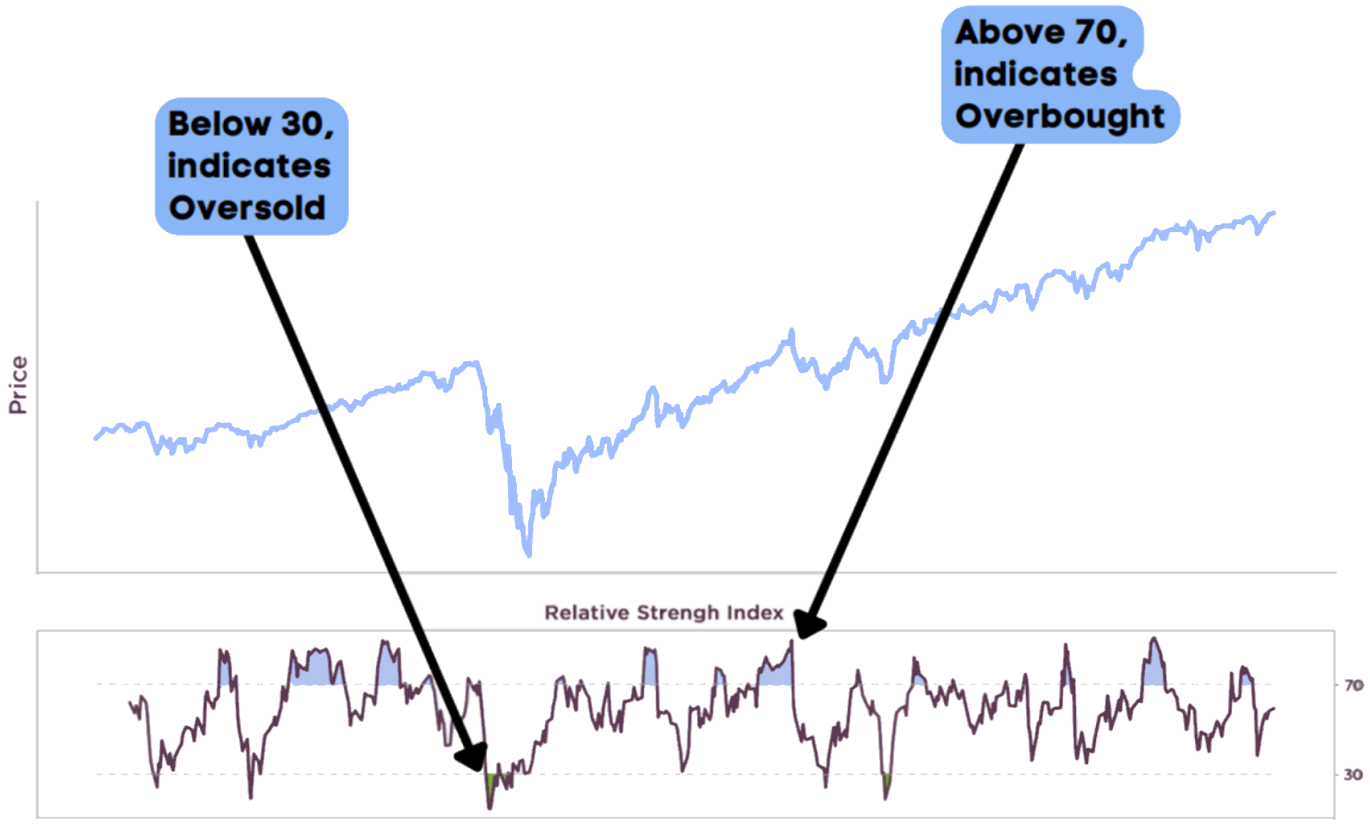
- Price tends to oscillate within the bands and the upper and lower bands are used as resistance and support, respectively. Breakouts above the upper band or below the lower band are often used as trading signals.




SOFER TRADING

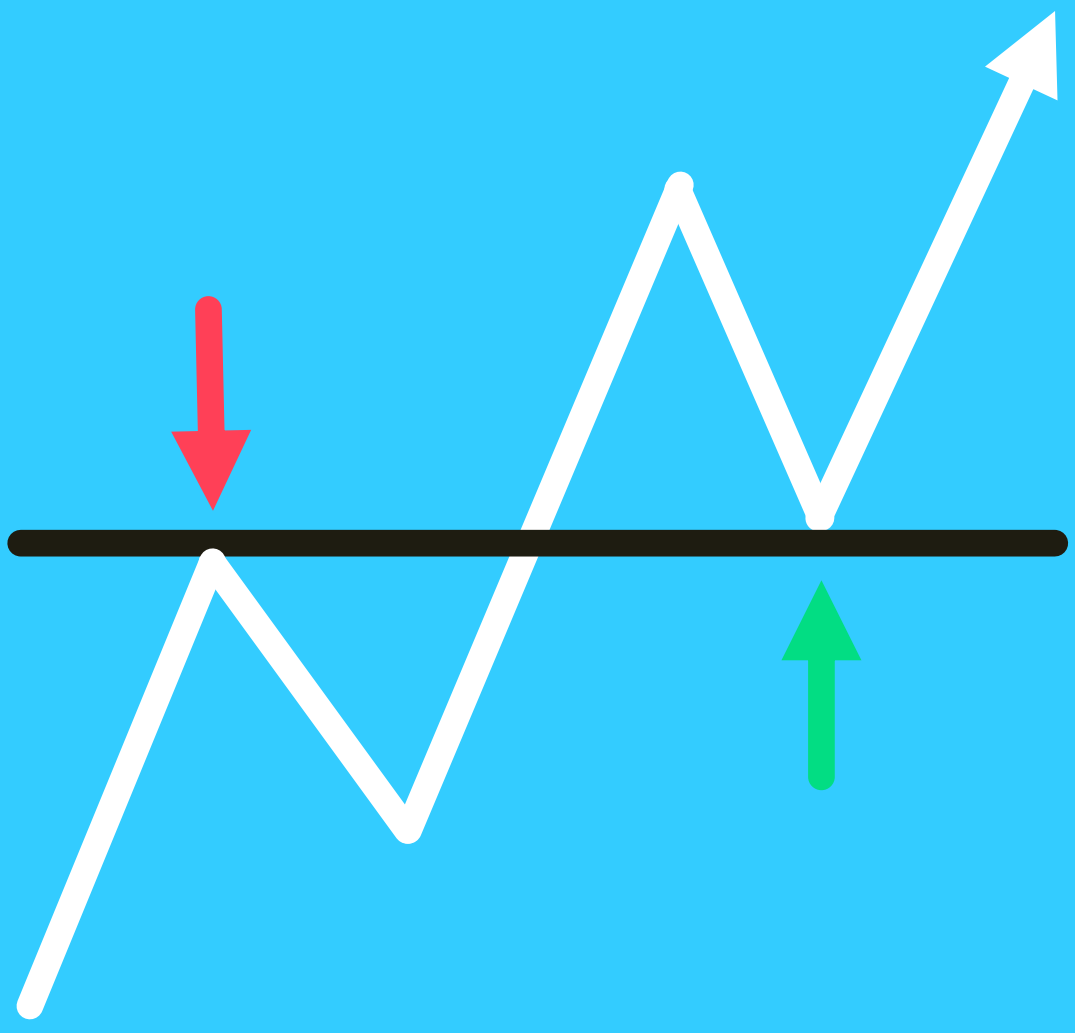
# RSI-RELATIVE STRENGTH INDEX

- The relative strength index (RSI) is a technical indicator of momentum that measures the speed and change of price on a scale of 0 to 100, typically over the past 14 periods.
- Readings over 70 are considered overbought, while readings below 30 are considered oversold.
- When the RSI surpasses the horizontal 30 reference level, it is a bullish sign and when it slides below the horizontal 70 reference level, it is a bearish sign.
- RSI measures the strength of a security's price change by comparing up days and down days.




SOBER TRADING

# SUPPORT AND RESISTANCE



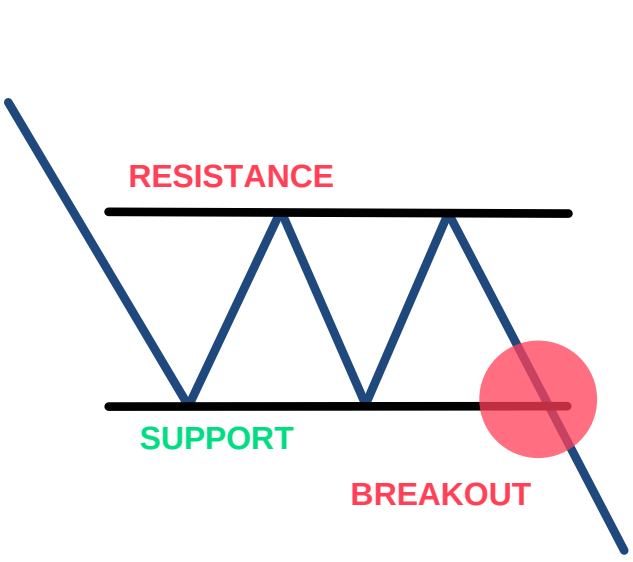
# WHAT IS SUPPORT AND RESISTANCE

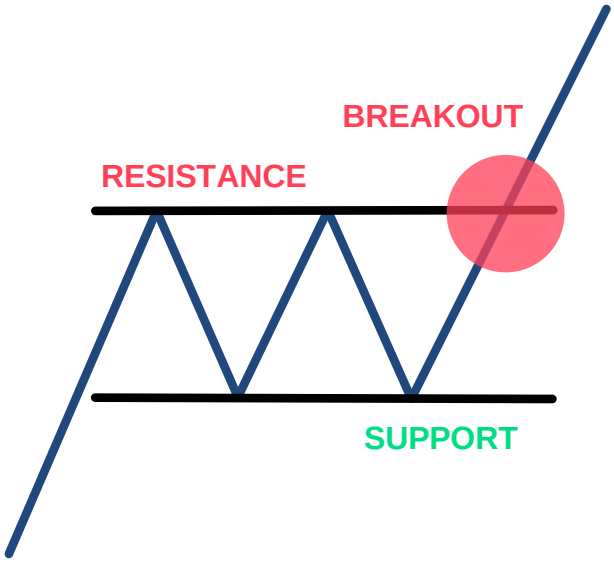
- Support and resistance are key price levels on a chart that are used to identify points where the price could potentially reverse.

- Support is a price level where the price has touched in the past and bounced up from.

- Conversely, resistance is a price level where the price has touched and turned downwards. When the price surpasses a resistance level, it may become a support level.

- The more frequently the price tests a support or resistance level without breaking it, the stronger the support or resistance area will be.



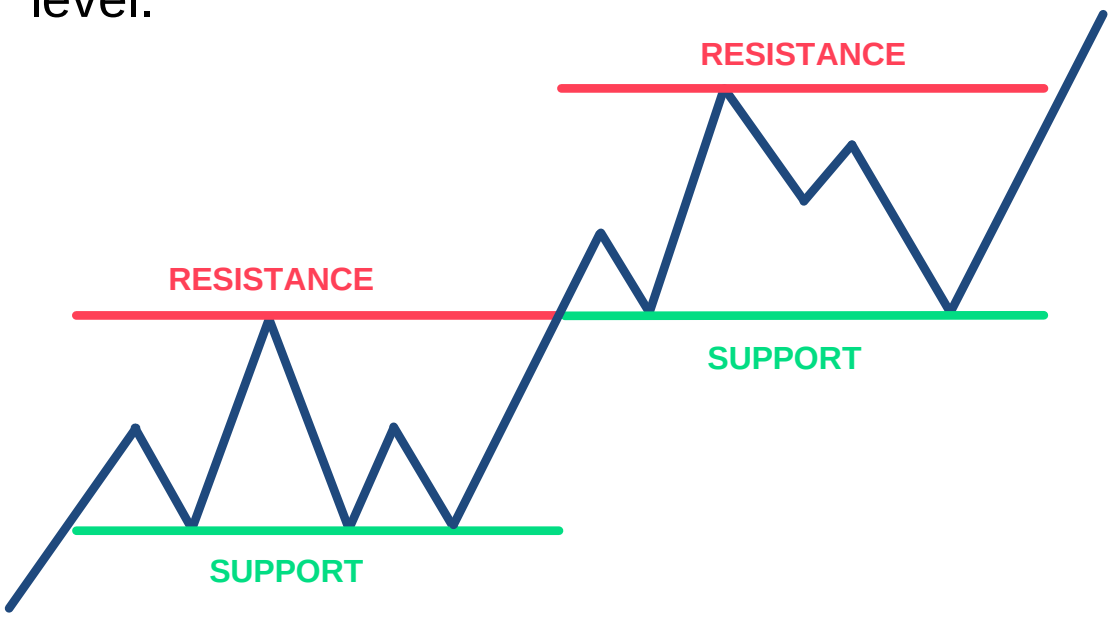

SOBER TRADING

# HOW TO DRAW SUPPORT AND RESISTANCE

- Support and resistance lines need to have at least two price-point to be drawn.

- Simply connect two swing highs or two swing lows in a price chart with a trendline, and project the trendline into the future.

- To find a support level, look for areas on the chart where the price touched and moved back up. Let's highlight these points and connect them with a horizontal line that represents the level of support.
- To find a resistance level, follow the same process and look for areas where the price touched and turned to the downside. We highlight these points and connect them with a horizontal line that represents the resistance level.




SOFER TRADING

# SUPPORT AND RESISTANCE

- Once an area of Resistance is finally broken, it will become an area of Support for the price to test and bounce off.
- Vice versa with an area of Support: once broken, it will be re-tested as an area of Resistance.

- Support and Resistance is a simple trading strategy that can be profitable if combined with other confluences like Candlestick Patterns and Indicators.

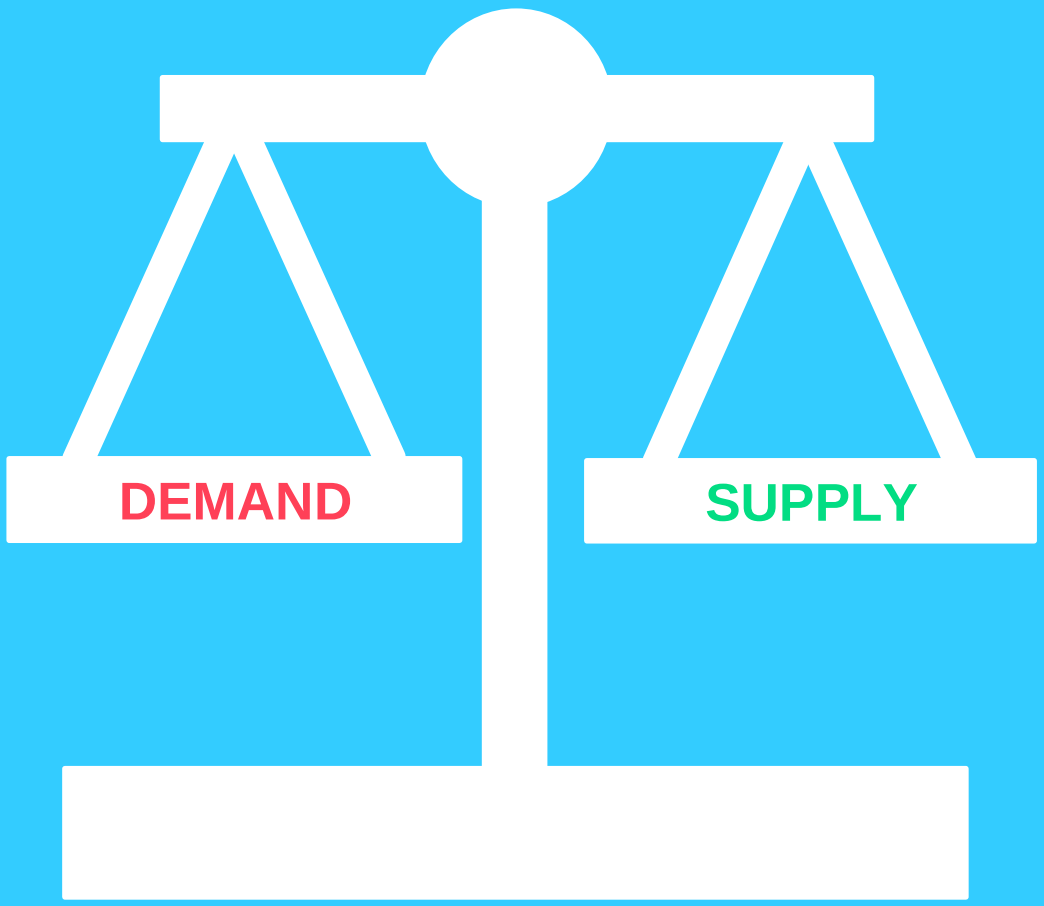
- Enter into a long position when the price is at an area of support, and there is bullish price action (bullish candlestick patterns)
- .Enter into a short position at an area of resistance, and there is bearish price action (bearish candlestick patterns).

- Trade the "Bounce"
  - Buy when the price is falls towards support.
  - Sell when the price rises towards resistance.

- Trade with "Break"
  - Buy when the price breaks up through resistance.
  - Sell when the price breaks down support.

SOBER TRADING

# SUPPLY AND DEMAND



# WHAT IS SUPPLY AND DEMAND

- Supply and Demand zones are different from areas of Sup-port and Resistance.
- The zones are periods of sideways movement before an explosive move in price.
- A supply zone is formed before a downtrend, and a de-mand zone is formed before an uptrend.
- Supply Zones are the candlesticks that mark the beginning of a strong downtrend.
- Demand Zones are the candlesticks that mark the begin-ning of a strong uptrend.
- Supply and Demand can be applied in all Forex, Stocks, and Crypto markets. Supply and Demand strategies use price returning to these zones as entry and exit criteria.

SOBER TRADING

# WYCKOFF MARKET CYCLE

- There are three concepts in trading any financial market:

  1. When demand is greater than supply, the price goes up.

  2. When supply is greater than demand, the price goes down.

  3. When demand is equal to supply, the price goes side-ways.

- Richard Wyckoff was one of the first Technical Analysts to identify how these phases work, giving them four labels.

  1. Accumulation (demand)
  2. Markup
  3. Distribution (supply)
  4. Markdown.

SOBER TRADING

# WYCKOFF MARKET CYCLE

- Demand is known as Accumulation Zones.
- Supply is known as Distribution Zones.

- Wyckoff explained that these phases are conducted by 'whales,' which are institutions with mass amounts of money in the markets.

- 'Whales' can't just place their whole order in the market at once because it would make big moves in price. So inste-ad, they spread their entire order by buying or selling at specific areas multiple times, within a price range, which creates supply and demand zones.

- If an institution were to buy all at once, it would force the price to increase dramatically. and if they were to sell all at once, it would cause the price to fall.

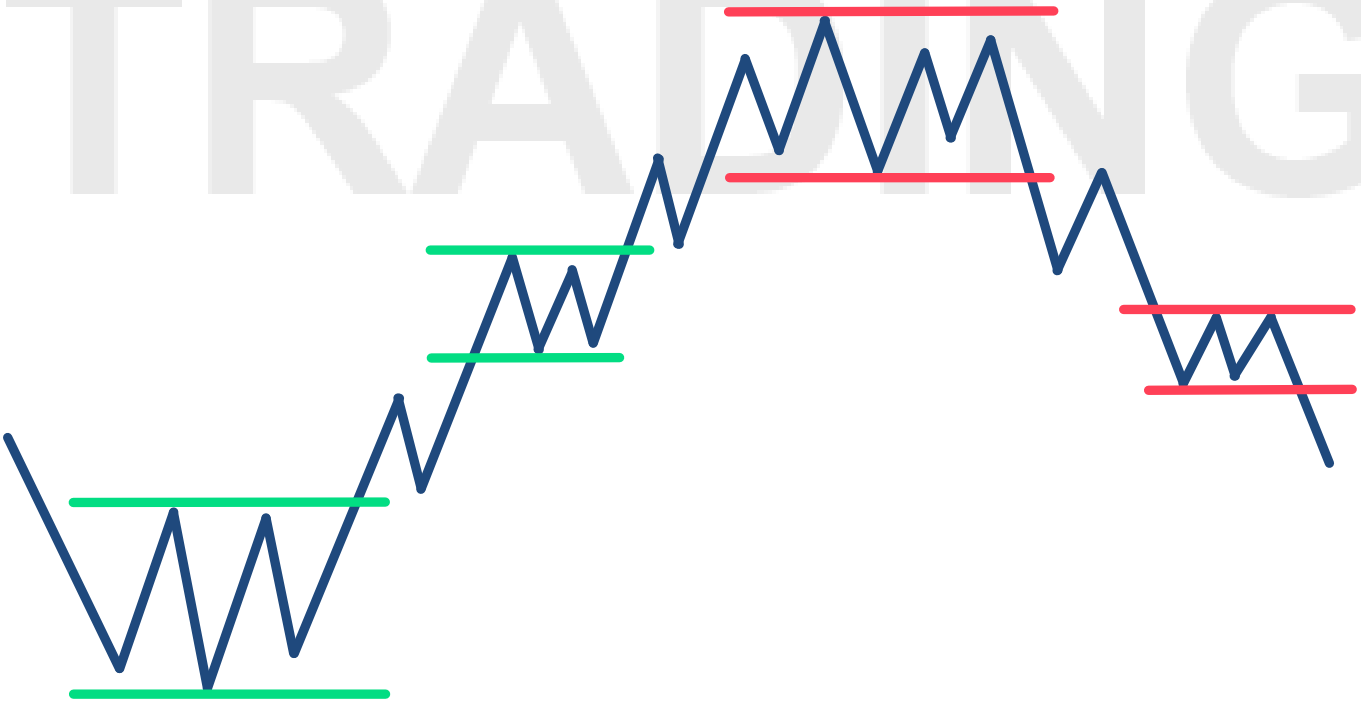
SOBER TRADING

# WYCKOFF MARKET CYCLE

- Accumulation is when 'whales' buy over a period of time to minimise the market impact of their trades - which creates a Demand Zone.

- Distribution is the opposite when 'whales' sell over a period, creating a supply zone.

- Eventually, the price will move in the direction. the whales had been buying or selling.



SOBER TRADING

# SUPPLY AND DEMAND PATTERNS

- Regarding Supply and Demand zones, there are four cri-tical patterns.

- Two Supply and Demand reversal patterns and two Supply and Demand continuation patterns.

- Supply and Demand reversal patterns:

  1. The Drop-Base-Rally Demand Pattern (Bullish reversal pattern)

  2. The Rally-Base-Drop Supply Pattern (Bearish reversal pattern)

- Supply and Demand continuation patterns:

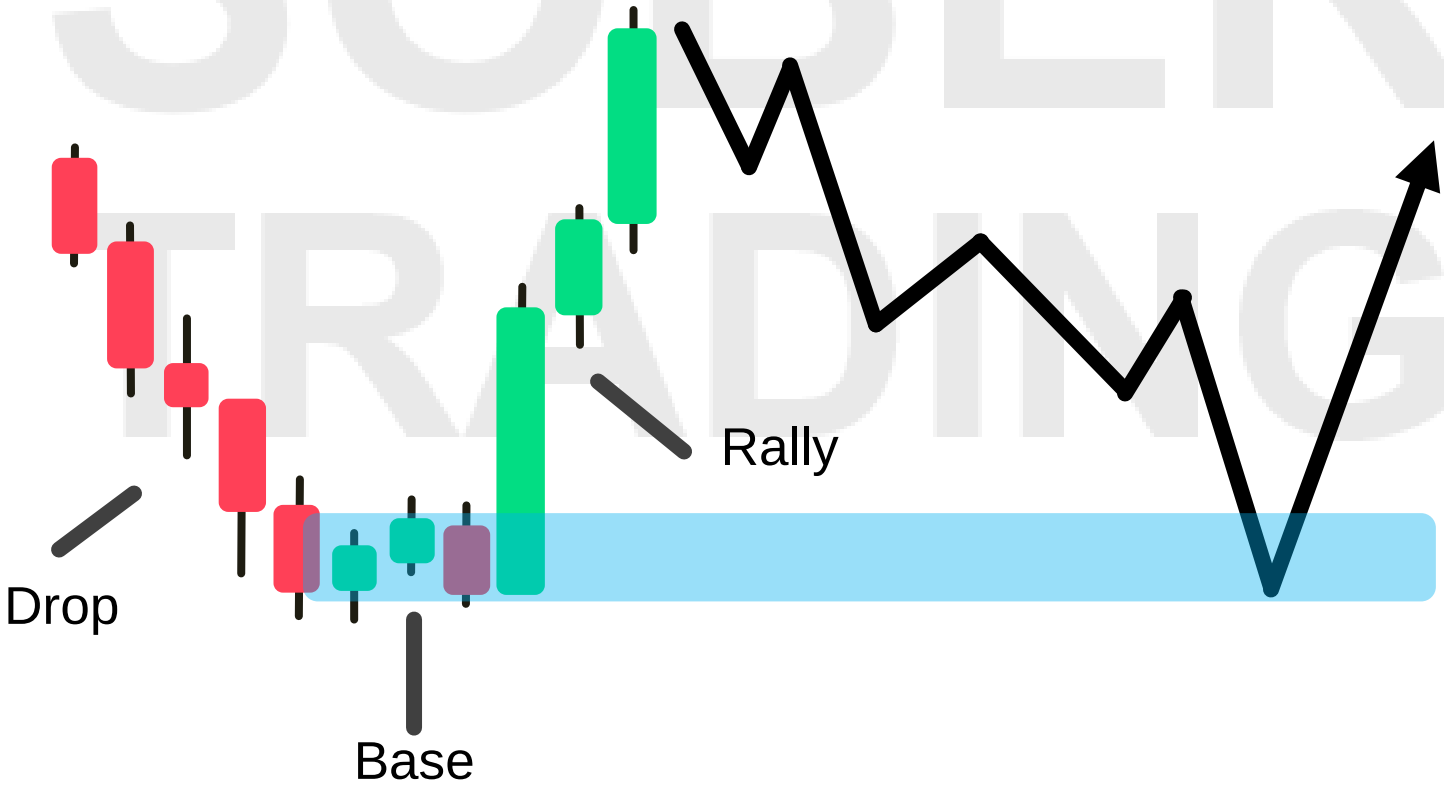
  1. The Rally-Base-Rally Demand Pattern (Bullish continuation pattern)

  2. The Drop-Base-Drop Supply Pattern (Bearish continuation pattern)

SOBER TRADING

# DROP-BASE-RALLY

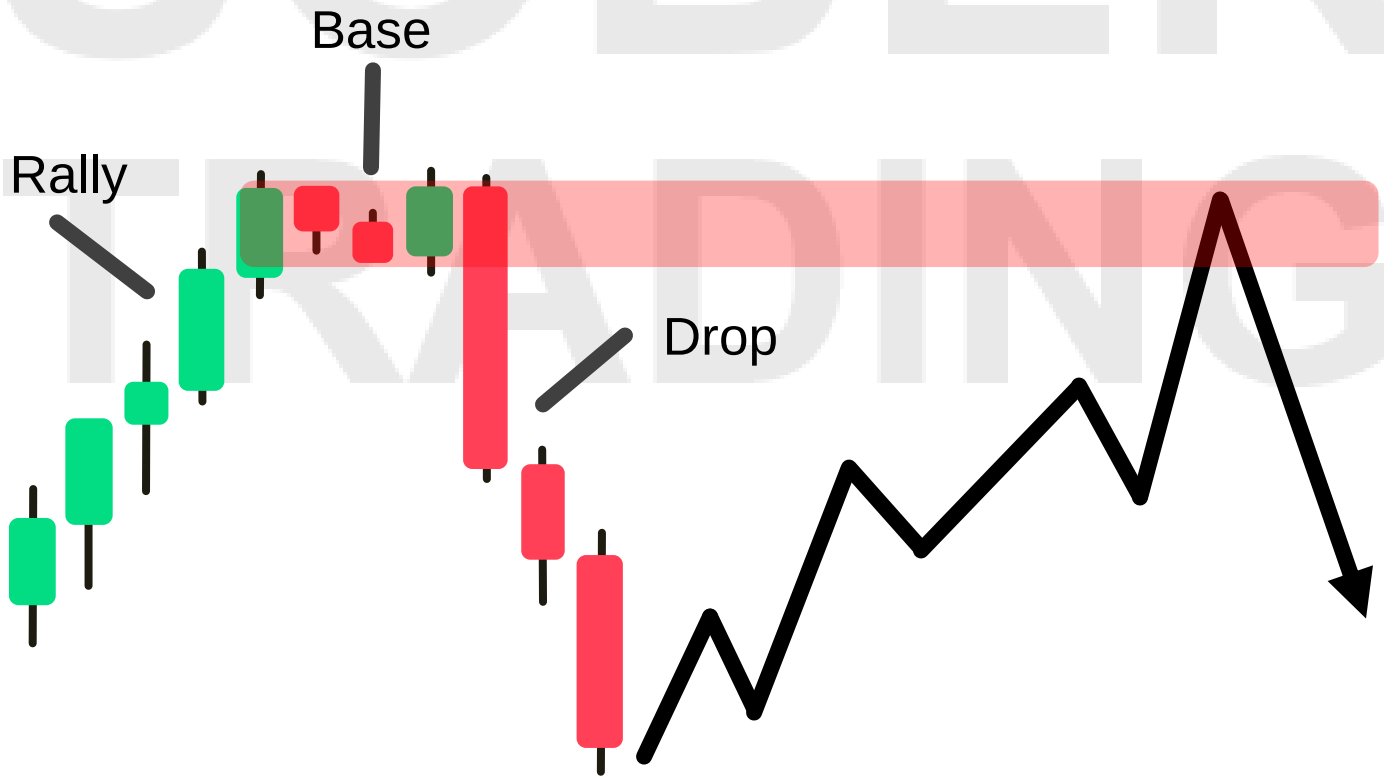
- Drop-base-rally is a bullish reversal pattern at a Demand zone.
- Price has dropped, consolidated (base) before reversing to the upside through a rally.




SOBER TRADING

# RALLY-BASE-DROP

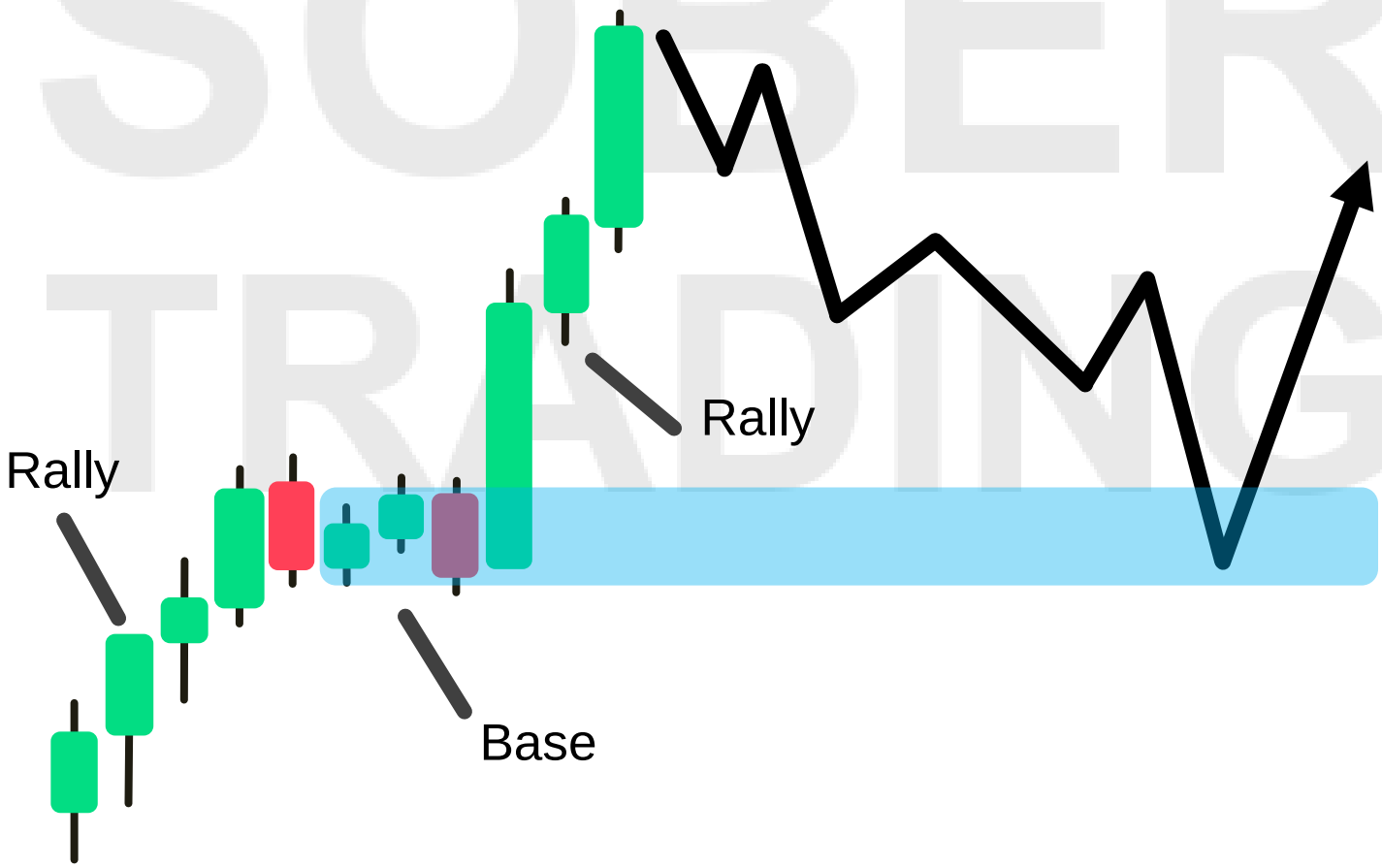
- Rally-base-drop is a bearish reversal pattern at a Supply zone.
- Price has rallied and consolidated (base) before reversing to the downside through a drop.




SOBER TRADING

# RALLY-BASE-RALLY

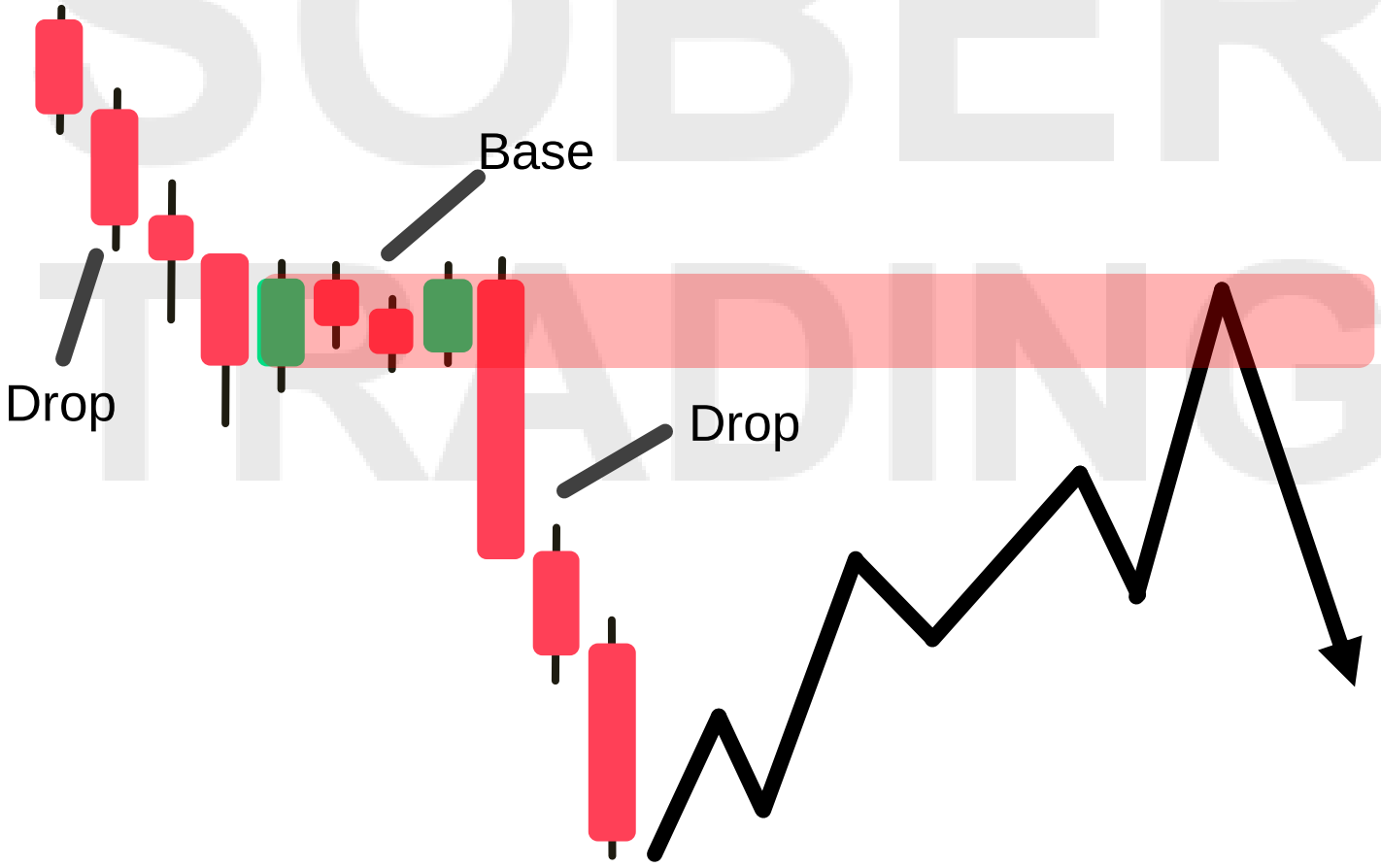
- Rally-base-rally is a bullish continuation Demand zone pattern.
- Price has rallied and consolidated (base) before continuing to the upside by rallying again.




SOBER TRADING

# DROP-BASE-DROP

- Drop-base-drop is a bearish continuation Demand zone pattern.
- Price has dropped and consolidated (base) before continuing to the downside by dropping again.




SOBER TRADING

# IDENTIFYING SUPPLY AND DEMAND ZONES

- Identifying Supply and Demand zones is simple and comes to you naturally once you have trained your eyes to spot the zones.

- Identifying the zones can be broken down into five small steps:

  1. Identify current market price and price action.
  2. Look left on the chart to see what price has done in the past.
  3. Look for big green or red candles.
  4. Find the origin of the big candles.
  5. Draw a zone around this origin and wait for the price to reach this zone again for a possible trade.

SOBER TRADING

# DRAWING SUPPLY AND DEMAND ZONES

- There are two ways to draw Supply and Demand zones. These are from the base or a single candle.

- The base is several small candles in tight consolidation be-fore an explosive move up or down.

- **Drawing Supply:**

  The most common way is to draw a zone from the upper wick to the open of the body of the last bullish candle befo-re a move to the downside.

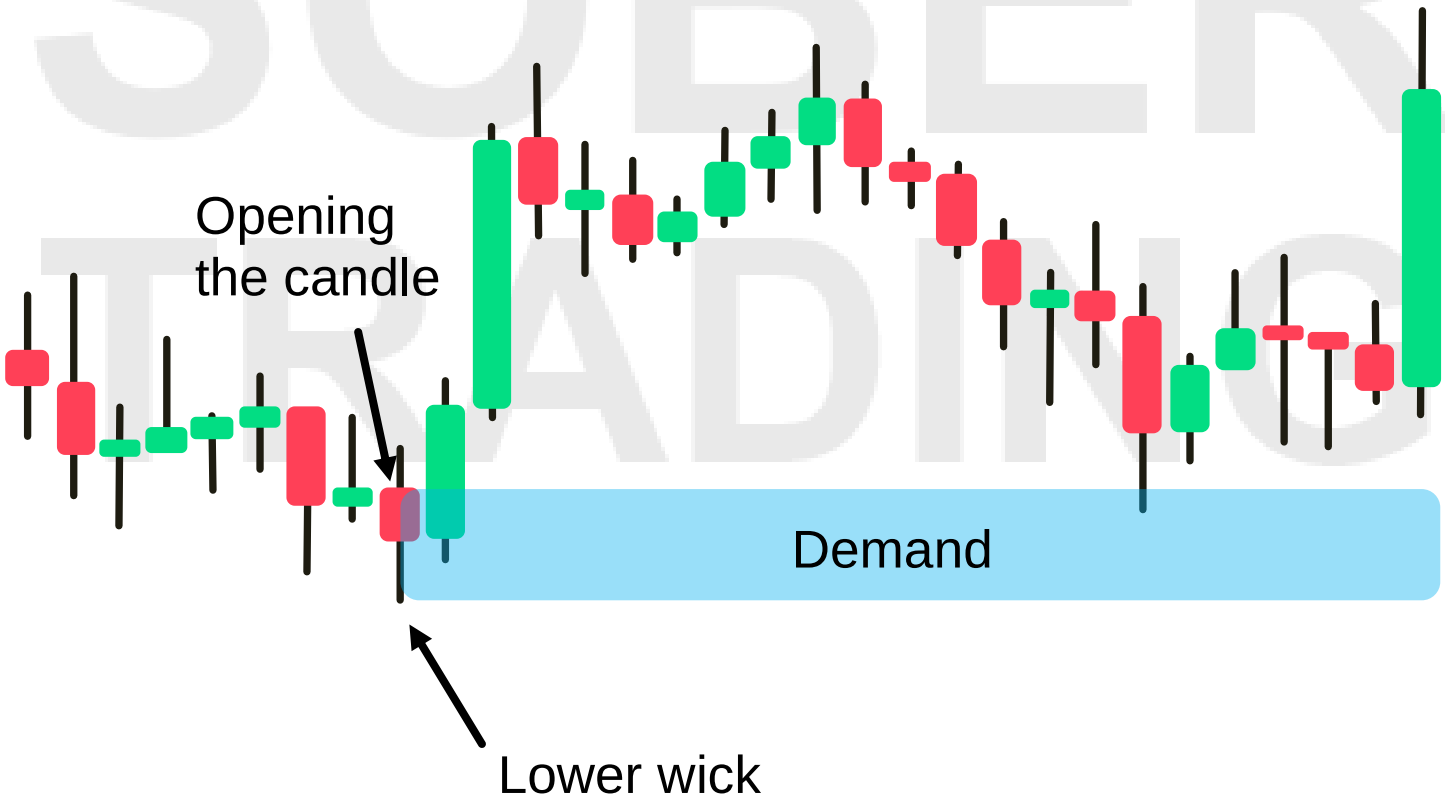



SOBER TRADING

# DRAWING SUPPLY AND DEMAND ZONES

- **Drawing Demand:**

  Draw a zone from the lower wick to the close of the body of the last bearish candle before a move to the upside.




SOBER TRADING

# SUPPLY AND DEMAND ZONES

- Once a Supply or Demand Zone has been identified, pa-tiently wait for the price to re-enter the Supply or Demand Zone drawn and enter a trade if there are other significant confluences to suggest a move.

- For example, once the price reverts into a Supply Zone, look for any bearish price action like an Engulfing Candle or a Shooting Star.

- Vice versa with a Demand Zone, wait for any bullish price action to form before entering into a trade.

- For example, once the price is back in the demand zone, look for an engulfing candle or a hammer candle to suggest any bullish pressure.

SOBER TRADING

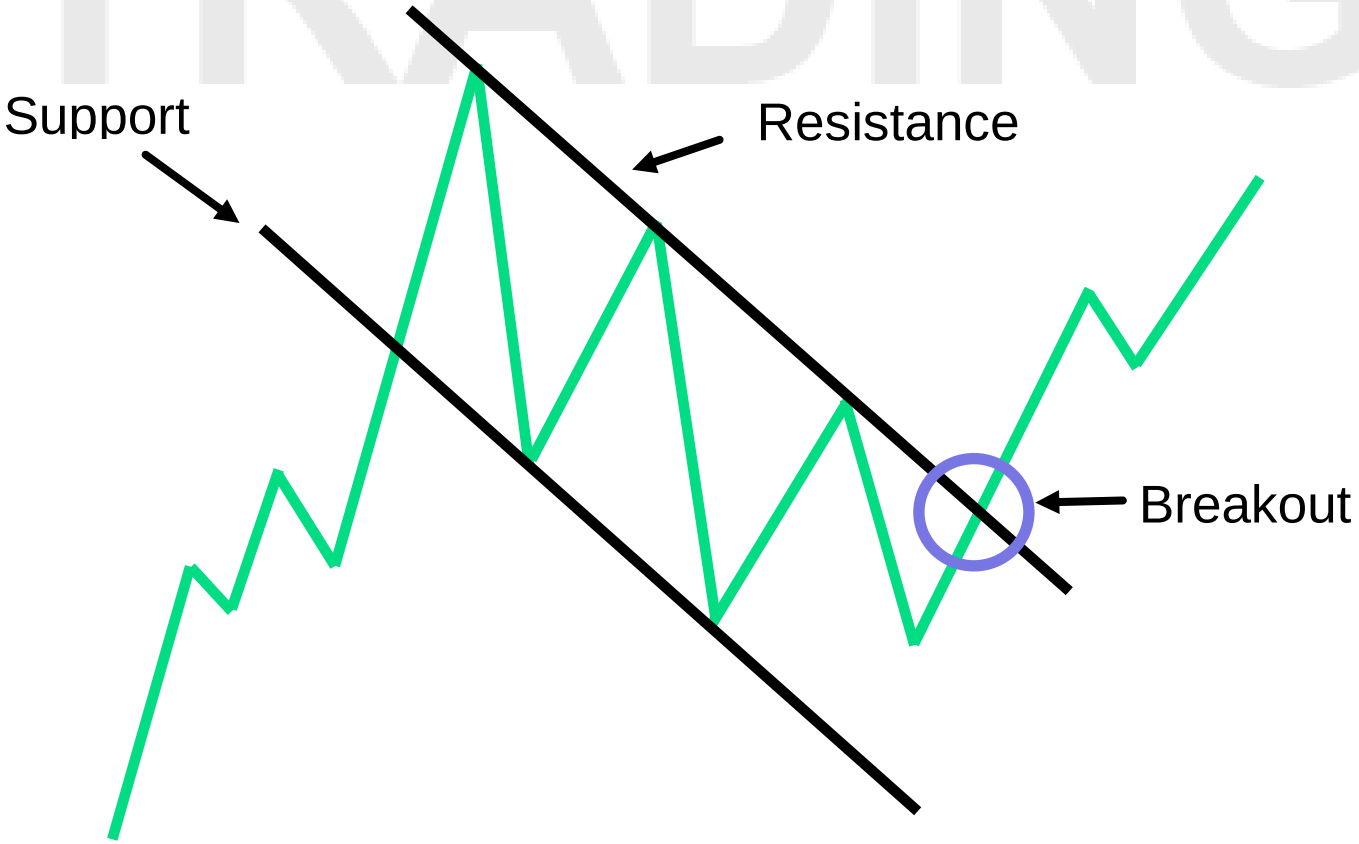
# CHART PATTERNS



# BULLISH CHART PATTERNS

# BULLISH FLAG

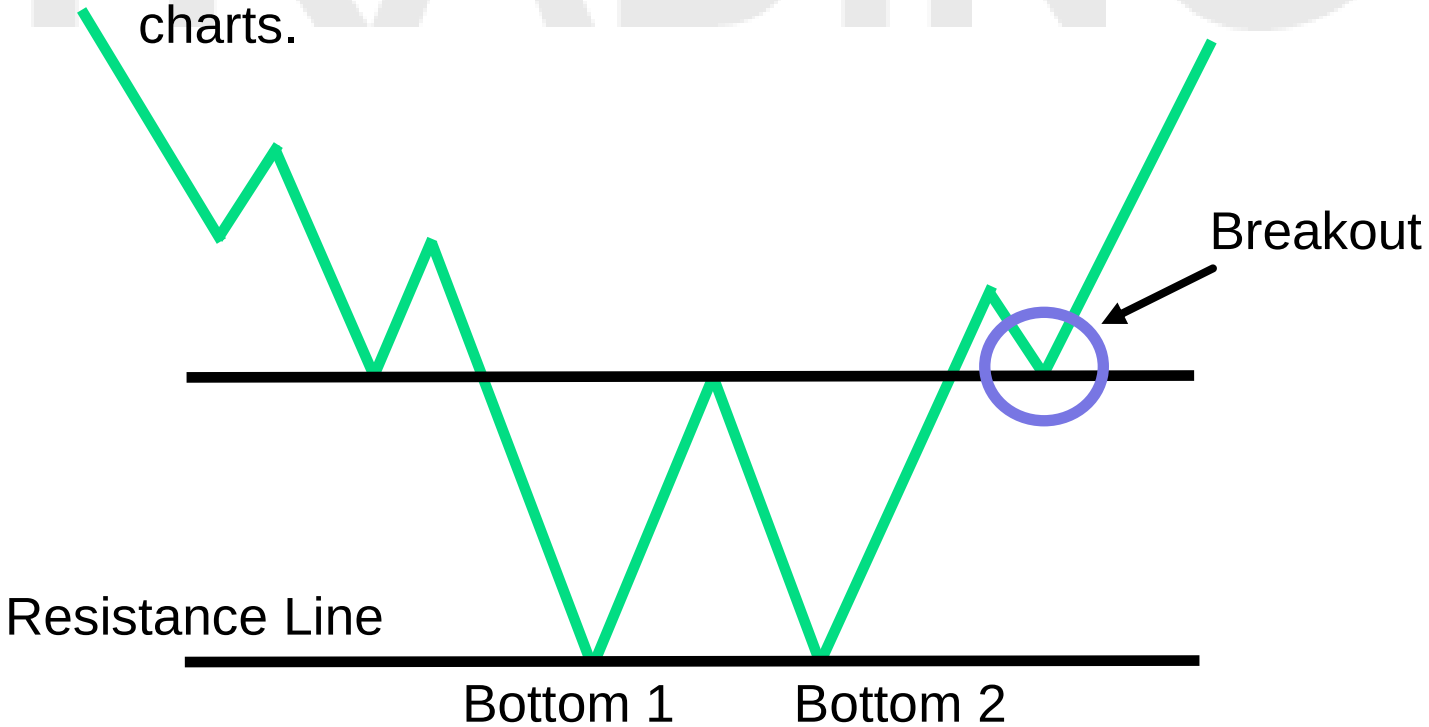
- The Flag Pattern forms in a time of consolidation and is also considered a bullish signal, indicating that the current uptrend may continue.
- A Flag (Bullish) follows a steep or nearly vertical rise in price and consists of two parallel trendlines that form a rectangular flag shape.
- Flag's rectangular shape develops from parallel trendlines, which form the support and resistance until the price breaks out.
- A breakout occurs out of the flag in the same direction as the initial move.
- This pattern can be viewed on larger time frames, like daily and weekly.




SOBER TRADING

# DOUBLE BOTTOM

- The double bottom pattern resembles the letter "W".
- It is a chart pattern that indicates a period of selling, which causes the price of an asset to fall to a support level. The price then rises to a resistance level, but subsequently falls again to the previous support level. Eventually, the trend reverses, and the price begins to rise as the market turns bullish.
- Traders usually wait for a retest of the resistance level to confirm that the price will move higher. The double bottom pattern is considered a bullish reversal pattern as it signifies the end of a downtrend and the beginning of an uptrend.
- The double bottom pattern can be viewed on larger time frames, such as hourly and daily charts.



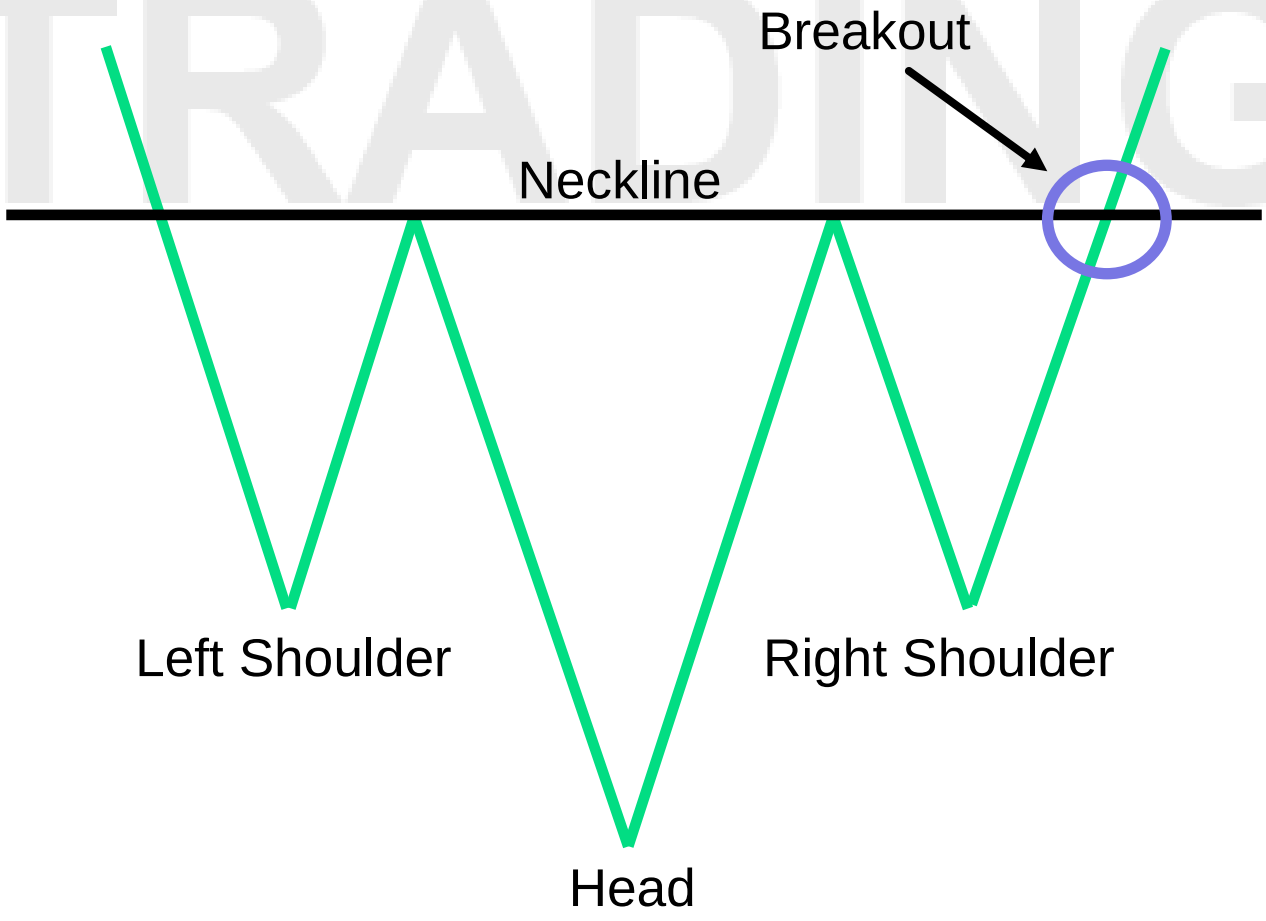

SOFER TRADING

# INVERSE HEAD AND SHOULDER

- As price hit lows below the neckline, a trough is formed. Until it creates three troughs, or low points: the left shoulder, head which is the lowest , and right shoulder.

- A Inverse Head & Shoulder pattern can be viewed on larger time frames, like weekly and monthly.

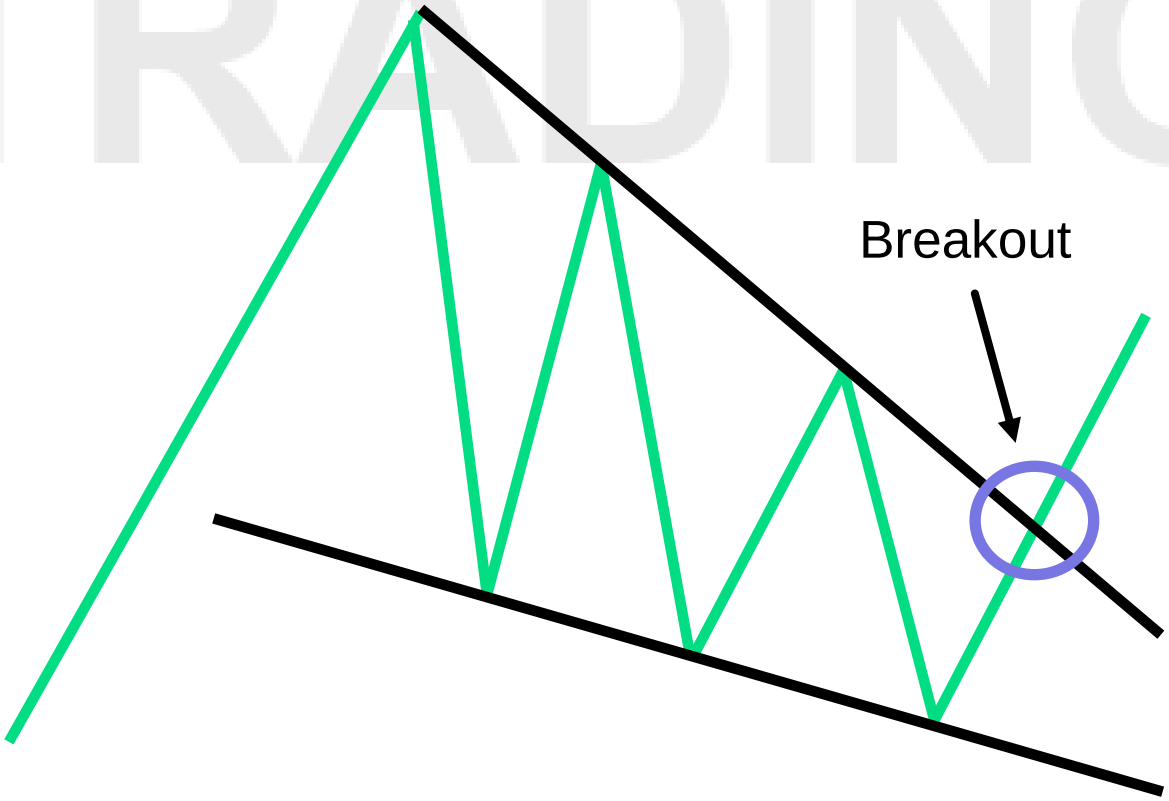
- Traders typically enter into a long position when the price rises above the resistance of the neckline.




SOBER TRADING

# FALLING WEDGE

- This Pattern starts wider at the top and gets narrower as it moves down.
- The wedge pattern results in breakoutcausing the price to move up.
- A Falling Wedge pattern can be viewed on larger time frames, like hourly and daily.
- Many buyers will show up, and volume should increase as the price breakouts.
- Traders will look for buying opportunities at the breakout and potentially exit at the start of the Pattern.

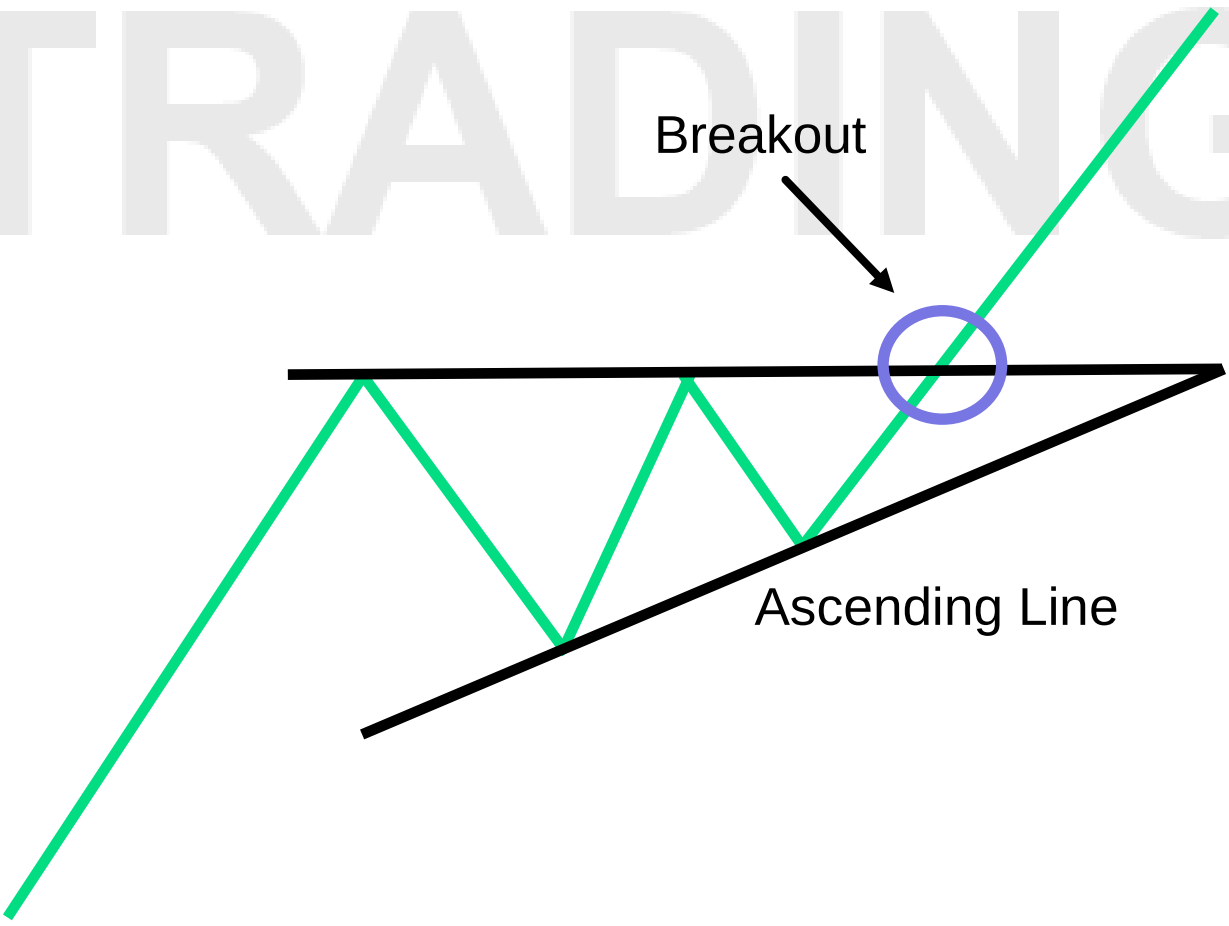



SOLER TRADING

# ASCENDING TRIANGLE

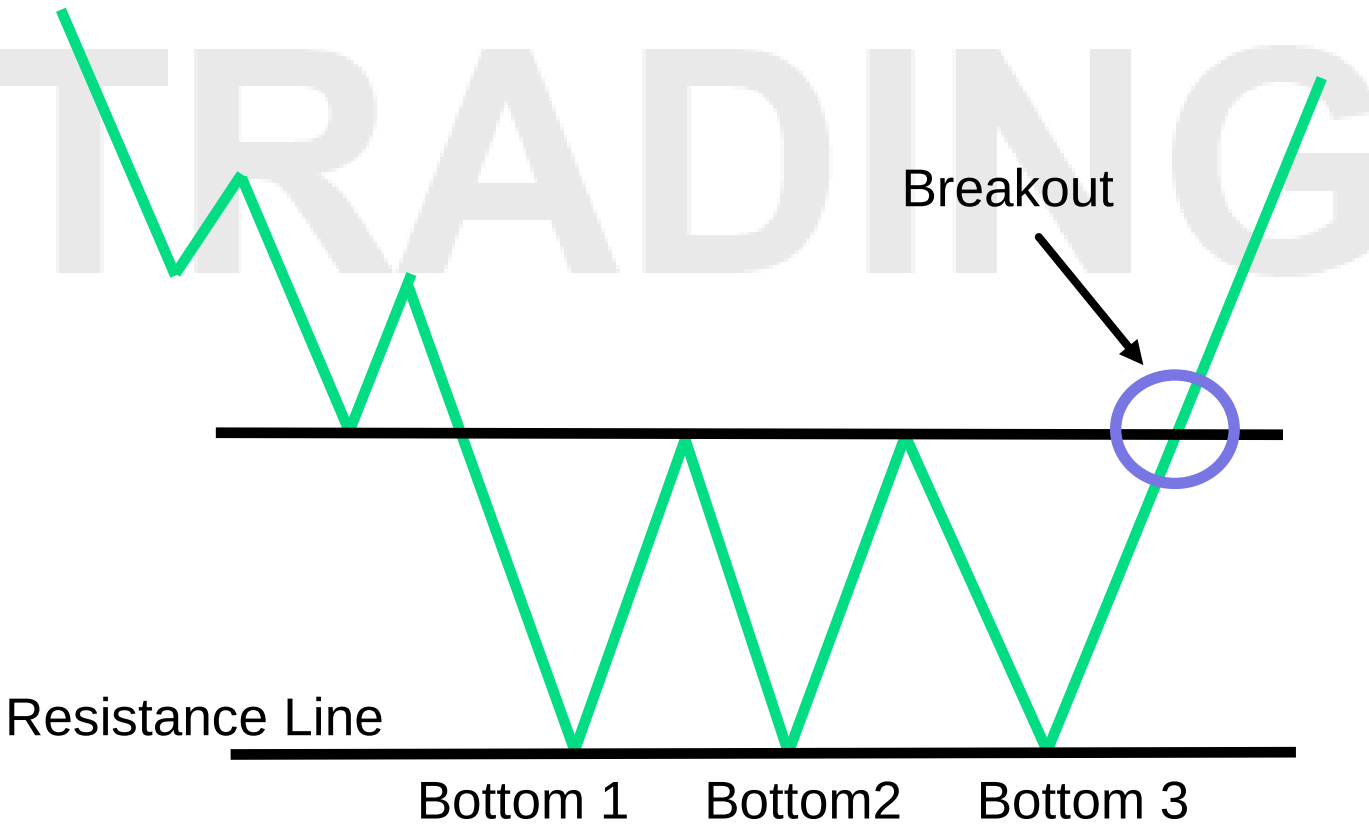
- This Ascending Triangle pattern is a bullish continuation pattern, which means that a breakout is likely.
- To draw this pattern, you need to place a horizontal line over the resistance points.
- And then draw an ascending line along with the support points. This pattern can be used on any time frame, even minutes.
- Traders will look for a breakout with volume, and in some cases, price will come, retest the breakout level and then continue the uptrend.

SOBER TRADING



# TRIPLE BOTTOM

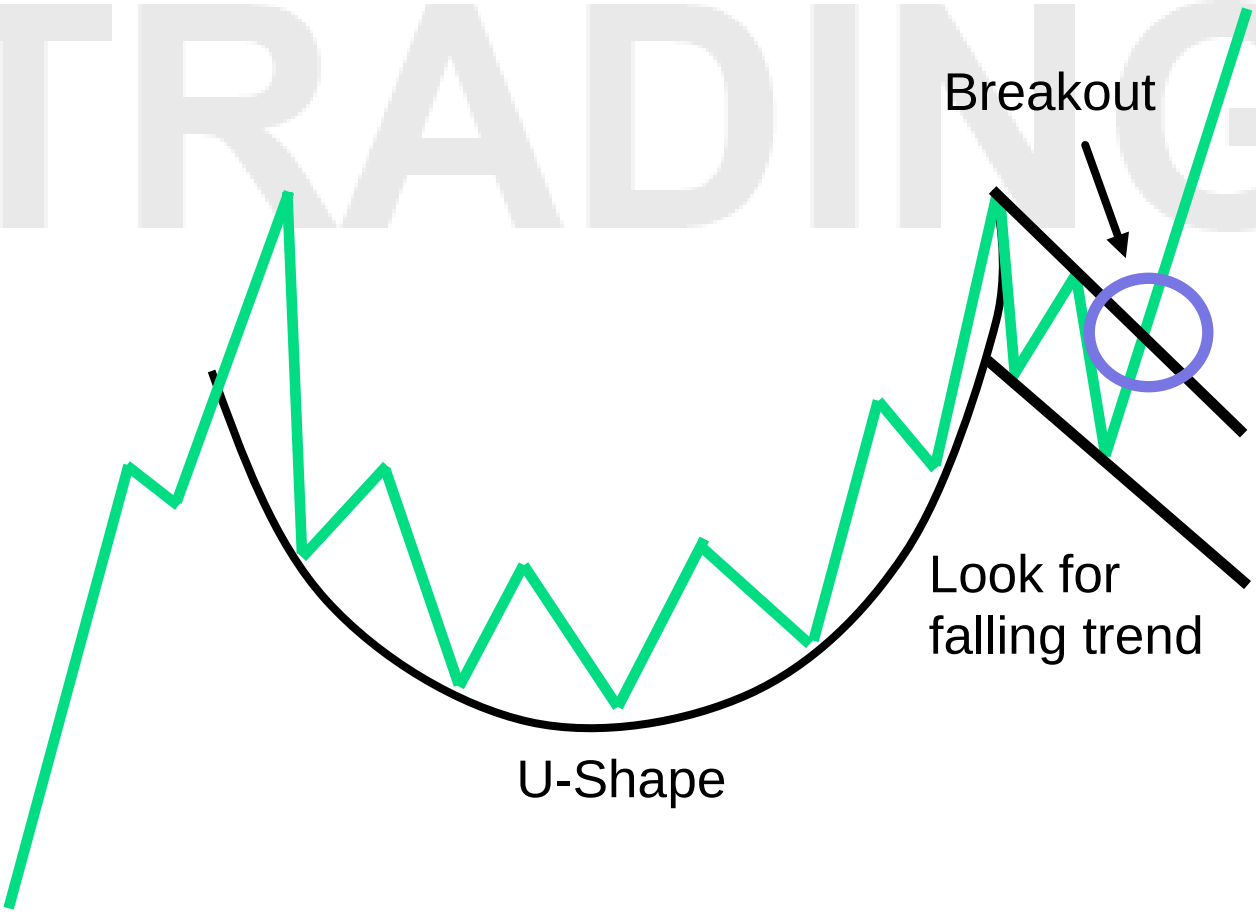
- A triple bottom is generally seen as three roughly equal lows bouncing off the support line.
- Later, it is followed by a breakout point, Which is the best opportunity to enter a bullish position.
- After the breakout point, the price usually does not retest the neckline.
- Traders will enter into a long position after the breakout point. A triple Bottom pattern can be viewed on larger time frames, like hourly and daily.




SOBER TRADING

# CUP AND HANDLE

- The Cup with Handle Pattern resembles the shape of a cup and a handle. It is an arched pattern that can be identified by its u-shape, followed by the handle having a slight downward drift.
- Ultimately the pattern becomes bullish, completing the 'handle'.
- Rounding bottom pattern almost looks the same as this, but without the handle formation.
- Traders will wait for the falling handle to form and enter at the breakout.




SOBER TRADING

# BEARISH CHART PATTERNS

# DOUBLE TOP

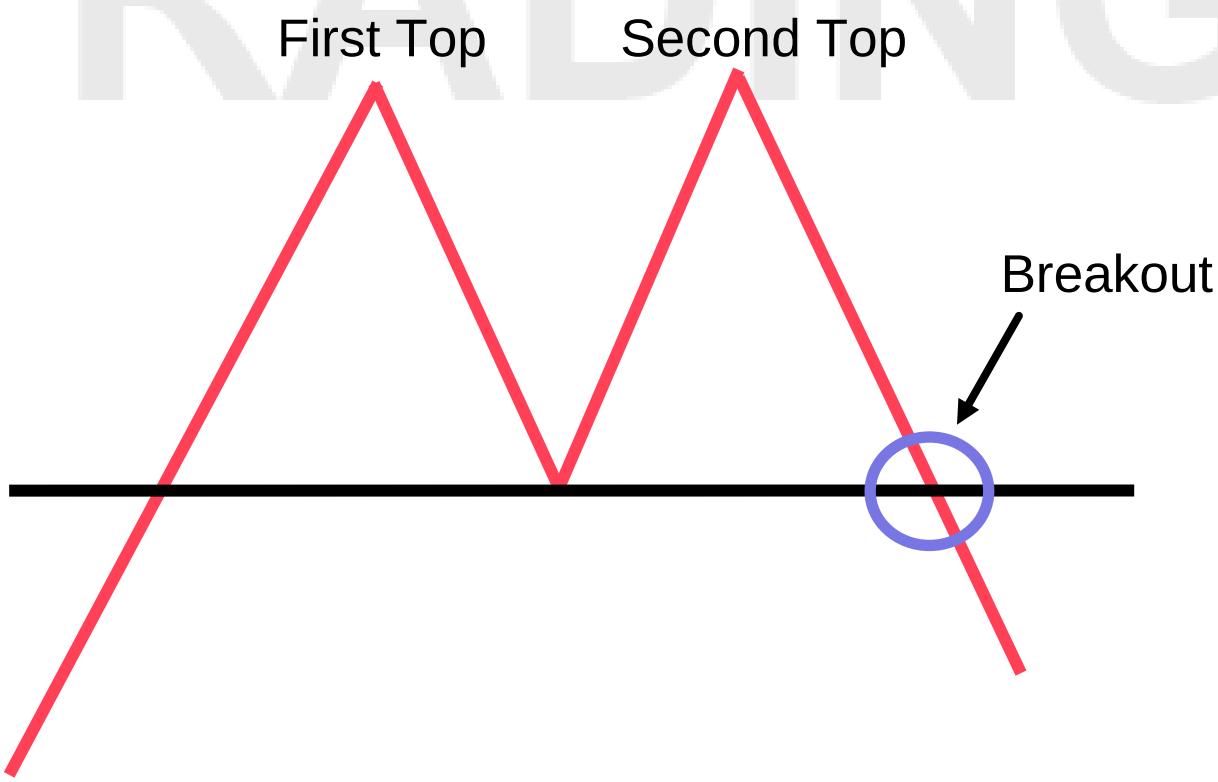
- Double Top is a bearish pattern that occurs after the price has peaked two times.

- And the trend has reversed when the price breaks support, completing an "M" shape.
- This results in an increase in selling volume.

- Double Top pattern can be viewed on larger time frames, like hourly and daily.

- Traders will sell when the price breaks below the support line or, in some cases, take short positions to make profits.

SOBER TRADING

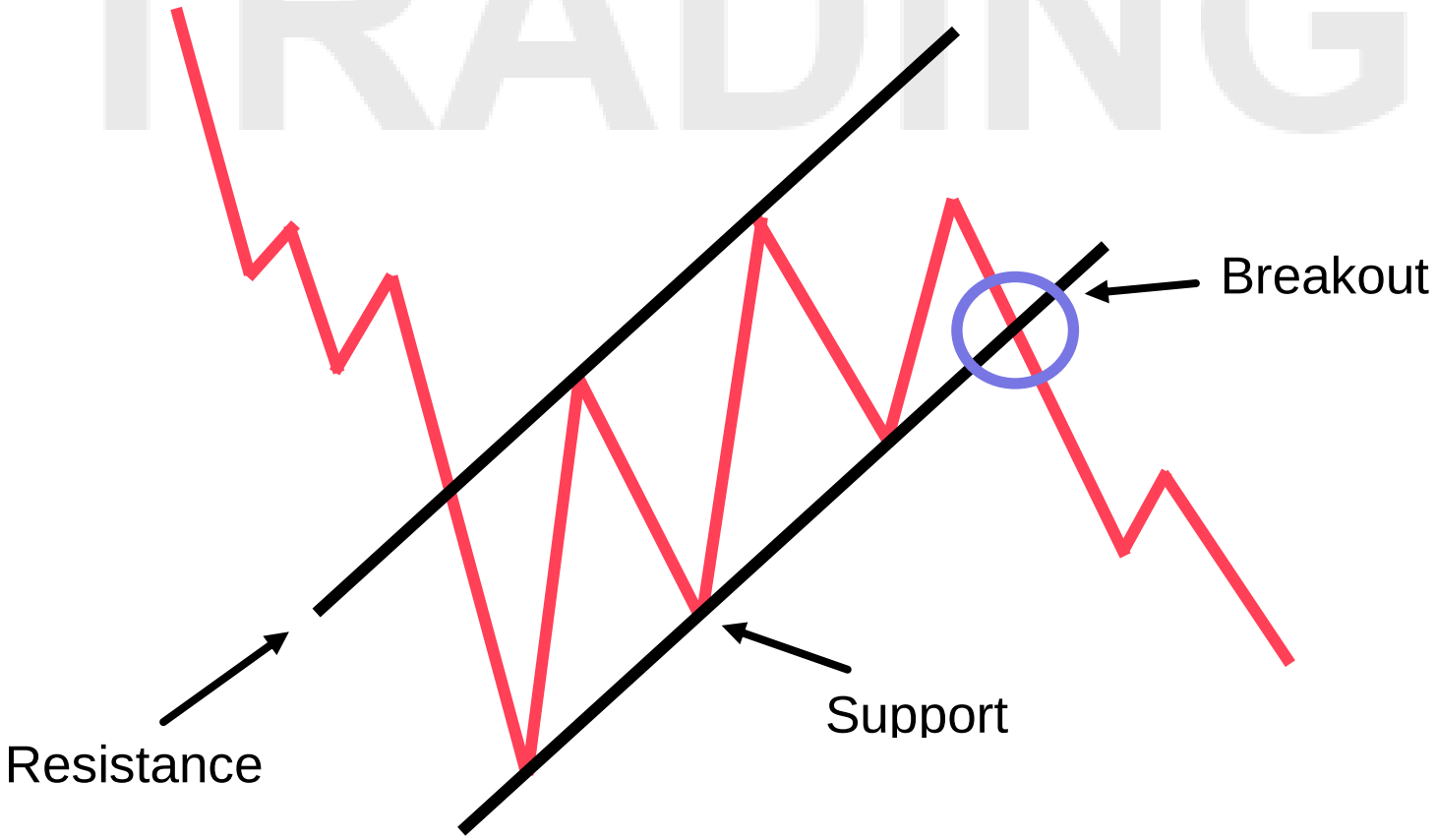


# BEAR FLAG

- A Bear Flag is a continuation pattern that usually forms when price consolidates. Price will break out in the same direction as the initial move.

- The Flag's shape develops from parallel trendlines, which act as support and resistance until prices break out.

- Most traders will trade the breakout.
- However, conservative traders will wait for the price to re-test and reject the support after the breakout.
- This will confirm that the price is breaking out.




SOBER TRADING

# HEAD AND SHOULDER

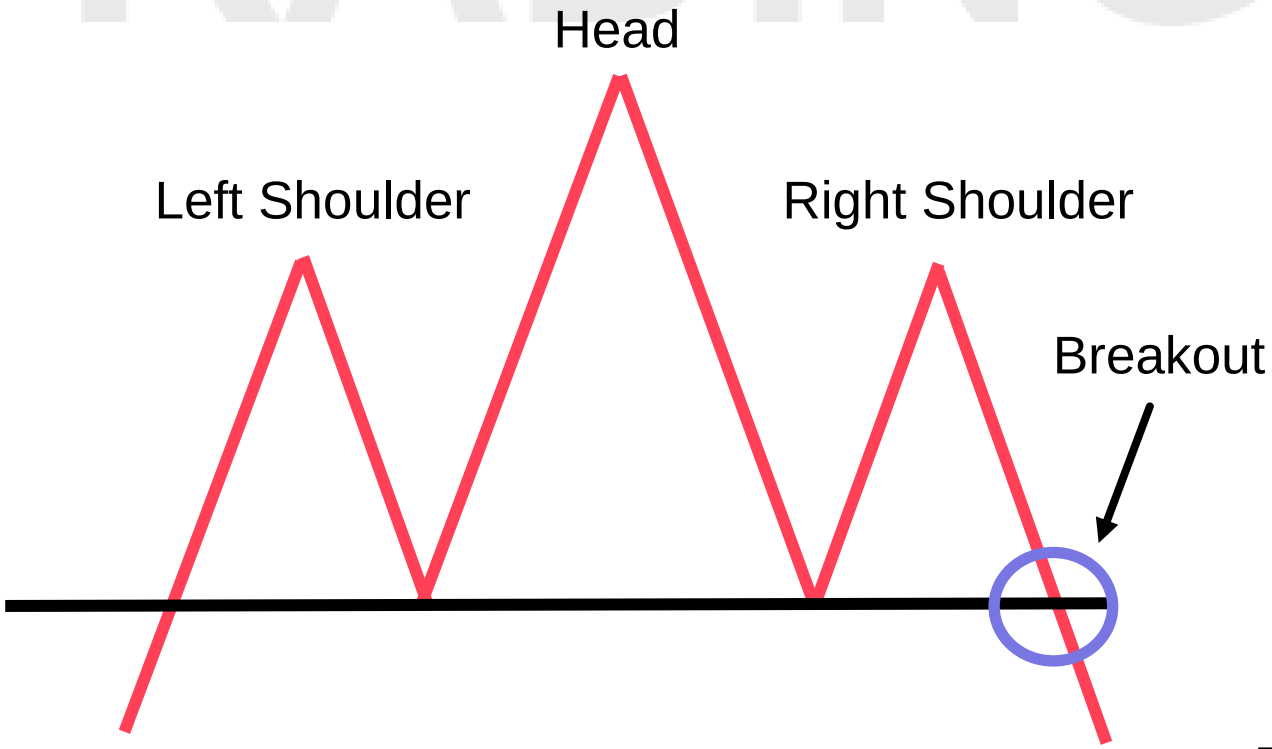
- A head and shoulder appear as a baseline with three peaks, where the outside two are close in height, and the middle is highest.

- This pattern is looked at on a daily or, in some cases, on an hourly time frame.

- Keep in mind that the Head & Shoulder pattern is never in perfect formation.

- Traders will look for a break below the neckline to go short on a position.

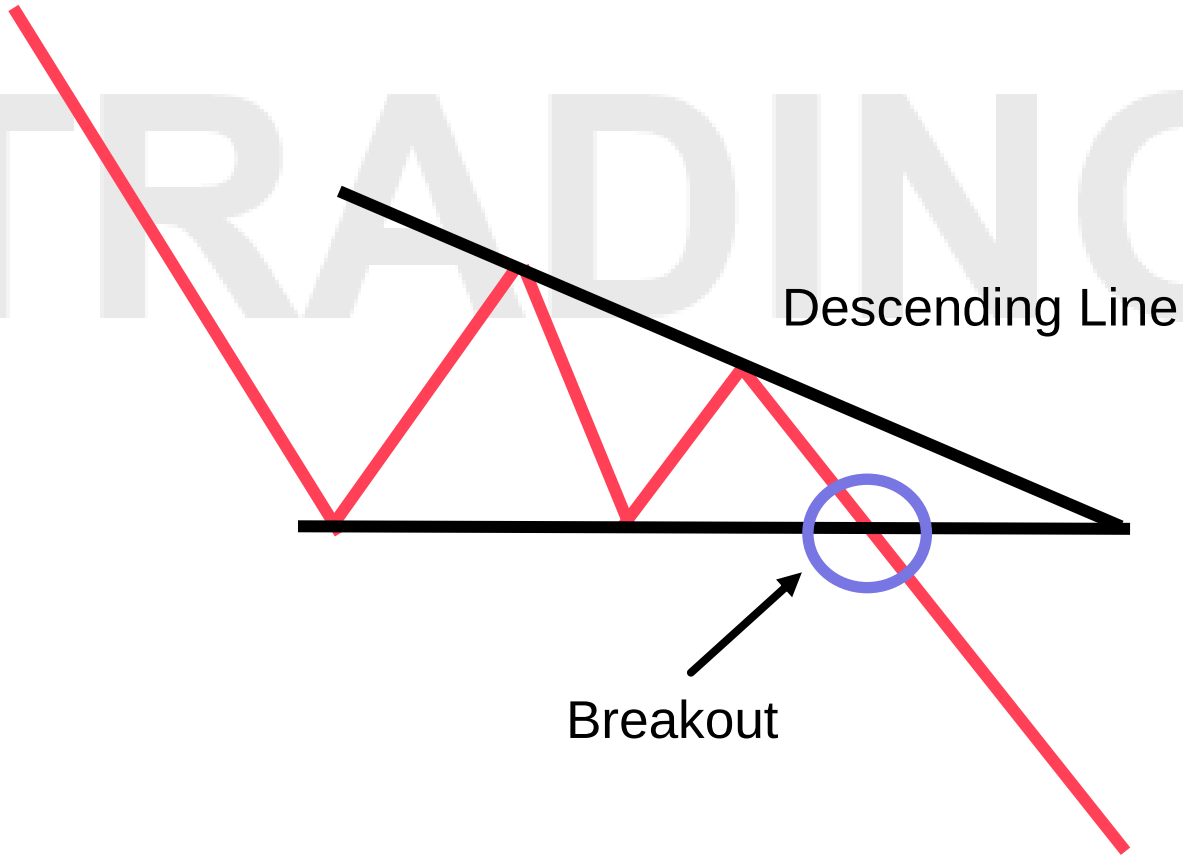
SOBER TRADING



# DESCENDING TRIANGLE

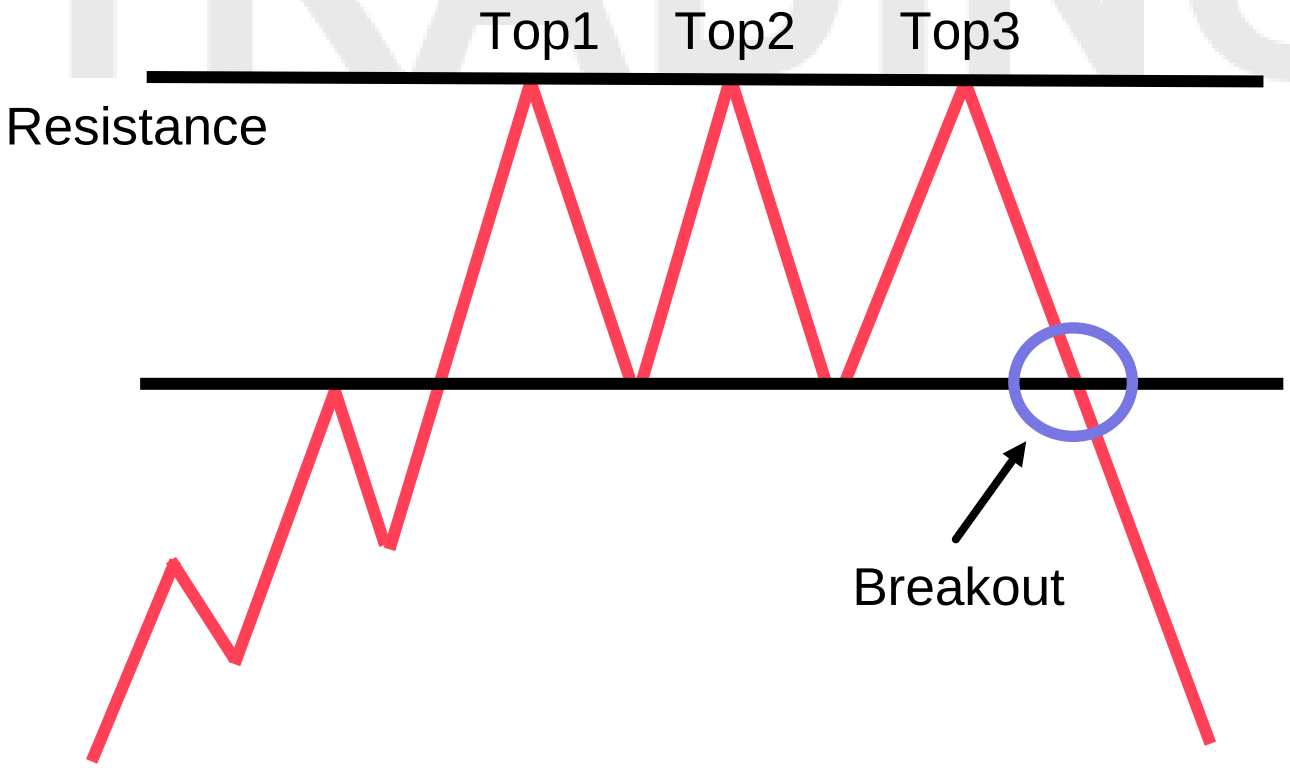
- Descending Triangle is a well-known bearish pattern, the support line is horizontal, and the resistance line is descending alongside.
- Breaking through the resistance level will cause the price action to fall.
- This pattern can be used on any time frame, even minutes.
- Traders will look for a break below the horizontal support line to take a short position.

SOBER TRADING



# TRIPLE TOP

- Triple Top pattern occurs when the price creates three peaks at the same price levels.
- This pattern is a reversal pattern representing buying weakness and results in a sell-off.
- Triple Top pattern can be viewed on larger time frames, like hourly and daily.
- Traders will look to enter a short position or exit a long position, once the price breaks below support (neckline)

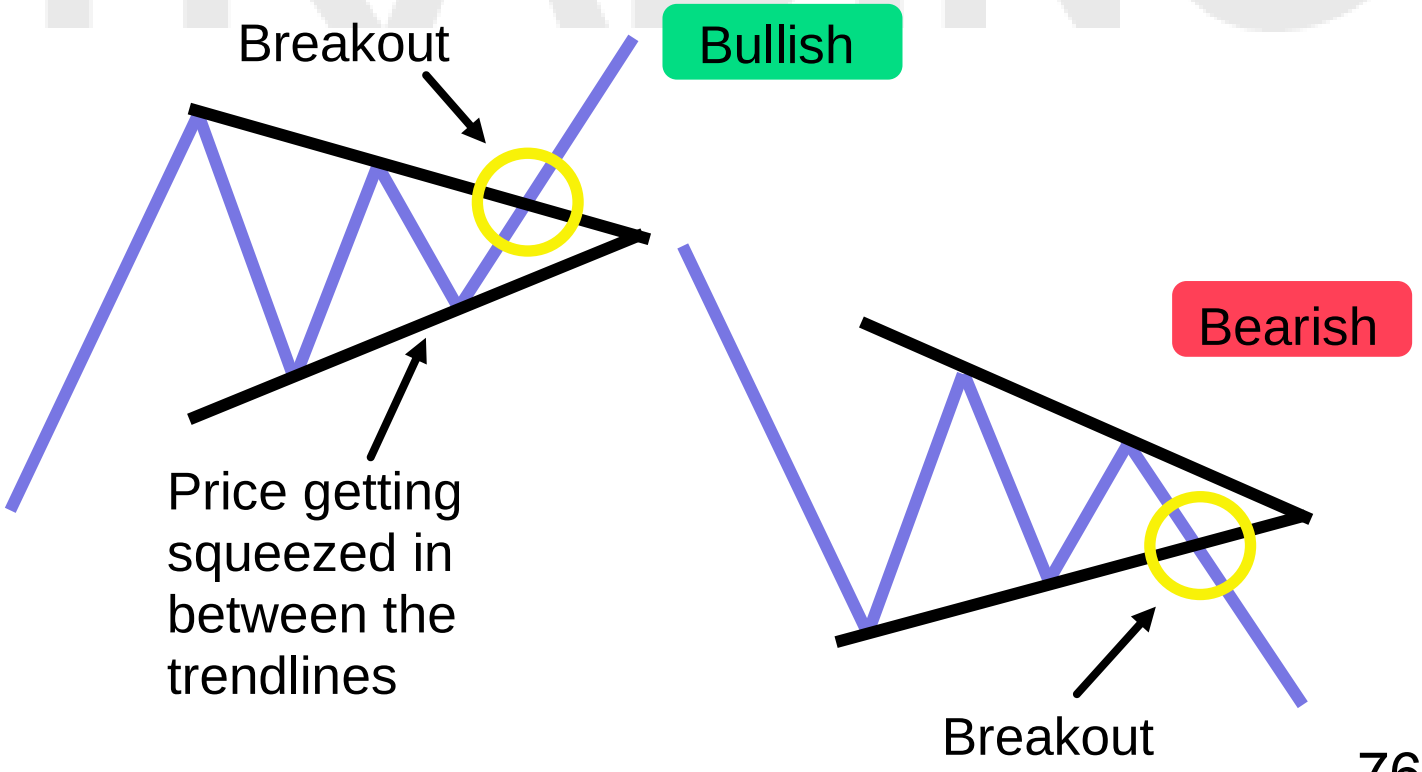



SOBER TRADING

# BILATERAL CHART PATTERNS

# SYMMETRIC TRIANGLE

- This Pattern includes a triangle, similar to an angle bracket ( > ) which is used inmathematics.
- The trend lines start to meet and get squeezed at the end, which means a bullish or bearish trend is possible.
- The formation occurs because prices are reaching both lower highs and higher lows.
- A bullish symmetrical triangle is a bullish continuation chart, the movement preceding the formation of the triangle must be bullish.
- On the other hand, the Bearish Symmetrical Triangle is a bearish continuation chart pattern, the movement preceding the formation of the triangle must be bearish.



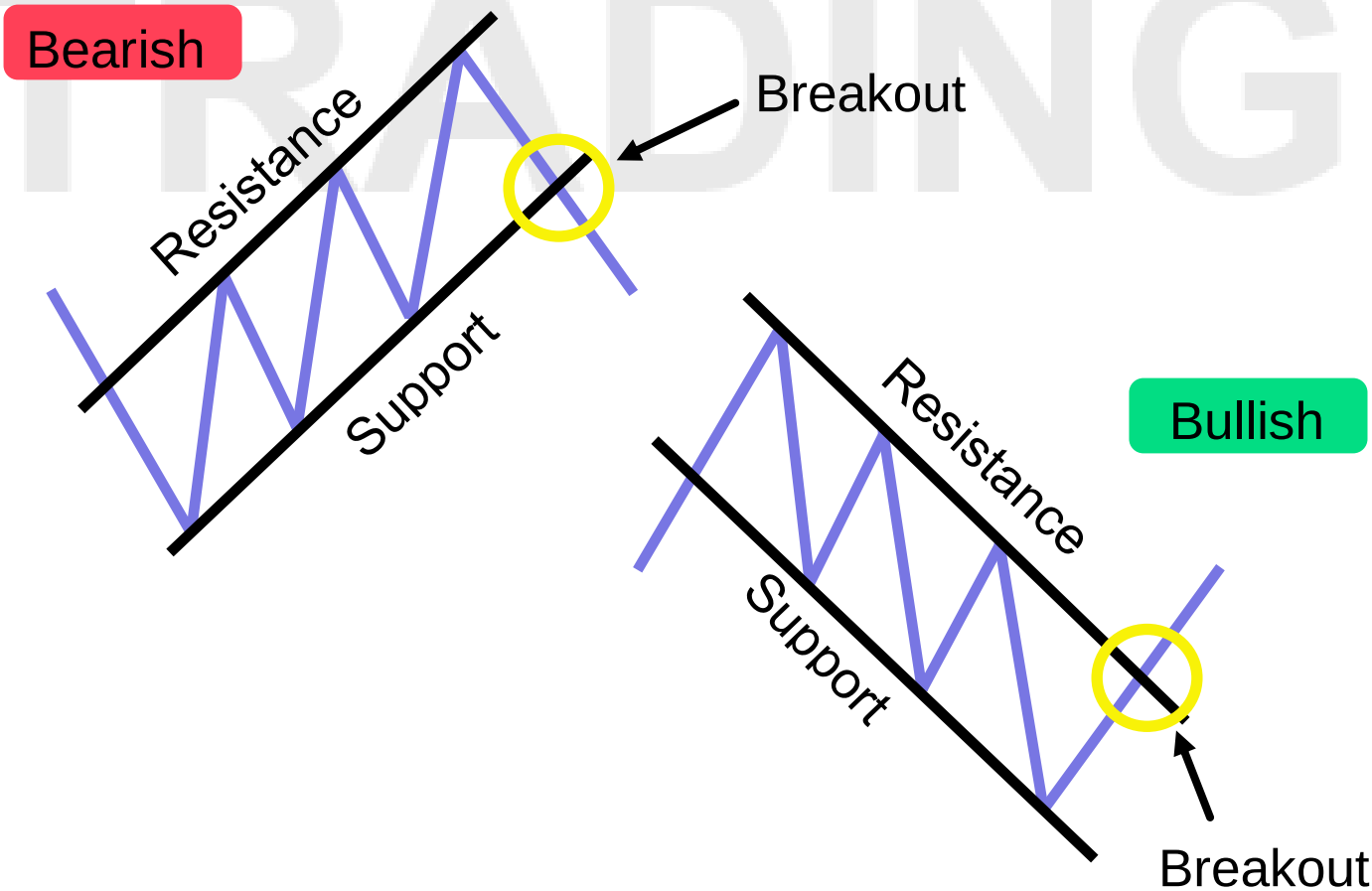

SOLAR TRADING

# PRICE CHANNEL

- Price Channel slopes up or down and is bound by an upper and lower trend line. The upper trend line marks resistance and the lower marks support.

- Price stays in between this support and resistance levels until it is broken out.
- In some cases the price will retest the breakout point.

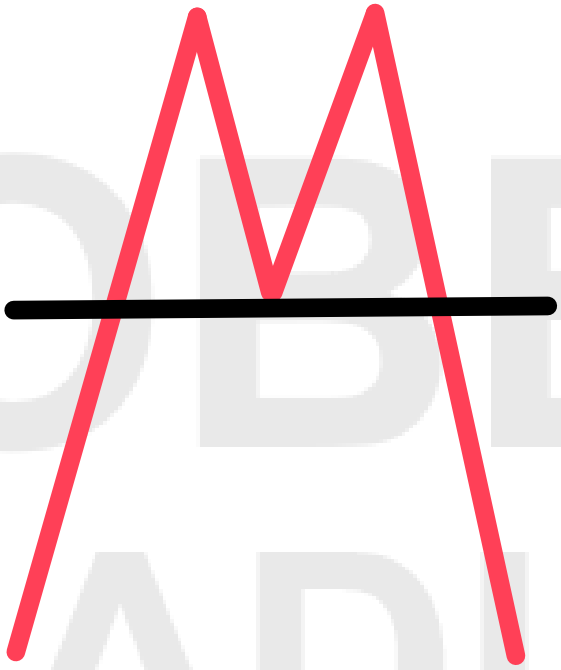
- Traders can sell when price approaches the price channel's upper trendline and buy when it tests the lower trendline.




SOBER TRADING

# EXAMPLES OF PATTERNS

## Double Top



## Example




SOBER TRADING

# EXAMPLES OF PATTERNS

## Falling Wedge



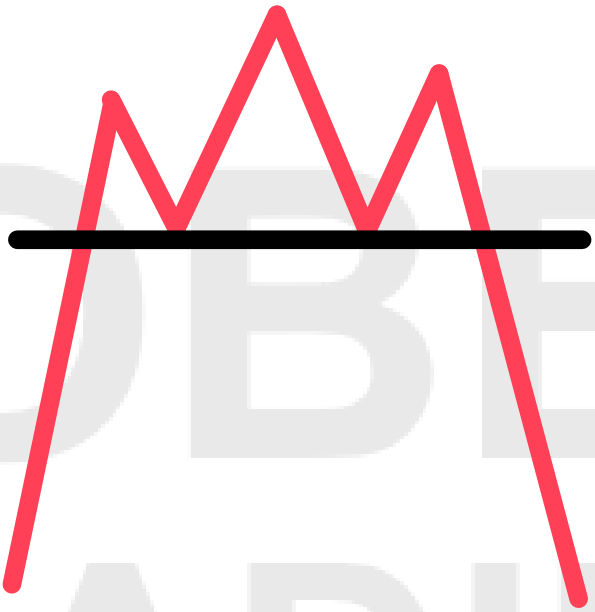
## Example




SOBER TRADING

# EXAMPLES OF PATTERNS

## Head and Shoulders



## Example




SOBER TRADING

# EXAMPLES OF PATTERNS

## Rising Wedge



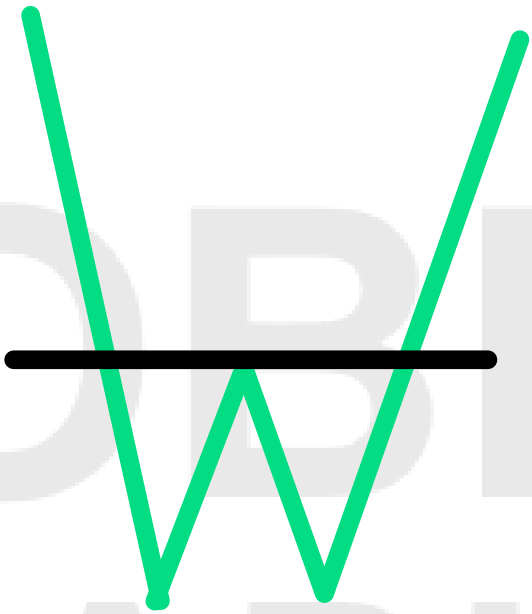
## Example




SOBER TRADING

# EXAMPLES OF PATTERNS

**Double Bottom**



**Example**



SOBER TRADING

# EXAMPLES OF PATTERNS

## Inverse Head and Shoulders



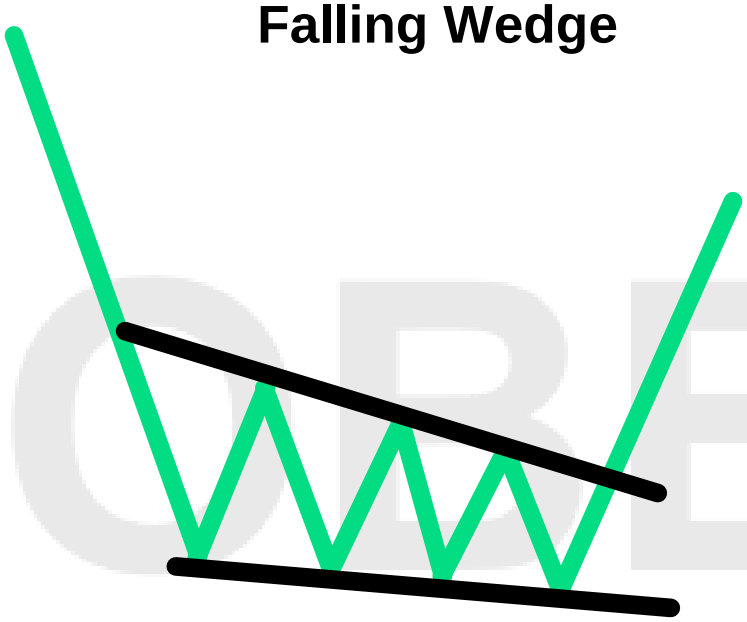
## Example




SOBER TRADING

# EXAMPLES OF PATTERNS

**Falling Wedge**



SOBER TRADING

**Example**



# EXAMPLES OF PATTERNS

**Bullish Rectangle**



**Example**



SOBER TRADING

# EXAMPLES OF PATTERNS

## Bullish Pennant



## Example



SOBER TRADING

# EXAMPLES OF PATTERNS

## Rising Wedge



SOBER TRADING

## Example



# EXAMPLES OF PATTERNS

## Bearish Rectangle



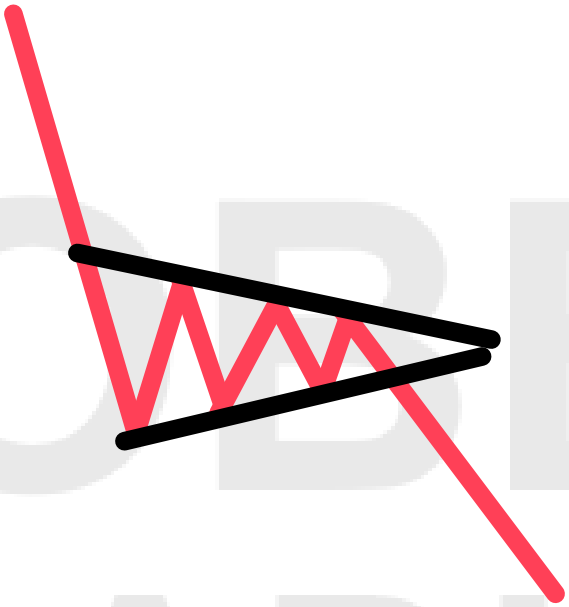
## Example



SOBER TRADING

# EXAMPLES OF PATTERNS

**Bearish Pennant**



**Example**



SOBER TRADING

# EXAMPLES OF PATTERNS

## Triple Top



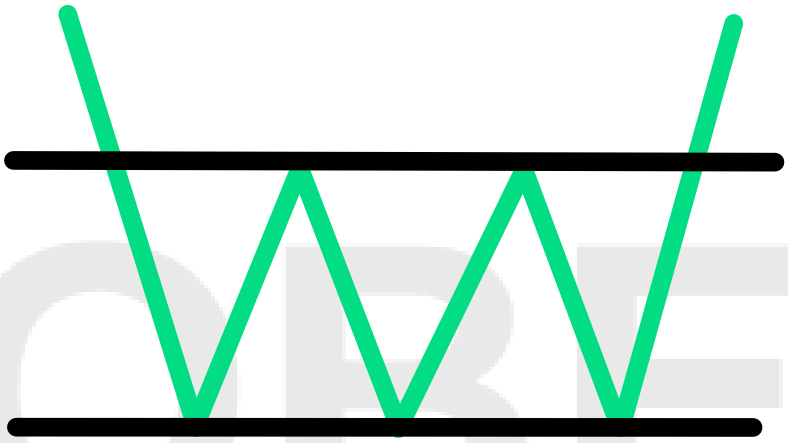
## Example



SOBER TRADING

# EXAMPLES OF PATTERNS

**Triple Bottom**



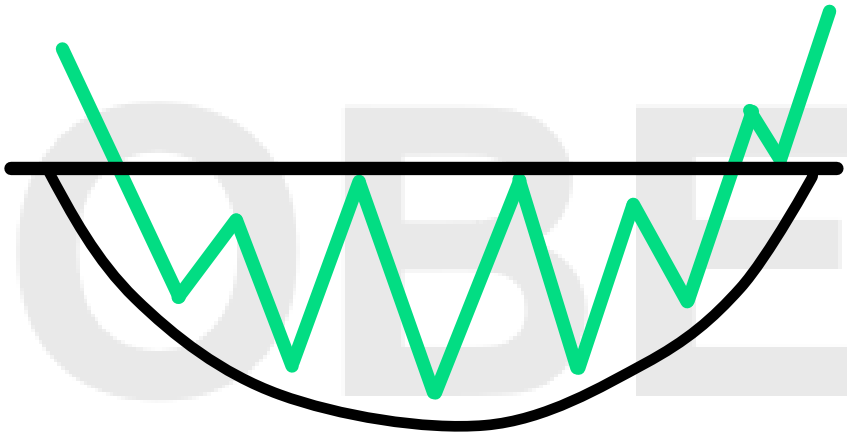
SOBER TRADING

**Example**



# EXAMPLES OF PATTERNS

## Rounding Bottom



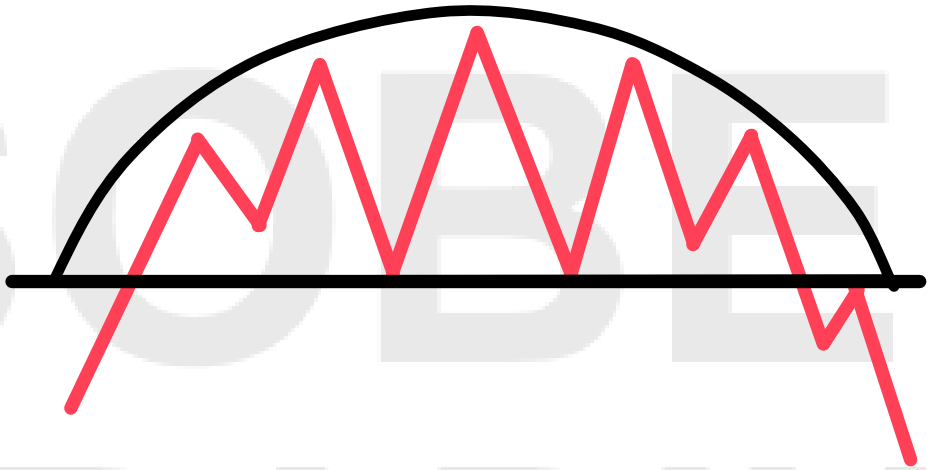
## Example



SOBER TRADING

# EXAMPLES OF PATTERNS

## Rounding Top



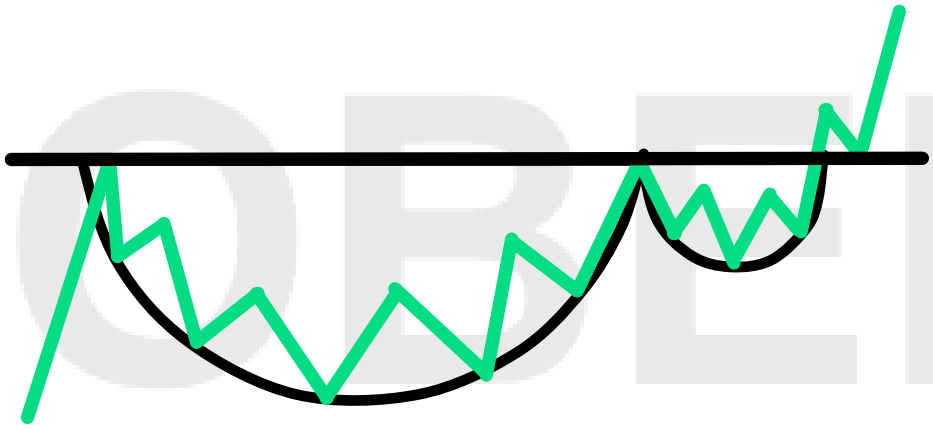
## Example



SOBER TRADING

# EXAMPLES OF PATTERNS

**Cap and Handle**



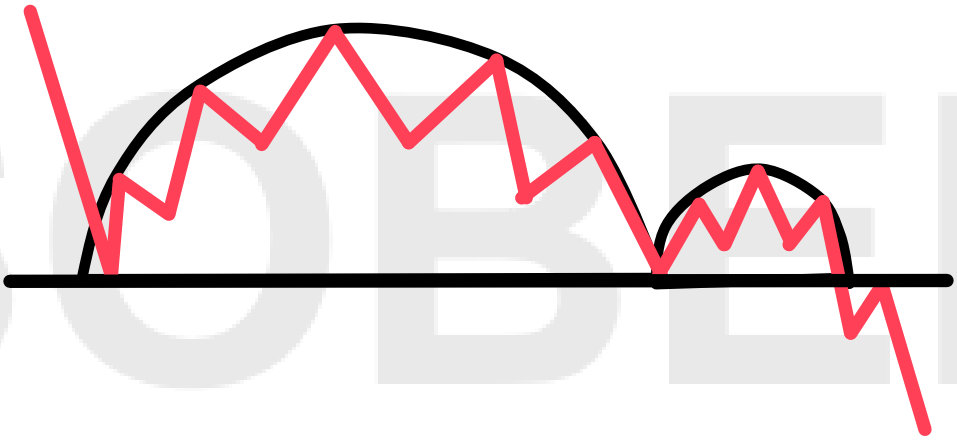
**Example**



SOBER TRADING

# EXAMPLES OF PATTERNS

**Inverse Cap and Handle**

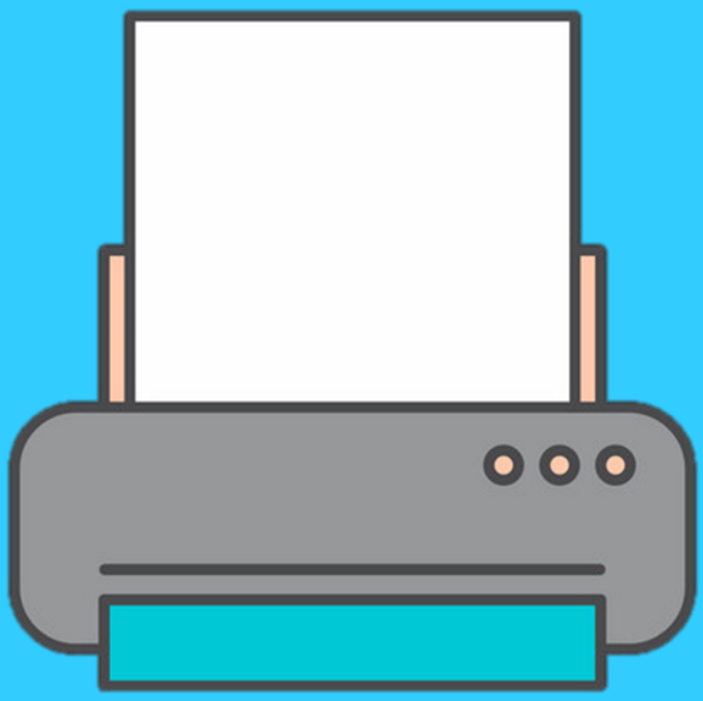


**Example**



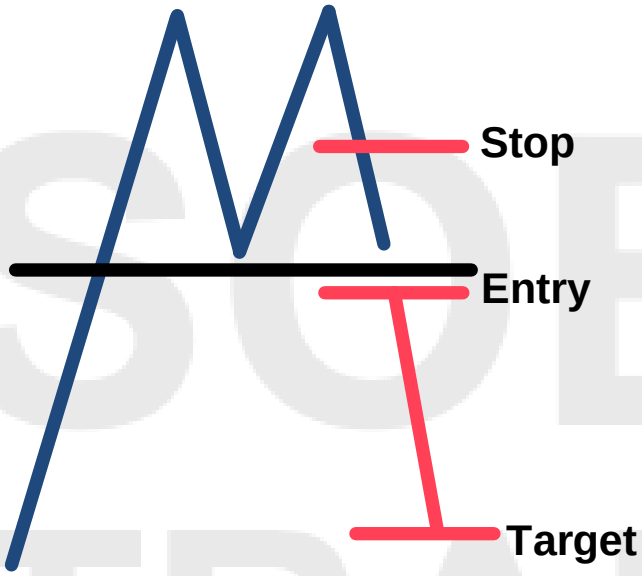
SOBER TRADING

# PATTERNS TO PRINT

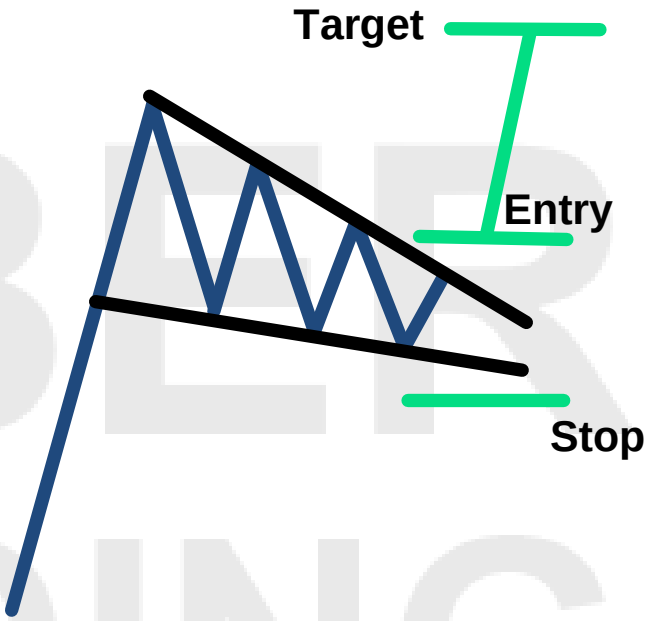


# 1

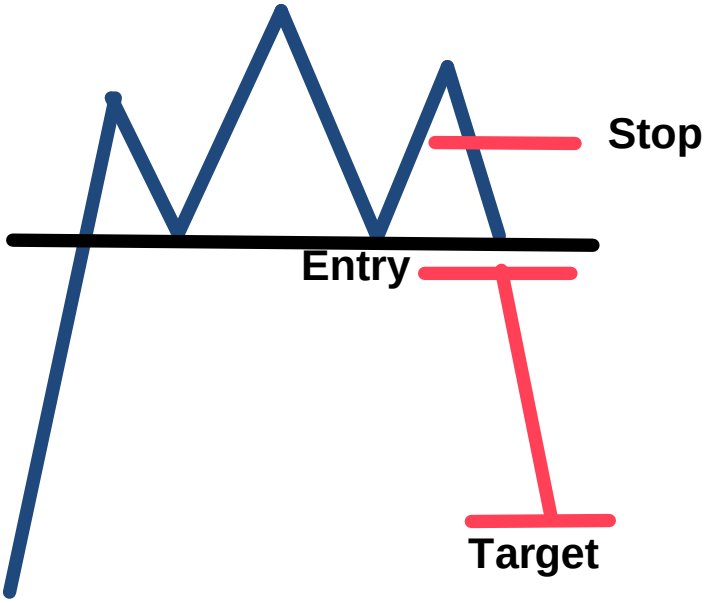
## Double Top



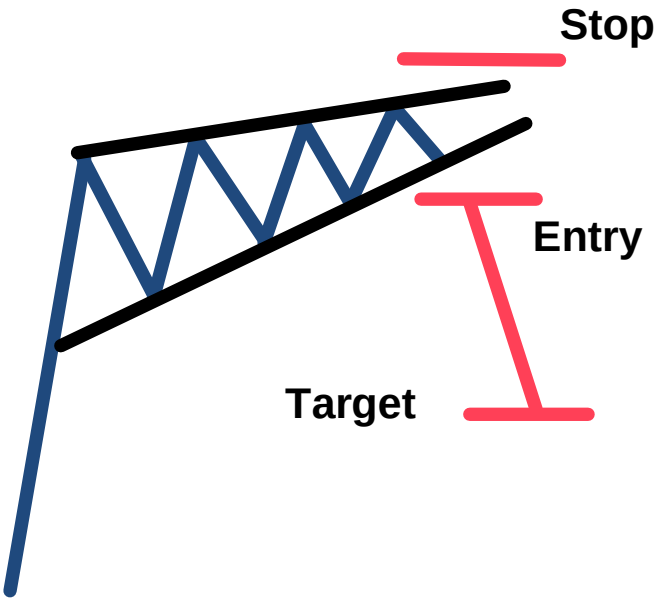

## Falling Wedge




## Head and Shoulders



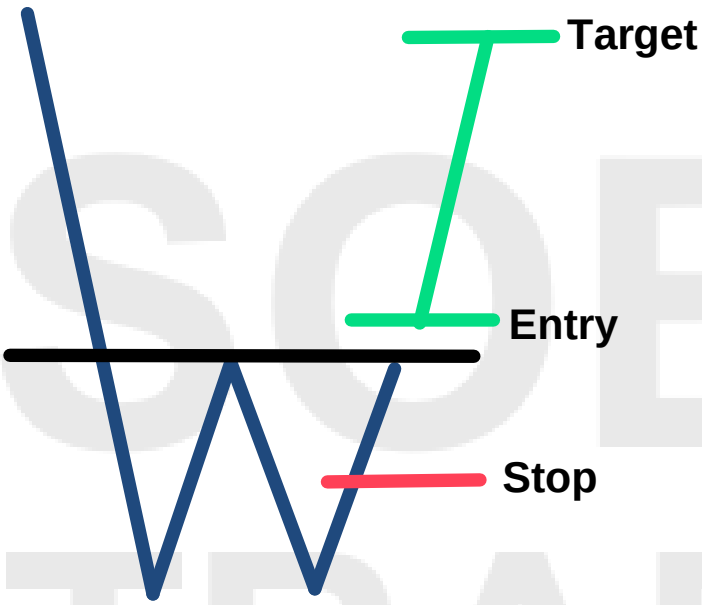

## Rising Wedge



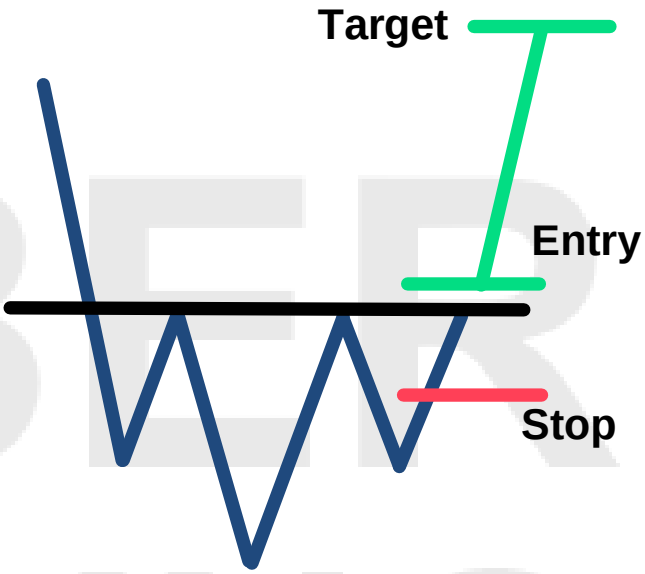

SOBER TRADING

# 2

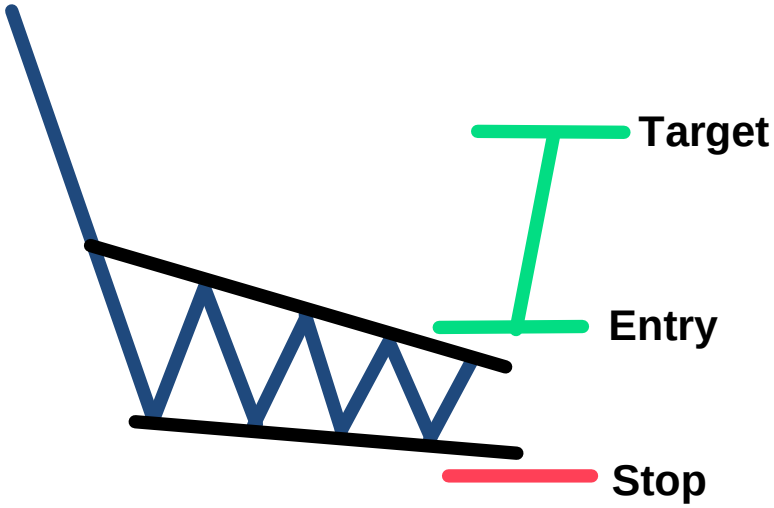
## Double Bottom



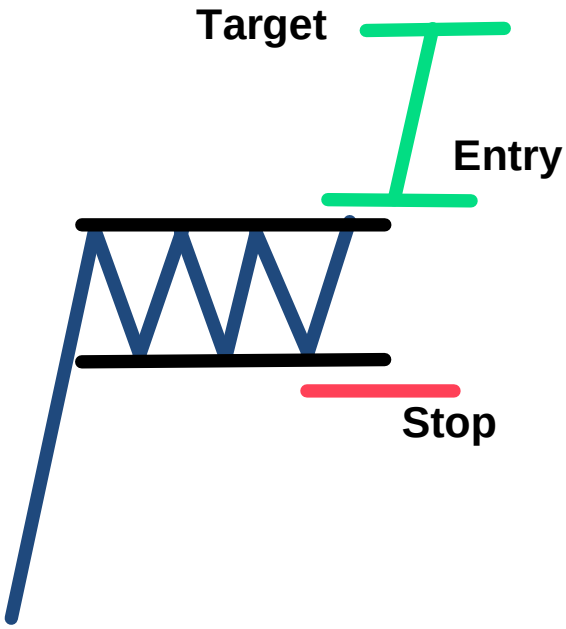

## Inverse Head and Shoulders




## Falling Wedge



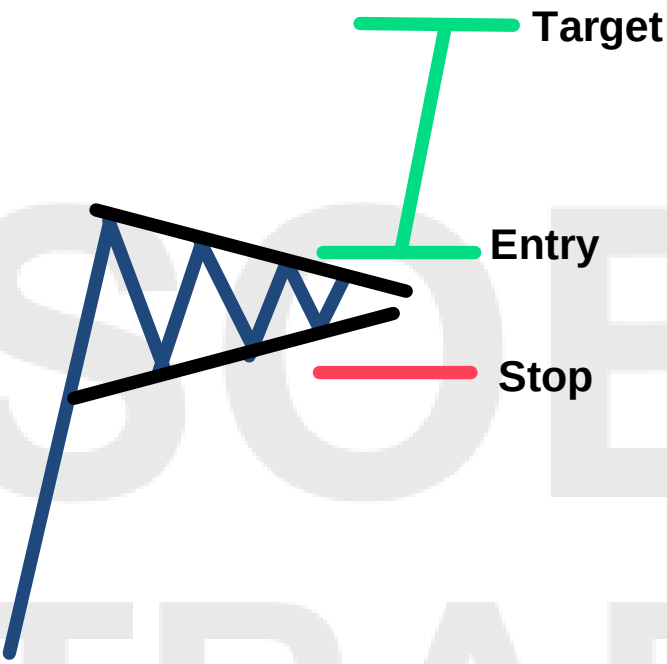

## Bullish Rectangle



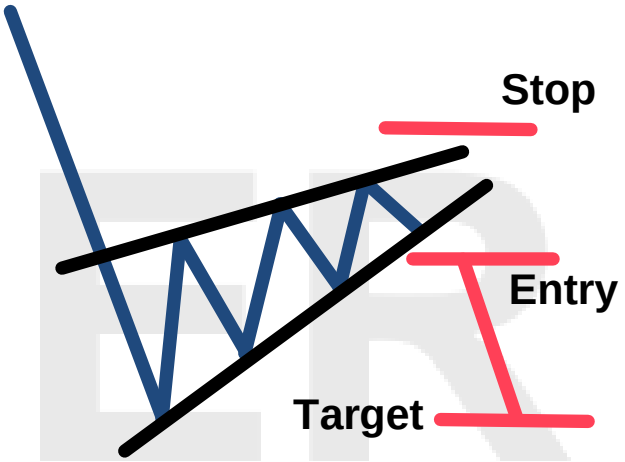

SOBER TRADING

# 3

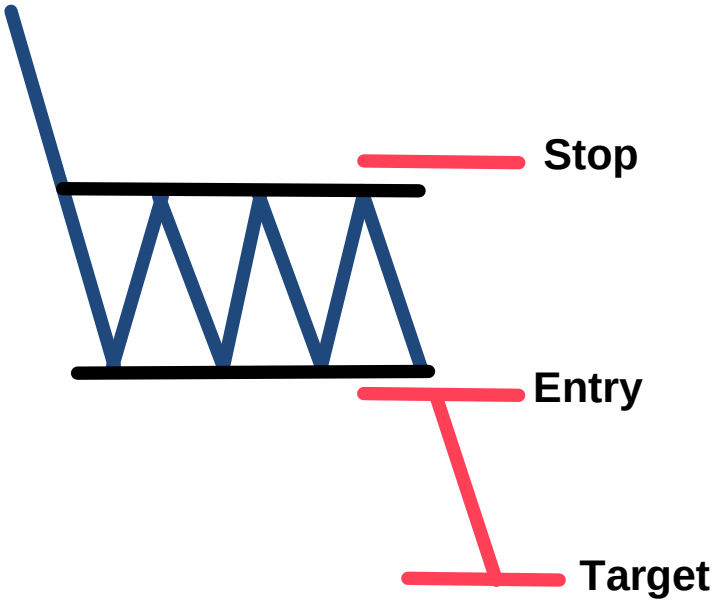
## Bullish Pennant



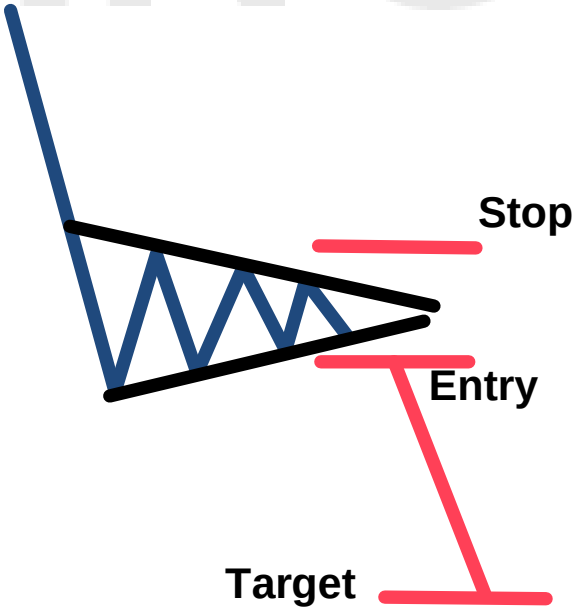

## Rising Wedge




## Bearish Rectangle



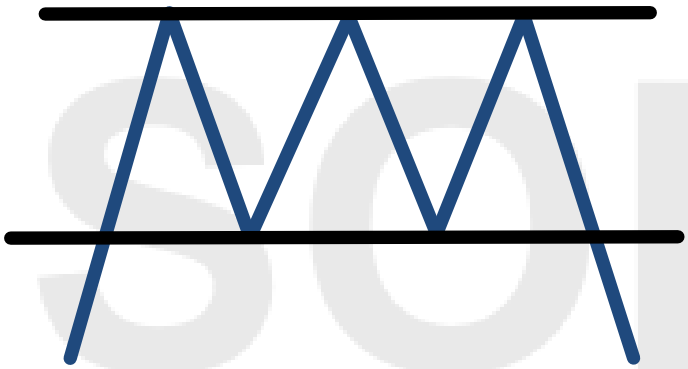

## Bearish Pennant



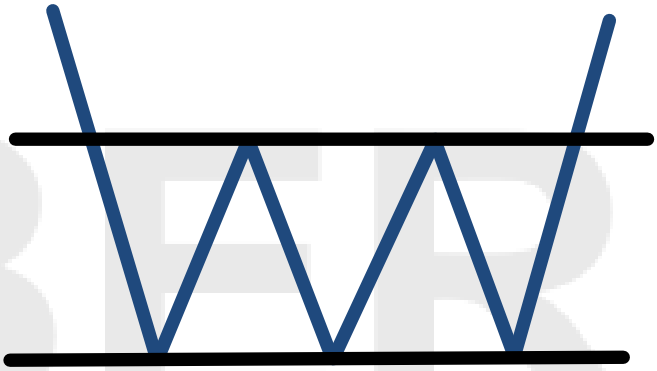

SOBER TRADING

# 4

## Triple Top

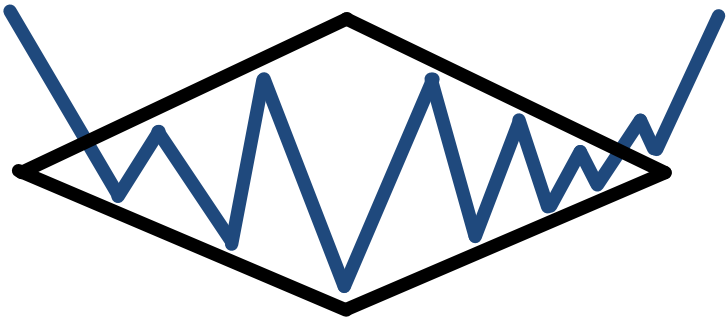


## Triple Bottom

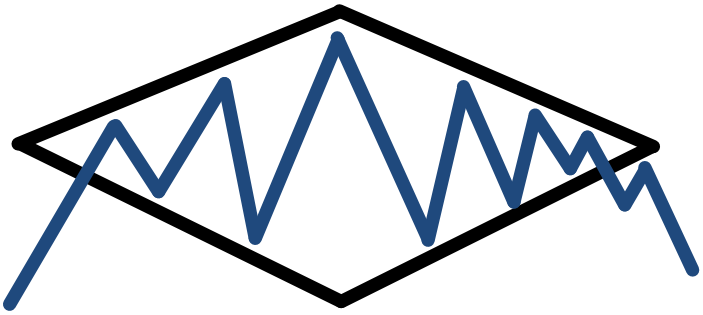


SOBER TRADING

## Bullish Diamond Pattern

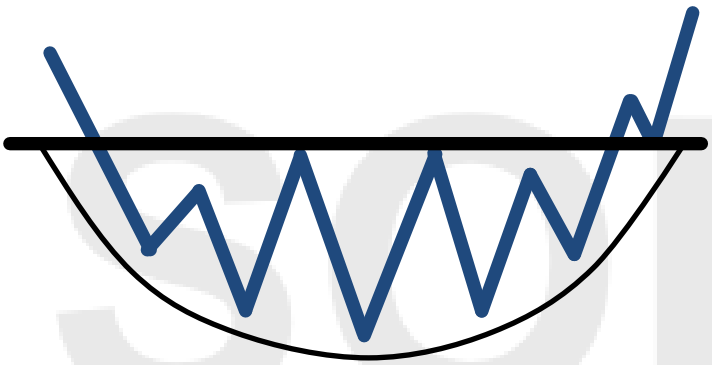


## Bearish Diamond Pattern

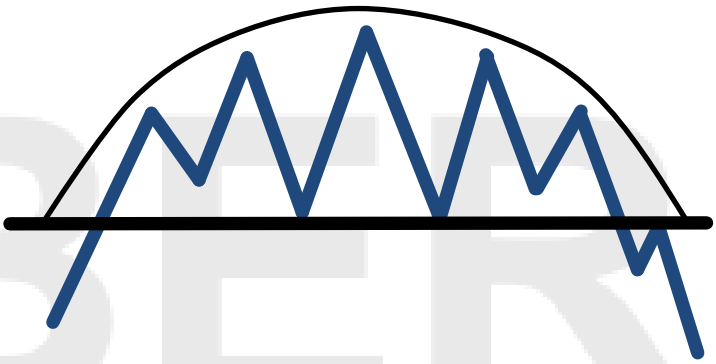


# 5

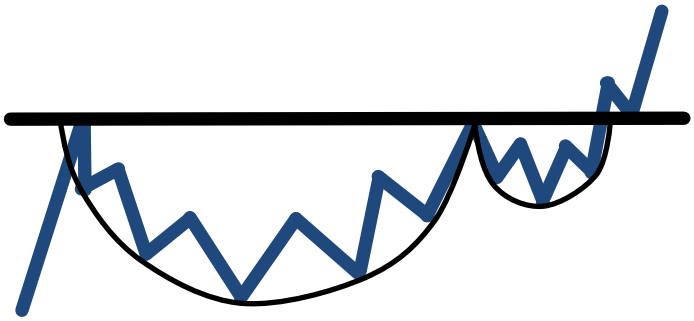
## Rounding Bottom



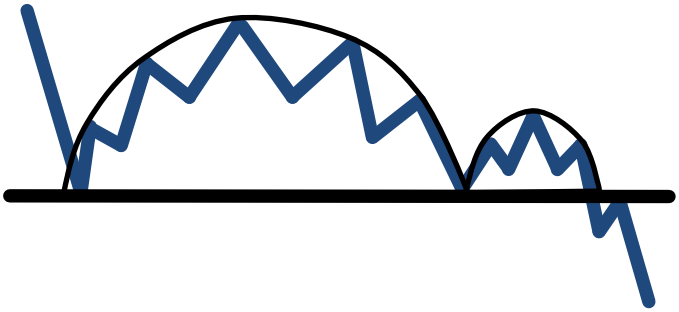
## Rounding Top



## Cap and Handle

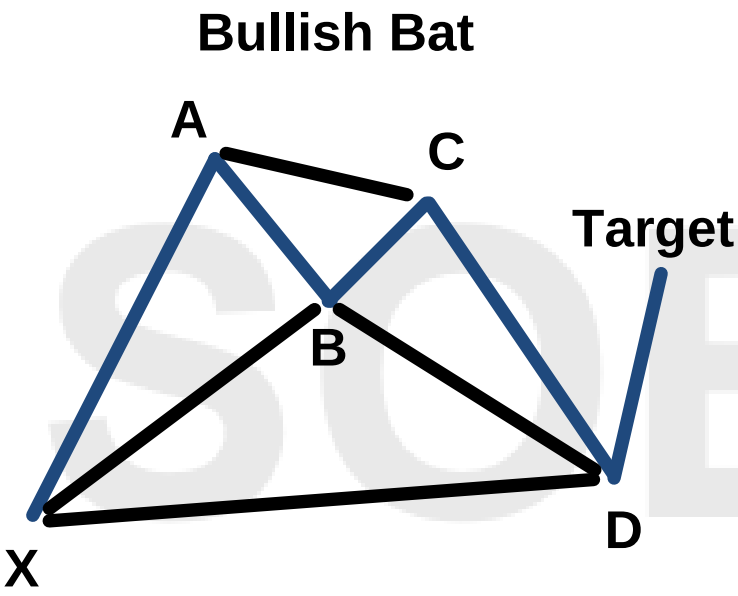


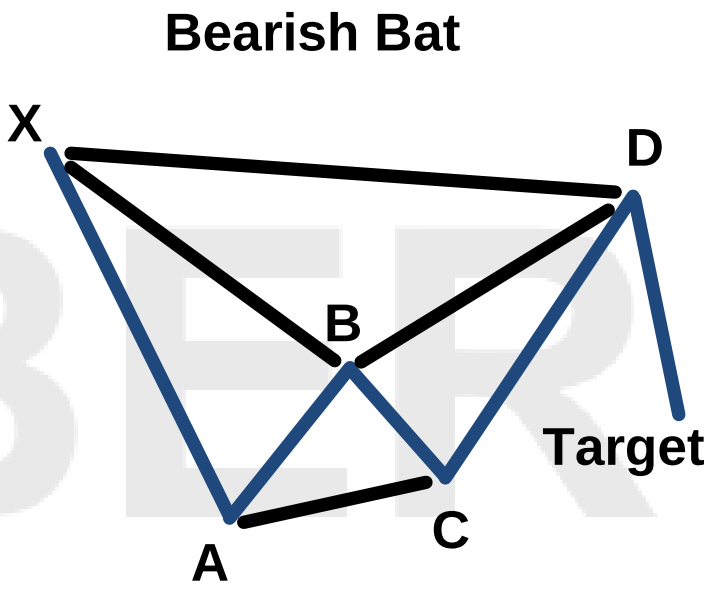
## Inverse Cap and Handle



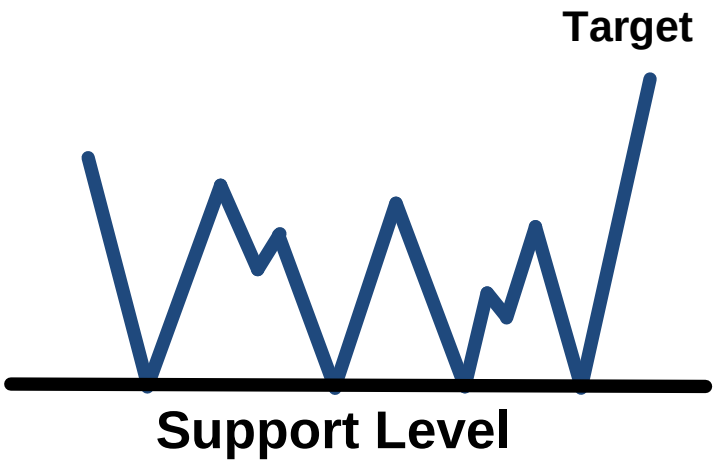
SOBER TRADING

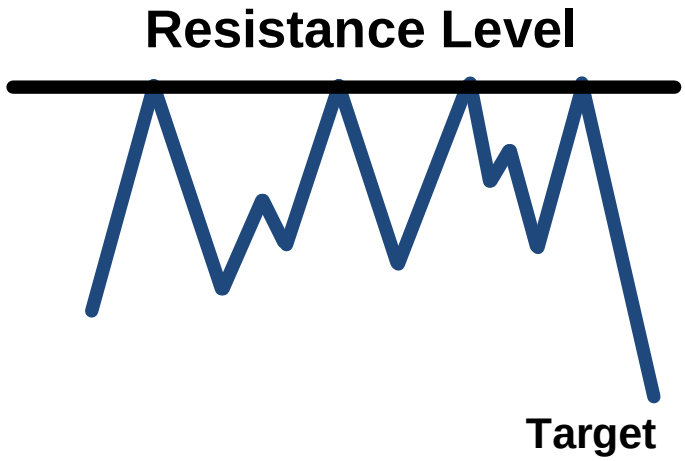
# 6



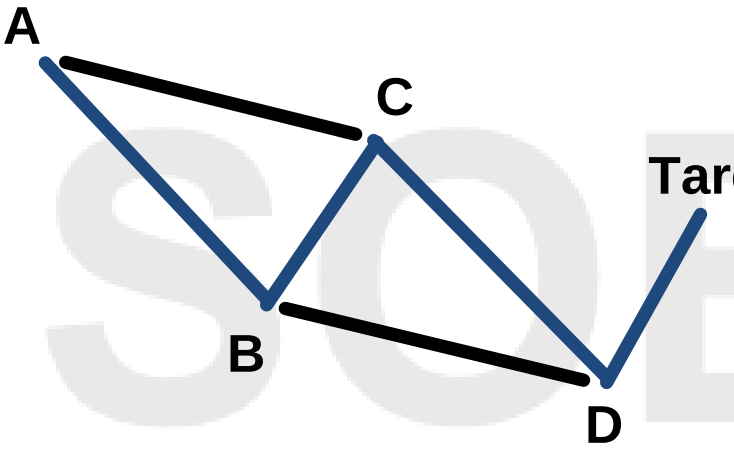

SOBER TRADING



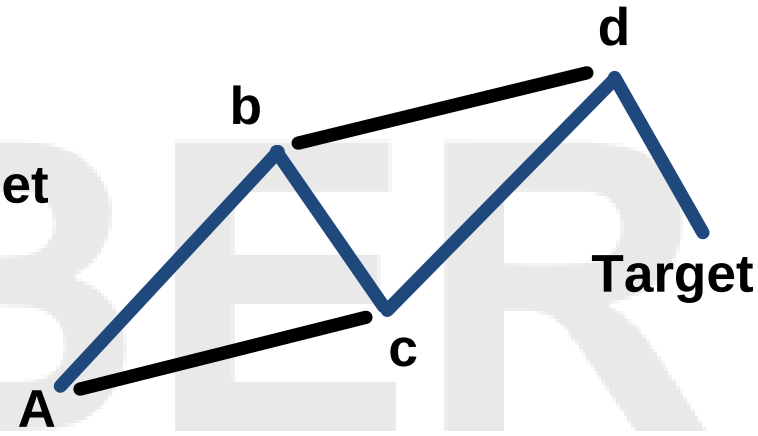



# 7

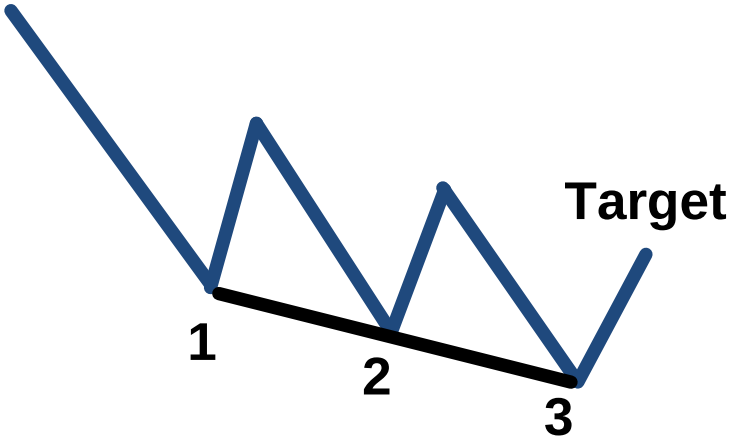
## Bullish AB=CD



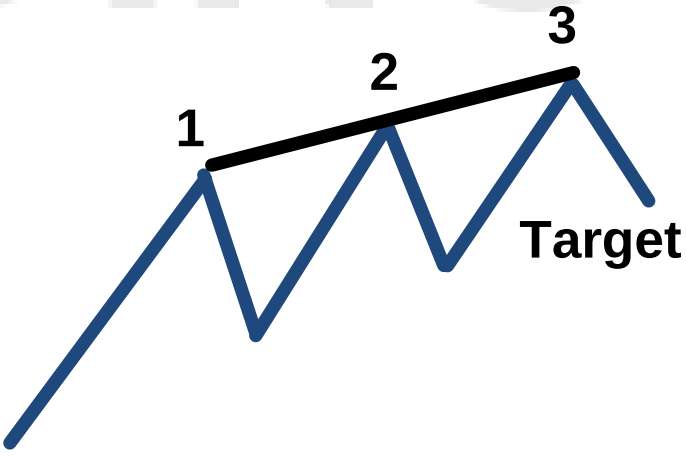

## BEARISH AB=CD




## Bullish Three Drives



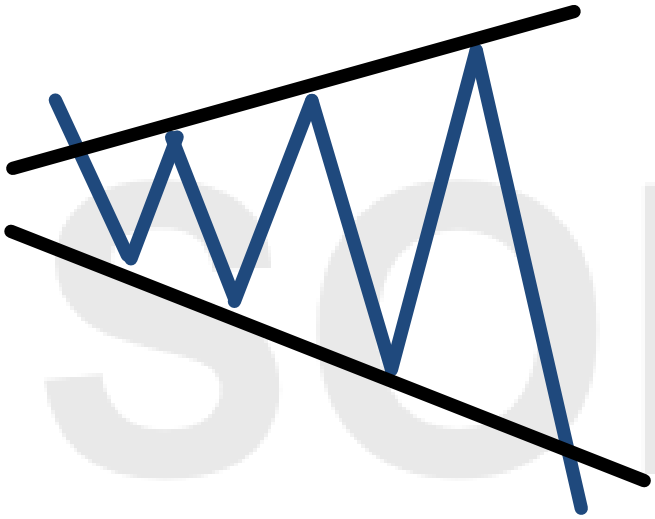

## Bearish Three Drives



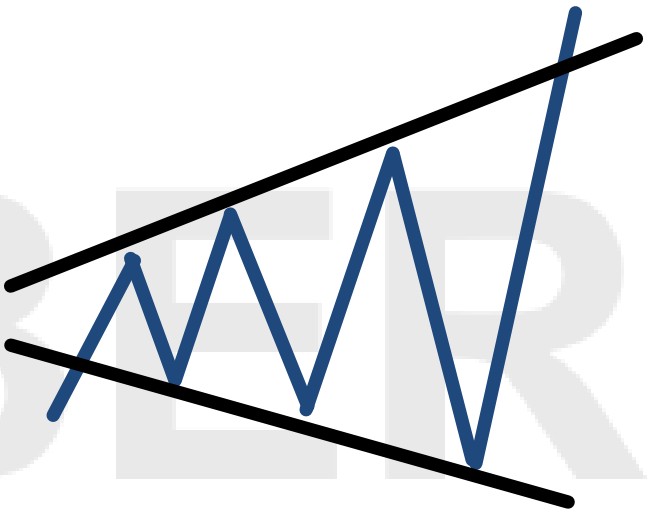

SOBER TRADING

# 8

## Bearish Expanding Triangle

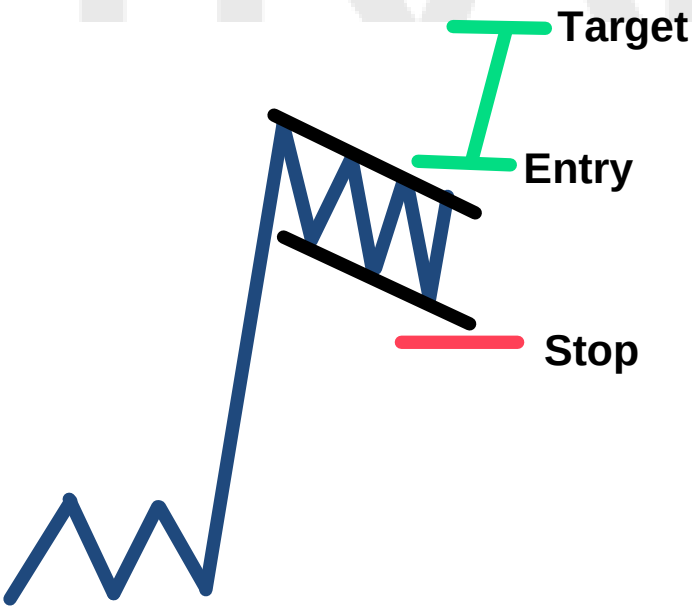


## Bullish Expanding Triangle

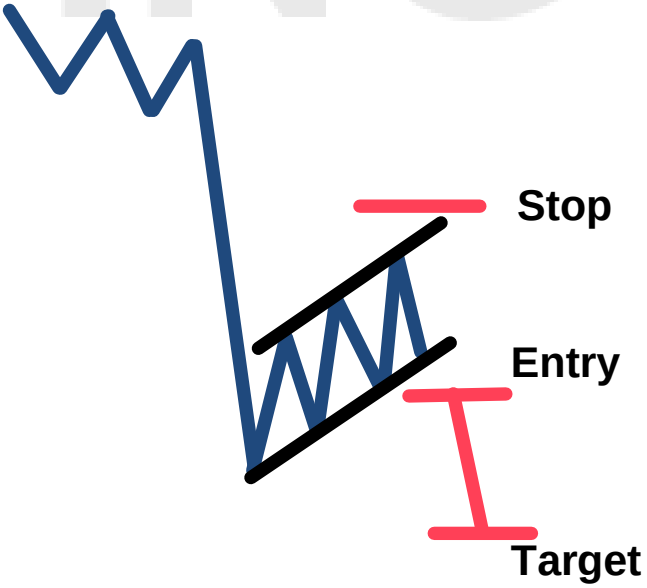


SOBER TRADING

## Downward Flag




## Upward Flag



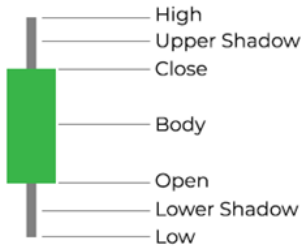
## NEUTRAL CANDLESTICK PATTERNS

DOJI

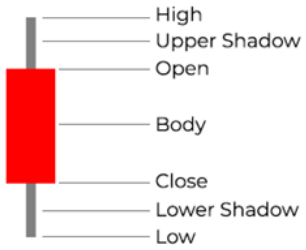
SPINNING TOP



Bullish Candlestick




Bearish Candlestick




## BULLISH CANDLESTICK PATTERNS

HAMMER



INVERTED HAMMER



DRAGONFLY DOJI



BULLISH ENGULFING



PIERCING LINE



MORNING STAR



MORNING DOJI STAR



THREE WHITE SOLDIERS



## BEARISH CANDLESTICK PATTERNS

SHOOTING STAR



HANGING MAN



GRAVESTONE DOJI



BEARISH ENGULFING



DARK CLOUD COVER



EVENING STAR



EVENING DOJI STAR



THREE BLACK CROWS

